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The Middle Eastern Bathroom & Kitchen Product Markets

- 2021 Edition -



Saudi Arabia

BRG
BUILDING SOLUTIONS

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 66 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (1)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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SAUDI ARABIA

BACKGROUND

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

The Kingdom of Saudi Arabia is an Arab country, and the largest of the Arabian Peninsula. It is bordered by Jordan to the north west, Iraq to the north and north east, Kuwait, Qatar, Bahrain and the United Arab Emirates to the east, Oman to the south east, and Yemen to the south. The country is approximately 2,150,000 square kilometres in size and is by far the largest of the Gulf Cooperation Council (GCC) countries.

The arid climate over the centuries has structured the views of the population with regards to water, which was seen as something precious and hard to obtain. Nowadays, the overwhelming majority of Saudi homes are situated in urban zones connected to a water network with an unlimited supply of water, thanks to desalination plants.

The country is historically known for its cities in the Western region, namely Jeddah, Mecca, and Medina. With the increasing population, many cities were created or experienced an exponential rate of development, and 11 cities now have more than 500,000 inhabitants, including five cities with over one million people. Most of the population now lives in urban areas. Riyadh, with its 5.7 million people in 2010 (latest data available), is a relatively new city in the history of the peninsula and is Saudi Arabia's capital, as it was the homeland of the Saud family, founders of the country in the 18th century.

The population of Saudi Arabia has increased dramatically in the last few decades, thanks to investments made in the health sector reducing sharply the rate of natural death, along with a huge number of foreign workers coming into the country.

The majority of the population is under 30, and the workforce is largely made up of immigrants. Over a third of the population comprises expatriates mostly coming from Asia, according to the Central Department of Statistics and Information. In January 2020, this authority estimated the total population in Saudi Arabia to be 34.2 million. The new census that was planned for 2020 was postponed to 2021, due to the Covid-19 pandemic. The last one was undertaken in 2010.

Following the programme of 'Saudisation' (a government policy that aims to decrease the country's dependence on its foreign workforce), 1.2 million foreigners have left the labour market since the end of 2016. 1.2 million expats are believed to have left the country in the whole year of 2020, according to the Saudi General Authority for Statistics.

Quick and effective measures were taken by the government to tackle the Covid-19 pandemic, thanks to the experience gained through the management of a previous coronavirus pandemic (MERS, 2012). Travel bans and social and medical infrastructure restrictions count among the measures to protect the population.

Macroeconomic Overview

Saudi Arabia is typically considered one of the richest countries in the world, due to its large reserves and production of oil. Despite this, it is still counted as a developing country, mainly due to its excessive dependence on fossil fuels and limited level of industrialisation.

It is a *rentier-state*: almost all of its national revenue comes from selling its natural resources completely unprocessed or with very little transformation, to foreign countries. The monarchy, often called the House of Saud, is the main beneficiary from this wealth, redistributed through a very generous welfare state. In return, political claims from the civil society are void and this balance – welfare state with no tax on income versus an absence of political claim – has been providing political and social stability for decades. In fact, this welfare system contributes to the legitimacy of the Saud family over the kingdom. Created from a mutual oath of loyalty (in the 18th century) between a religious leader and a political leader, Saudi Arabia is less a theocracy than an absolute monarchy, but the importance of Islam, in one of its most conservative forms, is predominant in the society. Authoritarianism, paternalism, and Islam are the three elements that best describe the political and social spheres of the country, while capitalism – with strong control on key economic sectors such as oil and gas – best describes the economic sphere.

Higher oil production combined with higher oil prices boosted by two major crises (in 1973, following the war between the Arab states and Israel, and the revolution in Iran in 1979 followed by the war between Iran and Iraq) led the country to generate massive revenues. A fast urbanisation took place in the country, along with a huge increase in the purchase power of the population. As everything is imported to the country, this modernisation came along with a Westernisation in terms of housing, equipment, and similar amenities.

From an international perspective, the Kingdom has developed, at a very early stage, a very tight and indefectible relationship with the United States. The rich and young Kingdom secured the supply of the US demand for oil, in exchange for military protection. This oil became among the national interests of the US. This relationship was re-enforced by the American foreign policy of 'containment' (to contain the expansion of the Soviet Union, particularly towards the Southern Hemisphere), along with Iran, its second pillar in the region (until the revolution).

Because of its very lucrative exploitation of its natural resource, oil, Saudi Arabia suffers from the 'Dutch disease': its wealth is exclusively made from the exploitation of this resource, and other sectors are neglected (as per Ricardo's economic theory, regarding the concept of 'absolute advantage' in international trade). As a result, the low level of industrialisation led the country to rely on massive imports to cover its needs, in all sectors. This is why the country remained among the developing countries, despite its wealth and despite the fact that it is a member of the G20 organisation.

The counter-effect of the generous welfare state inhibits the empowerment of Saudis in ruling the economic sector through the job market. The high share of foreign workers in Saudi Arabia is not only due to the absence of skilled Saudi people, but also to a sort of social acceptance in being reluctant to roll up the sleeves and toil, which is meant to be done by the expats. High positions are less sought after for personal achievement/success through a meritocracy system than for the social prestige they provide. It is not rare that the real decision makers on day-to-day operations for these particular positions are highly skilled Westerners working more or less in the shadows. The most common and easy way for Saudis to be successful is to sponsor a foreign businessman in a partnership that is, by law, highly in favour of the Saudi partner, with a total control on the asset engaged by the foreign businessman, who depends largely on his sponsor for everything. This has a great influence in structuring the presence of foreign companies in the kingdom, including distributors of foreign manufacturers.

In the last decade, the low and persistent oil prices have led the government revenue to drop significantly. Moreover, the high volatility of oil prices means that oil revenue cannot be depended on, while the government spending is structurally high and steady. Ongoing government deficit, with few solutions apart from hoping for the return of high oil prices, has led the government to take radical reforms to transform the country towards a sustainable development. The influence of the 'Arab Spring', an unexpected social and transnational movement claiming for a better governance boosted by the combination of economic stagnation, population growth and a higher level of education of the people, accelerated the awareness for adopting radical reforms across the Arab countries.

The new geo-economics configuration of the energy supply (exploitation of shale oil, the return of Russia and Iraq in the oil market supply, development of renewable and nuclear energies) reduced the importance of Saudi Arabia in the oil market. These elements have further motivated the government to radically change Saudi society and its economy.

The rising power of Prince Mohammed bin Salman (often called MBS) constituted the beginning of the real transformation of the country. He was appointed Crown Prince in June 2017, strengthening his position as the effective head of the kingdom. His young age (30's) constitutes a rupture with the previous generation, who were not really keen to engage radical reforms; he could potentially lead the country for half a century. In Saudi Arabia, it seems that changes come from MBS as the head of the country. He is more modern but not less authoritarian, fighting corruption at all levels and with all ranges of responses.

In dire need of economic reform, Saudi Arabia found in MBS the leader to conduct this transformation, mapped through the Saudi Vision 2030 plan. This plan aims to deliver deep economic reforms along with the social transformation needed to enhance these economic reforms. Diversification, more privatisation, and Saudisation constitute the main points. The diversification includes the mega-projects to develop the tourism sector, and since 2018 it has been easy to obtain a

tourism visa online or upon arrival, for 49 countries.

While most leaders of the country support, at least officially, the main lines of the Saudi Vision 2030 programme, some have fallen foul of MBS's decisions. In May 2017, he publicly warned everyone against corruption, including princes and ministers. The rough fight against corruption led to the arrest of 200 VIPs a few months later (including CEOs, princes, and ministers), who were fined a total of over \$100 billion to get their freedom back.

MBS is also keen to liberate the country from an excessive conservatism. He officially ended the requirement of separate entrances in restaurants (women and family in one entrance and single men through the other entrance). Women are now authorised to drive vehicles, to travel internationally independently and are encouraged to get into the job market. This should contribute to increase the workforce available in the country. Music concerts by international stars are taking place, and the religious police are less active. These social transformations have come along with Saudisation of the job market, along with more women being at work, a reduction of the welfare state, and new taxes (such as the VAT). Economic, social, and fiscal reforms are expected to contribute to the development of the country and the empowerment of the Saudi population.

While oil prices play an important role in the economic development, the real mechanism underneath is less linked to the oil price itself than to the fiscal break-even price, which differs from country to country. The fiscal break-even price is indeed a high benchmark for government spending.

The General Authority for Foreign Trade was created in 2019. It aims to boost trade activities in the country through eliminating barriers, supporting the private sector, and helping the non-oil exports reach foreign markets.

Tighter bilateral trading relations with China and the global shift towards Asia have pushed Saudi Arabia to get closer to this region than the Crown Prince's attempt in finding new allies following the Khashoggi affair.

Within two years (2018 and 2019), it is believed that 55% of over 300 economic reforms were already implemented, putting the country on a new track. In 2020, most of the industry players were able to cope with these new reforms, decreasing the uncertainty in setting up a business or expanding it, in Saudi Arabia.

In 2020, the country launched the third phase of its renewable energy programme. This should add 1.2 gigawatts of solar photovoltaic power capacity to the grid.

Since 1st January 2020, shops and businesses are allowed to stay open 24 hours a day, but business owners are requested to apply for a licence to stay open, for around \$25,000. What could have been a positive driver for the retail market in 2020, however, was suppressed by the unexpected Covid-19 pandemic.

The tourism industry should become one of the key economic sectors in the coming years, besides the oil and gas industry. In 2020 the government focused on completing massive tourism projects to attract visitors for the first time in the country's history.

Saudi Arabia was ranked 17th in the world in terms of GDP (in PPP) in 2020, according to the IMF. The foreign reserves were estimated at almost \$457 billion in November 2020 (8th in ranking). In the Economic Freedom Index, the country was ranked 83rd in 2020, a clear progression following reforms to attract foreign investors (the country was ranked 91st in 2019).

In the first half of 2020, investment in the kingdom continued to increase, following a double-digit rate jump in 2019. This was explained by new regulations allowing foreign investors to trade in Saudi Arabia through a special license. In the practical aspect, only two documents are now required for a response within a day.

The GDP declined by over 5% in 2020, due to low oil prices. According to FITCH, the government budget grew to nearly 13% of the GDP in 2020, compared to 4.5% in 2019, due to the huge decline in oil revenue (from a drop of the demand worldwide due to the Covid-19 pandemic), and higher spending in the healthcare sector as well as in supporting companies through fiscal measures led the government balance – to decline by 10.6%. FITCH expects fiscal deficits to narrow gradually in 2021 and 2022, assuming an oil prices recovery following the return of oil demand worldwide, but this should depend on when the pandemic will end. The unemployment rate has been affected and declined to 8.9% from 5.6%.

In 2020, the pandemic had finally a mild and temporary impact on the building material markets. Stronger positive drivers, linked to unprecedented reforms to transform radically the economic landscape of the country, have led the country to show resilience in pursuing its development.

The impact of this pandemic was actually linked to the significant drop of the oil demand worldwide, and oil prices, leading to a sharp decline of the national revenue – and to keep government spending high, sovereign funds had to be used.

While the country is in the middle of profound economic and social transformation, additional measures have been implemented to support the economy, following the rise of the Covid-19 pandemic. The SAMA (Saudi Arabian Monetary Authority) has announced a SAR 50bn (over \$13 billion) programme to support the private sector. In addition to that, the Ministry of Finance has launched initiatives to support economic activities related to SMEs. These consist of exemptions and the postponement of different taxes and dues payments, which has allowed the private sectors to manage better their economic activities in this critical time. Despite a slowdown in economic activities, most companies share an optimistic view considering the unprecedented reforms put in place by the government to liberalise the economy and foreign investment. Indeed, enquiries from regional and global companies to set up or expand their activities in the kingdom have increased drastically.

Lower government income for this oil-based monarchy constitutes a threat to the government balance, which could jeopardise the ambitious Saudi Vision 2030 programme, consisting of many projects in residential and non-residential construction, which could impact the bathroom and heating markets.

In July 2020, the newly introduced VAT was increased by 10 percent (5% to 15%). This is in line with the continuous government effort to diversify its economy and stabilise its revenue, particularly when oil prices continue to be instable. This has affected the construction sector through rising costs.

Moreover, an increase in custom duties has been put in place.

The expected economic contraction of 2020, due to the Covid-19 pandemic, was relatively limited.

From January to October, oil price fell to an average of \$41 (Brent), from \$64 for the same period in 2019.

Oil revenue accounted for 53.5% of the government revenue, in 2020.

Due to the unexpected pandemic and low oil prices, the total revenue generated in 2020 was 7.6% lower than what was stated in the 2020 fiscal year budget, and 16.9% lower than the 2019 outcome. While this was largely due to lower oil revenue, the government effort to diversify its revenues away from oil contributed to soften the decline in oil revenue, such as the raised non-tax revenues (on expats, VAT etc.).

In 2020, the main impact of the pandemic on the Saudi economy was less linked to health casualties (the population is young, with a median age of 30.8 in 2020) than to the global impact of the pandemic that led to a massive drop in oil demand worldwide, thus affecting the government budget. The most common impacts were decline in revenue, supply chain issues, supply of materials, and being obliged to shut down.

In a budget statement published by the Ministry of Finance, the 2021 government revenue is expected to reach SAR 849bn with a budget of 990bn (in slight decline when compared to the SAR 1058bn of 2020), and the government deficit is expected to decline (SAR 298bn to SAR 141bn). For 2021, 18% of the budget should be dedicated to health and social development, and this includes social housing projects.

The ongoing effort to stabilise the government revenue through a combination of economic diversification and new/higher tax, as well as a return of higher oil prices, should raise the total revenue substantially in 2021.

While the total expenditure for 2021 is expected to decline slightly, the government is committed to maintaining its Saudi Vision 2030 programme

The reforms engaged by the government, in light of Vision 2030, led the World Bank to rank Saudi Arabia, in its Doing Business 2020 report, in the top 10 global business climate improvers. The more open and streamlined business environment led to a significant growth of investors in the kingdom in 2020.

Residential Construction

Overview

Within the first five months of 2020 and despite the lockdown due to the Covid-19 pandemic, the demand for cement increased, meaning the demand from the construction sector was strong.

According to the General Authority of Statistics in a 2019 housing survey (latest data available), there were 3,682,000 dwellings in Saudi Arabia. The following split concerns the type of housing and, between brackets, the average number in each household, which stands at 5.86 overall.

-43.7% apartment (5.08)

-0.7% floor in a traditional house (5.45)

-7.7% floor in a villa (5.55)

-29.7% villa (7.04)

-18.2% traditional house (5.99).

The age of this housing stock is split as follows:

-17% were built over 30 years ago

- 25% are between 20 and 30 years old

-31% are between 10 and 20 years old

-21% are between 5 and 10 years old

- 6% have been built within the last five years.

In terms of status, the ownership stood at 62.1%. 2.3% of the housing stock is provided by the employer, while the remainder are rented.

Since the launch of the Sakani government programme in 2017, subsidised financing solutions were received by 424,000 families. These loans supported up to 100% of the purchase of a completed or under-construction housing unit. This was possible through a growing partnership with the private sector, as well as self-

construction.

The constant fall of the average household size has a certain impact on the type of housing construction. This fall is not just due to the demographic transition (with a lower fertility rate), but also due to social, cultural, and labour market transformations (with a growing presence of women) that pushes households to a more nuclear family structure (parents with kids only). Furthermore, declining foreign labour, due to the Saudisation programme, also contributes to transforming the housing demand.

This result is a higher share of apartment construction (versus individual houses). Indeed, traditionally dominated by low-rise rows of houses, a trend towards high-rise apartment blocks and smaller land plots should redefine the urban residential landscape of Saudi Arabia.

The residential construction in the country, and more generally the whole construction industry, is largely dominated by major developers that have strong relationships with the government and the royal family. The government has major stakes in the main real estate developers including BEN LADIN GROUP, AL AKARIA, DAR AL ARKAN, JABAL OMAR REAL ESTATE, MAKKAH CONSTRUCTION & DEVELOPMENT, and KINGDOM REAL ESTATE DEVELOPMENT.

The Red Sea project, a mega-project aiming to develop the tourism in Saudi Arabia, should cover 28,000m² with multiple islands and 200 km of coastlines. While the full completion is expected by 2030, it should welcome its first visitors by the end of 2022. In April 2020, workers were at the stage of raising the ground level to 3.5m above sea level (every day, 10,000m³ of earth are compacted into 7,000m²), prior to the development of infrastructure and the construction of buildings (hotels).

The radical measures taken by the country to reduce its dependence on foreign labour (Saudisation) led to some disturbance in the construction sector, as some projects continued to be delayed due to the lack of skilled people, following the reorganisation of the immigration policy. The law that obliges foreign companies to employ a certain percentage of Saudi citizens in key positions led sometimes to an absurd situation in which companies, who simply cannot find a Saudi person skilled enough for a particular role, have to hire two people: one Saudi national to comply with the law, and another person to do the actual job.

However, Saudi Arabia counts among the countries with the lowest mortgage penetration in the world, as interest is banned in Islam and finding home alternative finance options continues to be difficult. Long-term loans from the Saudi Real Estate Refinance Company (SRC) are offered interest-free to Saudi nationals. Among other options there is the 'Murabaha', which is similar to rent-to-own: the price of the property is marked up (known in advance and agreed by both parties) in exchange for allowing the buyer to pay over a time, so that interest (*usury*), in its traditional understanding, is avoided.

While the plots distributed should ultimately lead to the construction of a dwelling, the time between the distribution of these plots and the effective construction of a residential unit depends only on the individuals: the number of plots distributed in a specific year does not correspond to the number of residential units built during that year.

Limited budgets led builders to operate on lower margins in order to win projects, leading to price wars for building products. Stricter financial rules have strained the working capital available in the country. Longer payment terms moved from 77 days to 120-180 days, on average.

The dramatic increase in Saudi Arabia's population over the past decade has ensured that there is a significant shortage in housing – particularly affordable housing, for the country's young population.

An additional issue concerning Saudi Arabia's new housing shortage and construction output is that a sizeable proportion of new homes completed are luxury housing that cost over a million riyals, out of the price reach of many of the young Saudis who require housing and presently live with family, as well as the less well-off segment of the population.

The demand of housing in Saudi Arabia, beyond the increasing demand generated by a growing population, is also due to the change of lifestyle – with many people living in cities far away from their homes, for work. Also, this social transformation led to a higher number of Saudis reconsidering their views on living together with their extended family in a detached house, leading to more demand for private homes for nuclear families. This explains the increasing share of apartments against villas, which was perceived for decades as negative – as such dwellings lack privacy.

New Housing

As per the Saudi Ministry of Housing, the housing programme exceeded its target by 30% for the year 2020, and this was despite the exceptional circumstances of the Covid-19 pandemic. Indeed, over 390,000 families benefit from the housing programme through a diverse array of options. Among these 390,000 families, around 138,000 got access to new homes in 2020. A significant number of these homes were apartments and built in 2019-2020.

In the month of December 2020, around 34,000 families benefitted from these housing solutions, including almost 16,000 families taking ownership of a new completed dwelling. This increases the ownership rate among Saudis, in accordance with the objective stipulated in the kingdom's Vision 2030 programme.

As said above, partnerships with private real estate developers registered a clear growth in 2020 (as well as partnership with private financial institutions), reaching 93 residential projects, which should provide over 140,000 residential units ranging

from villas to apartments to townhouses, at an average price of up to SAR 600K (around \$160K).

In 2020, few projects were completed, according to a report published by CAVENDISH MAXWELL: Rafal Sky Gardens / Rafal Living Tower and its 58 floors, ETLAL Residence with 182 apartments, spread over 42 floors, Jeddah Gate, with 4,000 apartments, Fadhili Residential Compound (SAUDI ARAMCO), with 2,000 villas and Jeddah Tower, with over 250 floors.

According to JLL-MENA.com, 7500 and 1800 housing units were completed in September 2020, in Riyadh and Jeddah, respectively.

The construction of the \$500 billion NEOM project, a brand new futuristic city of 26,500 km², should start in 2021. It aims to house one million residents by 2030, with phase one completion due for 2023.

In 2020, the government significantly improved the process to access to a house, a result of comprehensive reforms implemented in the previous year, which encompass the construction sector, the availability, and the obtaining of plots of land, and the self-construction process. Bureaucracy was drastically reduced through digital support (online services). This helped to streamline the whole process.

The lockdown of a few months slowed down construction activities in 2020, which affected the completion rates, but the market remained positive and much higher when compared to years prior to 2019. While access to affordable houses is difficult in Saudi Arabia, the Sakani programme launched in 2017 has eased the access to home property, elevating the homeownership rate since then, through free loans and free land parcels. While in 2019 a total of 200,000 citizens were eligible for Sakani housing products, it is believed that this number increased to around 300,000 in 2020.

In 2020, DAR AL ARKAN, one of the largest real estate developers, observed a higher demand for 300 square metre plots (as compared to larger sized plots in previous years). The young generation is also less rejecting the idea to live in a flat when compared to the older generations (due to the lower privacy found in apartments).

Measures taken by the Saudi government to contain the pandemic had a limited impact on the overall construction output for 2020. The toughest measures linked to the lockdown were limited to a few months only. The second half of 2020 was dynamic, particularly in July when most activities were already back to normal, with rapid growth registered for the fourth quarter of 2020.

Due to the Covid-19 pandemic and government measures within the construction sector, higher operating costs have affected the industry, but the priority given by the government to the social housing programme, as well as various efforts to contain costs, has contributed to positive development within the residential

segment.

In 2020, Saudi ports registered a 15% increase of imports of building materials, according to the Saudi website ARGAM, a service provider in real time within the financial sector.

The mortgage growth rate figures published by the Saudi Arabia Monetary Agency (SAMA) show an 84% increase in the number of loans by September 2020 (year-to-year)

In 2020, partnerships with the private sector intensified, which pushed the output capacity in terms of residential construction and reduced the delays between the announcements of projects and the effective launches of these projects.

In Saudi Arabia, financial reforms led to more Saudis contracting a mortgage to finance their houses. According to SAMA, this increased significantly in 2020.

Housing RMI

Since the government decided to increase the property ownership rate among Saudis, this has shown positive results, which in turn should strengthen the RMI segment as Saudis maintain and invest more in properties they own.

There is no official data available with regards to levels of housing RMI in Saudi Arabia. For cultural reasons, the time spent at home is important in the country, and maintaining a home is essential. Industry evidence suggests that bathroom products are very often replaced by big-ticket items (sanitary ware, baths, and shower trays) and even more frequently for smaller, cheaper items (bathroom accessories and faucets).

In the long term, the government goal to increase the home ownership rates should constitute a positive driver for the sales of better-quality products going to that segment, as spending on a home that is owned (beyond the fact that, generally, families living in a home that is owned move less often than those who are renting) is not perceived in the same way as one that is rented. This goal is clearly stipulated in the Vision 2030 programme.

However, like the new housing construction segment, RMI activity is understood to be inhibited by several factors. Although home improvement is highly desirable to many Saudis, the difficulty in obtaining mortgages has ensured that the level of home ownership in Saudi Arabia is low, restricting the scope for discretionary renovations.

Similarly, the country's sizeable population of non-Saudi citizens are not permitted to own their own homes and are thus less likely to engage in home improvement work. Furthermore, when replacement and RMI work is done by non-Saudi citizens, the cheapest products are typically selected, as this typically transient proportion of the population is unwilling to invest excessively in their accommodation. Finally,

heavy, or 'full-scale' renovations (such as an entire remodelling of a bathroom) are uncommon, as it is sometimes cheaper to simply demolish the house and build a new one.

Finally, the construction of commercial facilities, such as hotels, and religious buildings (mosques) has increased in several main cities in Saudi Arabia, leading to the demolition of some of the country's existing building stock. This is particularly the case in cities such as Mecca and Medina, where inhabitants have recently been relocated prior to demolition in exchange for a generous financial compensation fee.

Non-Residential Construction

Within the first nine months of 2020, 74,000 square metres and 49,000 square metres of offices were completed in the capital city Riyadh and Jeddah, respectively, from a total stock of 4.4 million and 1.1 million square metres, according to JLL-MENA.com.

JLL-MENA.com also mentioned that in the retail market, 112,000 square metres and 123,000 square metres were completed (from a total stock of 2.5 million square metres and 1.4 million square metres) for Riyadh and Jeddah.

Regarding the hospitality sector, new hotels completed during September 2020 consisted of 3,000 hotel rooms (from 15,000) and 1,000 hotel rooms (from 12,400) in Riyadh and Jeddah, respectively.

With unprecedented reforms for more openness to foreign investors, in H2 of 2020, 40 hotels were scheduled to open, totalling 12,830 rooms in the whole country.

However, office developments slowed down significantly, with only 150,000 square metres of office completed, a 67% decline when compared to the average completions of the previous three years.

The government's decision to promote the tourism sector has led to an increase in the construction of new hotels, particularly in Mecca, the holy city. The construction of these hotels was also motivated by an expected increasing number of visitors to the kingdom, following a new policy to obtain a visa, as part of the economic openness decided by MBS.

In 2020, the construction of the entertainment mega project Qiddiya, located 40km west of Riyadh, continued as normal despite the Covid-19 pandemic. It should include resorts, parks, and city centres. Phase 1, with 45 projects, is due by 2023. By 2030, it is expected to be the largest tourism destination worldwide – around half the size of the whole of Bahrain (334 km²), with an expected 17 million visitors. Situated half-way between Europe and East Asia, Saudi Arabia should become a new destination for worldwide travellers, but also for Saudis as, in the country, entertainment is very limited, and the government aims to retain some of the billions of dollars usually spent by Saudi tourists abroad. Like some countries in

Asia, and to a lesser extent minority in Europe, this project is in line with the demand for halal tourism (touristic destinations that follow Islamic rules in terms of food and drinks, separate swimming pools/spa, etc.). From an economic perspective, this massive project should contribute to the economic diversification away from the oil and gas sector.

Saudi Arabia's non-residential construction segment is fairly robust, with a significant number of public buildings (hospitals, schools, mosques) and private buildings (hotels, restaurants, spas) planned and constructed annually. The government has extended its budget on several construction programmes, including social housing, schools, hospitals, and other public buildings, which will take some years to complete. Other current non-residential projects include the construction of hotels and hospitals, especially in the regions of Jeddah and Mecca, to accommodate people coming for the pilgrimage.

Indeed, the government leads the overwhelming majority of projects. The fact that the government's budget is based on oil income constitutes the main cyclical driver. The demand is derived from many projects that are led by the government, which is worried about providing affordable housing to its population. A sudden decrease in the oil revenue may be a negative driver for the housing construction sector.

Furthermore, the tax on uninhabited 'white lands' has pushed many owners to sell their land or build on it. This represents a significant share of empty space within cities, which had hampered the progress of the real estate market for decades. Landowners used to prefer keeping these properties for many years, while awaiting the prices to increase.

According to the Saudi Gazette, the total value of awarded contracts declined significantly in 2020, but this was due to the uncertain climate surrounding the Covid-19 pandemic and how it is going to evolve.

II.2 Key Figures

SA - DEMOGRAPHICS AND HOUSEHOLDS

Value		Year
Segmentation	Category	2020
Demographics	Population (% Rural)	15.84
	Population (% Urban)	84.16
	Population ('000)	34 545.00
Households	Average Size (Persons h/h)	5.58
	Total ('000)	6 188.86

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

SA - MACROECONOMIC KEY INDICATORS

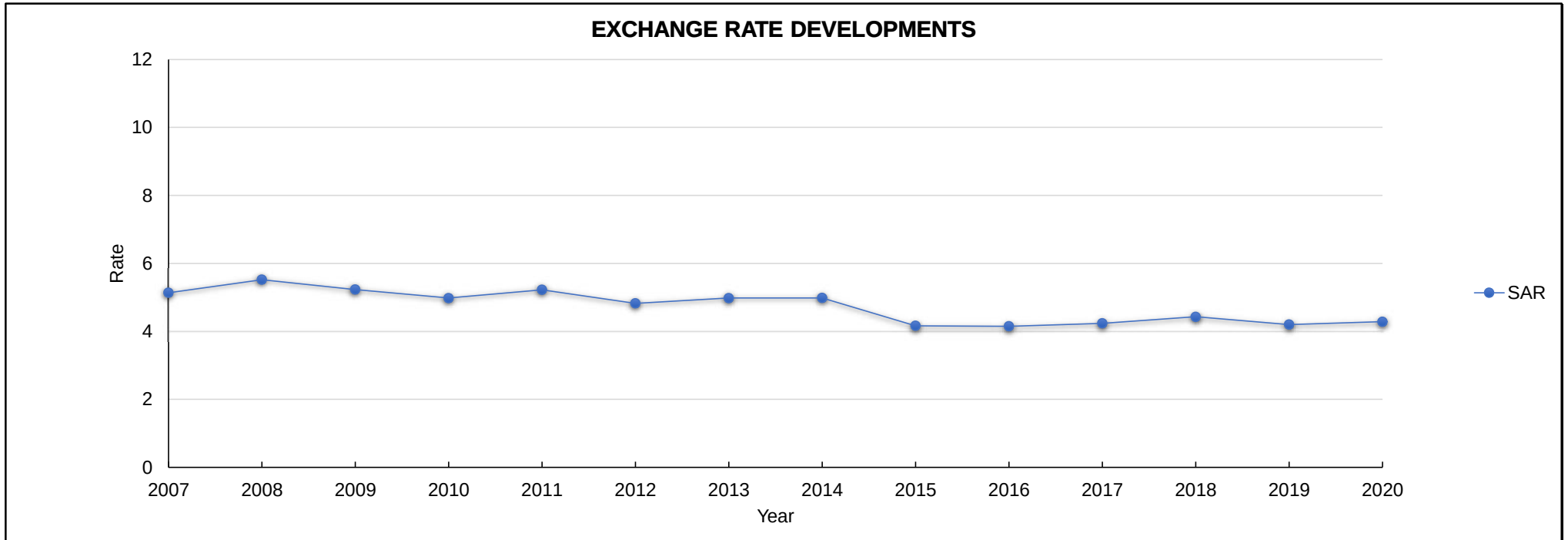
Value	Year																				
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Consumer Price Index (% change)	1.17	2.45	7.31	5.37	3.48	3.73	2.55	3.62	2.51	1.92	1.25	0.93	- 1.02	1.86	- 0.20	5.38	0.60	1.97	1.96	2.02	2.02
GDP (% change)	5.57	2.79	1.85	6.25	- 2.06	5.04	10.00	5.41	2.70	3.65	4.11	1.67	- 0.74	2.43	0.33	- 4.15	2.93	4.03	2.82	2.83	2.76
Government Balance (% of GDP)	17.99	20.82	11.78	29.80	- 5.38	4.39	11.55	11.93	5.64	- 3.54	- 15.84	- 17.20	- 9.24	- 5.87	- 4.45	- 11.09	- 3.76	- 2.46	- 2.00	- 1.44	- 0.93

Source : IMF

II.4

Historical and Current Exchange Rates

SA - EXCHANGE RATES : HISTORICAL AND CURRENT



Local Currency	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020
EUR / SAR	5.13	5.52	5.23	4.98	5.22	4.82	4.98	4.99	4.16	4.15	4.24	4.43	4.20	4.28
% change		7.47%	-5.23%	-4.79%	4.89%	-7.67%	3.29%	0.09%	-16.46%	-0.32%	2.11%	4.50%	-5.18%	2.00%

Source: OANDA

The Saudi Riyals (SAR) is the Currency of Saudi Arabia. The Exchange Rates Shown are the EUR to the SAR.

SAUDI ARABIA

DISTRIBUTION

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

Despite its relative wealth, Saudi Arabia is, in fact, a developing country that has a distribution structure similar to that of other developing countries. However, the country is a *rentier* state: the non-oil industry remains at an embryonic stage, and the country is a huge importer of almost everything else. In terms of bathroom and kitchen product manufacturing, the local industry is limited to ceramic sanitary ware products. Furthermore, high levels of clientelism in Saudi Arabia (the exchange of goods and services for political support) has led to the rise of a specific class of importers and distributors; their empowerment has led them to become key contacts for bathroom and kitchen product manufacturers looking to sell their products in the country. Clientelism is part of the Saudi business culture, found at different levels and often implicit. The interconnection between politics and business in Saudi Arabia is the basis of most issues that manufacturers face in the country, aside from negative economic developments.

Furthermore, the paternalistic form of governance in Saudi Arabia has led much of the population to rely on government support. As a result, levels of entrepreneurship are low. Indeed, many Saudi entrepreneurs are simply partnered with foreign manufacturers for use of their citizenship, as foreign players cannot export to Saudi Arabia without being associated with a Saudi national (under the Saudisation programme). Economic difficulties in recent years have led the government to take several measures to change this situation but results thus far are limited.

Due to the low levels of local entrepreneurship, paternalistic government, and levels of clientelism, the country (and its distribution sector) remains under development. Furthermore, the dramatic growth of the population and resultant housing shortage has led to intense construction activity. As a result, large housing developments and commercial projects (such as hotels) are typically supplied directly to the contractor by the manufacturer. Such sales are the backbone of the Saudi bathroom and kitchen product market's distribution structure, as a significant share are sold to the new housing segment.

Uncertainty and chaotic decision-making processes are part of the business environment in Saudi Arabia. Very often, contractors face difficulties in obtaining payment from the government, which in turn can affect their ability to pay their suppliers: flexibility and patience is crucial for manufacturers operating in Saudi Arabia. Macro-economic factors such as the government budget for construction, oil prices and types of money available (monetary aggregates) may significantly disturb the construction sector with delays in payment. Worse, projects can be postponed, cancelled or simply on hold, part way through completion.

Housing constructions are mostly led by the government and individuals that received a plot of land, as well as finance solutions, from the Public Authority for Housing and Welfare (PAHW). In the first scenario, the distribution of products

goes through bids and tenders. Considering the number of housing completions, a high volume of products is involved, keeping the share of direct supply relatively high in the country. Contractors often deal directly with manufacturers as and when the projects come in. In the second scenario, householders are supplied through retailers.

As houses in Saudi Arabia typically contain several bathrooms, but often only one kitchen, the quality of products installed in the house can vary greatly; the master bathroom / guest bathroom may include high-end products, while the bathroom for the maid/nanny is generally equipped with low-end products. In between, the bathroom for children may vary in quality. For this reason, bathroom products that equip a single house may come from different sources, from showrooms to the *souk* (traditional Arab marketplace). Offering different end-product ranges should help to optimise sales of bathroom products.

Beyond the strong agreement that links a Western manufacturer with his distributor, customer loyalty is an informal aspect in Saudi Arabia when it comes to distributing local, regional, or Asian brands (excluding Japanese products). Customer loyalty is less based on a legal document than on a long historical relationship between a manufacturer and a distributor, sealing an informal form of loyalty.

Depending on how tight the specifications are, any brand can win projects, but local manufacturers are generally favoured. In recent years, the government has tried to favour regional manufacturers to increase economic integration within the GCC. However, bathroom and kitchen products in Saudi Arabia have high price elasticity. When the price for building materials is the key criteria to select a supplier, contractors opt for the cheapest offer. Also, Saudi Arabia experiences increasing outsourcing activities within the construction sector. Each intermediary tries to generate the highest margin, and when no brand is specified, the company in charge of installing the bathroom product will typically select the cheapest supplier.

Manufacturers use two main distribution strategies in Saudi Arabia. On the one hand, some players prefer to use one sole distributor. This has both advantages and disadvantages; the manufacturer's sales will depend entirely on a sole distributor, but on the other hand the distributor is typically well-established and able to maximise sales. Other players prefer to manage their own distribution network throughout the country – these mainly comprise both local and major manufacturers. Western manufacturers can also distribute their products through a partnership with these local manufacturers (if there is no product competition). For example, the manufacturer of ceramic sanitary ware SAUDI CERAMICS distributes GROHE through its network of selling points throughout the country, which constitutes a precious distribution route for GROHE. On the other hand, SAUDI CERAMICS's product image is enhanced by the fact that its ceramic products are sold alongside German products.

Thanks to the greater economic integration of the GCC, along with local and regional companies offering better-quality products, sales from local manufacturers

have experienced a dynamic growth rate in recent years, as opposed to those of most European brands. A trend towards bigger market share being held by local and regional companies is developing. Regional companies are becoming more powerful, as governments are favouring GCC companies. Tighter budgeting also explains the empowerment of local and regional brands.

The construction sector in Saudi Arabia depends on some imports of spare parts and other building materials. Imports experienced a clear slowdown in the first quarter of 2020 particularly, due to the Covid-19 pandemic. Moreover, the Saudi authorities restricted, in March 2020, movement between the main cities, and many shops and malls were temporarily shut down. Along with the confinement, the retail market for building products was affected, reducing sales to the RMI segment (as well as the replacement market within the non-housing segment), as well as sales to new builds in residential and non-residential segments, and this certainly delayed the completion dates. These are the main impacts at the micro-level.

In a recent report published on the Ministry of Finance website, wholesale, retail trade, transport and storage activities declined by 6.7% in the first half of 2020. According to the same source, significant improvement was registered in third quarter of 2020, following the gradual reopening of activities.

Wholesale and Merchant Trade

Due to the absence of strong local manufacturers for non-ceramic products, there is a high level of imports of bathroom and kitchen products in Saudi Arabia. These come mostly from Asia and the West. The absence of brand recognition for Asian manufacturers leads these players to focus on supplying large quantities of products rapidly. Asian brands generally have an agent acting as an importer, clearing documents, and receiving containers of bathroom and kitchen products that are quickly dispatched to large distributors. Small distributors may get supplies from large distributors, rather than deal directly with importers: the price difference is sometimes non-existent, as large distributors receive a specific price, giving enough room to resell to another distributor at a price lower than the B2C price and still generate some margin.

Western manufacturers are traditionally more focused on a strong value-proposition (quality, technology, branding), which generates higher margins yet smaller volume sales. They focus mostly on the medium- to high-end product ranges. For this reason, showrooms are their favourite distribution route, rather than wholesalers and merchants. However, the development of manufacturing plants in developing countries helped some of them to supply cheaper products. Sometimes, this creates ambiguity among Saudis. Some Saudi householders may consider a bathroom mixer as an Asian product if it is produced in Asia, even if the manufacturer is originally from Europe. For this reason, some Western products sold in the souk and known to have been produced in Asia are seen as on-par with non-branded products in terms of quality. This is one of the reasons that the distribution route chosen by the manufacturer has a strong impact on how consumers perceive the product.

In Saudi Arabia, other difficulties for distributors are linked to a strong protectionism and a strong competition due to a low level of regulation. Therefore, Western manufacturers, generally unable to compete with the price, should market their product with a strong value proposition. In the case of an issue with a distributor, the law is generally in the favour of the Saudi partner. Law enforcement is not as developed as in Europe. On the other hand, the ability for wholesalers and large distributors to provide the right product in large quantities in a relatively short time constitutes a key strength of the Saudi distribution segment; large stock levels or excellent logistics are the key to delivering products in due time.

Retail Trade

Since the beginning of 2020, retail shops have been allowed to remain open for 24 hours a day (and seven days a week). This measure aims to stimulate the retail market and should have a positive impact on the bathroom market. However, this segment suffered from the lockdown for some months of 2020.

DIY Retailers

Although some DIY retailers are present in the country, they do not represent a significant share of sales within the bathroom and kitchen products market. This is due to several factors: firstly, the fact that the concept of DIY is not part of the culture of the country, because the cost of installation is very low; And secondly – as in the case of IKEA – the offering of DIY products within the market is very limited. What limits the development of DIY business is also a form of aversion for manual works across the Saudi population. The local mentality is to purchase something ready-to-use and already installed. In Saudi Arabia it is not uncommon that, after visiting a DIY store, a Saudi will seek out an (often illegal) immigrant to complete the home improvement work. These immigrants often wait in well-known areas in cities in order to receive this kind of informal work.

Apart from IKEA, mentioned above, there are several other DIY retailers present in Saudi Arabia. GULF DEPOT is a Saudi DIY retailer with 32 stores throughout the country. However, its offering of bathroom and kitchen products is limited. SACO is another hardware retailer that can also be considered to be DIY. It has 27 retail outlets in 15 cities throughout the country. However, the range of bathroom and kitchen products offered is extremely limited. In mid-2016, the US-based DIY retailer DO IT BEST, in partnership with ATTKEN INTERNATIONAL (part of ALBAWARDI GROUP), opened its first shop in the country, in the eastern province of Dammam.

Specialist Retailers

Since 1st January 2020, the government has permitted retail shops to be open for 24 hours.

According to the official statistics (stats.gov.sa), inflation reached 3.4% in 2020, and 4.6% for furnishing, household equipment and household maintenance. The Consumer Price Index has continued to fall, with a 1.2% decline on average during 2019, mainly due to the effect of economic and fiscal reforms along with a decline in rents.

The Private Sector Stimulus Package (PSSP) and the execution of mega projects contribute to boost the construction sector.

Several companies in Saudi Arabia distribute GROHE products, such as SAUDI CERAMICS. BOLD, DANIEL, CARLO FRATTINI, and NINGBO REX are the other brands distributed by SAUDI CERAMICS.

Within the new housing segment, once the sales captured by contractors are excluded, the rest is split between showrooms, traditional markets (or *souk*), and other retailers.

In Saudi Arabia, the distribution of products with labels (containing the name of the manufacturer) is forbidden. The government has taken this measure to reduce the number of fake products present in the country. However, fake products continue to be sold in the souk, sometimes unknown to the customer, and sometimes the salesman can openly offer two options – both the real product and its copy.

While local manufacturers generally have their own showrooms, regional manufacturers are often, but not always, assimilated within the distribution channels taken by Asian products, through importers/distributors. The opacity of the distribution flow for Asian and regional products is generally high.

We can say that most European products are sold through showrooms and most local products are sold through the souk. The volume of bathroom and kitchen products sold through the souk is often underestimated, and this is generally the favourite distribution route for the replacement market.

Another aspect in the retail market is constituted by the customer type. Depending on whether consumers are Saudis or non-Saudis, the distribution routes for products may differ. The dichotomy of Saudi/non-Saudi reflects less a difference of consumer habits (based on the origin) than a difference of disposable income. The other difference is the fact that only Saudis own their houses, while foreigners are renting.

Indeed, Saudis have a much higher purchasing power than immigrants (excluding Westerners), as well as typically larger families and family homes with several bathrooms per housing unit. The roughly 100,000 Western immigrants generally have high incomes but live in compounds for a limited period of years, and most of the time they do not play a direct role in purchasing bathroom and kitchen products, as home improvement is generally conducted by services within the compound. In that case, the doormen or the company servicing the compounds may represent a key target for marketing purposes.

Internet Sales

With the Covid-19 pandemic, internet sales have increased dramatically.

In 2020, more than half of the population shopped online regularly, but 75% experienced online shopping at least once. Even though bathroom products are rarely sold through the internet, the familiarity with online shopping is widely spread among Saudis, but bathroom products are rarely found online. In other words, it is less the use of online shopping than the visibility of the products that constitute a barrier for selling bathroom products through the web.

In fact, many Saudis go to physical stores when it comes to home furniture (in general), and some of them return home for online purchases.

noon.com is the most popular website used in Saudi Arabia. Faucets are available for online purchasing. IKEA and SACO are more popular for home furniture. Within the bathroom products, however, it is limited. IKEA offers a limited range of faucets.

While some retailers that were shut down due to the Covid-19 pandemic tried to sell through the internet, they struggled to meet customers' needs through it.

According to GROHE, their online sales of faucets have not really taken off yet.

The development of new technology is often a precursor of new consumer habits. These new habits shape the distribution structure. For instance, new methods of payment and the development of sales through internet channels contribute to that phenomenon.

In 2019, Saudi Payments planned to introduce a national QR code for payments in Saudi Arabia. It is still at its embryonic development, as only a MoU (Memorandum of Understanding) was signed between Saudi Payments and 12 parties, including nine banks and three financial technology firms. However, it shows a clear trend towards online payment and consequently, an expected rise of internet sales that should have an impact on bathroom products.

The other reason for the development of internet sales is the lower prices generally found online. In practice, the official list price is rarely applied. In a traditional sales route, a 10% discount and another 10% following the price negotiation is applied, while online prices can offer directly a 30% discount, thanks to a lower number of intermediaries from manufacturers to end users, and lower fix and variable costs that a traditional sales route would imply.

Online sales in Saudi Arabia are mostly made through platforms such as souq.com, noon.com, AliExpress or Amazon. However, bathroom products are limited and only souq.com offers a significant range of products that our reports cover.

Some bathroom products are more adapted for internet sales than others, depending on criteria such as the level of standardisation/customisation of the product, and this is why shower accessories are the most found, as they are relatively standardised. A ratio of benefit/risk concerning online sales can be roughly estimated as follows:

-Low benefit-high risk: shower enclosures,

-Low benefit-medium risk: bath screens,

-Medium benefit-medium risk: ceramic sanitary ware, bath and shower trays, plastic cisterns, faucets other than electronic,

-High benefit-low risk: shower accessories,

-High benefit-high risk: electronic mixers,

Knowing that in Saudi Arabia, fake products can be easily found, the risk of finding them online is even greater.

SAUDI ARABIA

BATHS AND SHOWER TRAYS

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Over the last 10 years, the bath and shower tray markets in Saudi Arabia have experienced very dynamic growth, the result of intense construction activities in the residential sector as the population has grown by over 31% during the decade. Principally, it is less the population growth but more the population structure that explains the dynamism of the bath and shower tray market, as most of the population is made up of young adults that have reached the age of getting married and settling down in their own homes, creating a huge housing shortage in the country. For this reason, the government has been investing heavily in housing construction, which constitutes the main driver for the bath and shower tray market in Saudi Arabia.

The demographic transition in Saudi Arabia led to smaller household sizes, structured around the nuclear family. This has had a direct impact on the bath and shower tray market: the number of products sold per head has increased since the 2000s. When looking more closely at the population's personal habits, a Saudi home tends to have several bathrooms. Different configurations may appear depending on the social class, but generally the bathroom used by the family is not the same as the one used by the maid or by the guests, and within the family, boys and girls use different bathrooms. For villas and wealthy people, each member of the family tends to have their own en suite bathroom.

Over the last few years, the popularity of synthetic baths and synthetic shower trays has led to a fast decline in sales of products made of steel, ceramic and cast iron, due to the generally lower price of synthetic products, which quickly became the preferred option for price-conscious project developers. Overall, the success of synthetic products is explained by their material properties, which have allowed manufacturers to be able to offer a wide range of sizes, shapes, and colours, owing to the relatively recent technology enabling this type of material to step out of the low-end segment. Indeed, while in the past synthetic products were found mostly in the low and medium segments, now they hold a hegemonic position even in the high-end segment.

Among the high-end segment, the market for hydromassage baths has been expanding for over 10 years. However, this market remains small. Relatively young, it is mostly restricted to high-end dwellings as well as spas and beauty salons and has remained for many years at an embryonic stage. Until 2009, the hydrotherapy market experienced limited growth. Since 2010, the market has increased by a double-digit growth rate almost every year, thanks to the affordability of this product generated by massive imports from Asia.

In the last few decades, the country has experienced a significant development of the middle-class population who are more educated and well-travelled (especially to the West). This has significantly increased the potential of the market, as there is a higher purchasing power amongst some of the population, a better quality of

homes, an increasing awareness of health and wellness, a demographic transition (smaller family sizes), and a slow trend of Westernisation, which has created an environment for the market of hydrotherapy products to take off in Saudi Arabia.

As a result, the market has experienced a fast and continuous growth rate over the last few years. In terms of supply, although JACUZZI introduced hydrotherapy massage baths into the country, Chinese manufacturers pioneered the introduction of this product specifically to the middle class.

Due to the high maintenance required by hydromassage baths, householders are not always keen to have such a product, especially in small dwellings wherein the number of bathrooms is limited and where the children may use it incorrectly.

Although non-synthetic products continue to be in demand, their scope is narrowing, and only specific projects request these types of products. Even though some projects may specify a certain type of material, contractors may suddenly opt for a synthetic bath or shower tray for several reasons, mostly due to budget restrictions, but also other reasons such as product shortages or a short delivery time.

The demand for cast iron baths, in particular, has been declining over the past decade, as well as the number of distributors offering these products. Due to the inertia of the market, it is difficult to define a trend for this type of product, as the market is mostly nurtured by one-off sales generated by the non-housing segment and some luxury villas. The supply structure for cast iron baths has changed several times within the last 20 years: while in the past these products were supplied by European manufacturers, Chinese suppliers replaced them quite quickly and very recently, Saudi distributors and importers are now favouring European products again, coming mostly from Italy, Spain, and Germany.

In general, the shower tray market has grown faster than the bath market, as a result of the trend towards smaller dwelling sizes. This is partly due to the demographic transition mentioned above, but also due to dwelling construction costs, as the government focuses on building social housing. With regards to product substitution, walk-in showers and to a lesser extent hydromassage baths represent the main 'treats' for consumers among the sales of baths and shower trays. Larger and thinner shower trays, which are half-way between the traditional shower trays and the walk-in showers, seem to characterise the current bath and shower tray market in Saudi Arabia. The purchases of larger and thinner shower trays might represent, also, a trend away from traditional bathtubs. The type of bath or shower tray installed in one dwelling is different in terms of range, depending on whether it is intended for usage by the parents, the guests, the maid, or the children.

Recent Market Trends

In Saudi Arabia, the Covid-19 pandemic has had a limited impact on the bath and shower trays market. Hence, year-to-year sales fluctuations are limited.

In 2020, sales of baths and shower trays declined in Saudi Arabia.

In 2020, drivers that impacted the bath and shower tray market in the country were complex, due to the fact that this market suffered from three intricate contexts: the oil market and its direct impact on the Saudi budget, the deep reforms transforming the country, and the current Covid-19 pandemic.

The pandemic impacted the bath and shower tray markets in some months of the year only, affecting new build as well as the retail market. Measures to contain the spread of the virus were quickly put in place by the government. Moreover, Saudi Arabia has experienced other forms of coronavirus in the past and so was able to benchmark different health crises and act accordingly.

The massive and unprecedented reforms put in place to transform the country have boosted the real estate sector, which is highly prioritised by the government, as it aims to bring the residential ownership rate to 70% by 2030, from around 60% in 2020.

Massive reforms initiated by the Crown Prince MBS, which started in 2017 to meet the ambitious programme Saudi Vision 2030, seem to be on their way, after a climate of uncertainty that led investors to adopt a wait-and-see position, and resistance emanating from the most conservative part of civil society (but also from business leaders) seems to be weakened. This apprehension was also due to the fact that these deep reforms were decided abruptly with a 'next-day delivery', but also simply due to decades of inertia in Saudi Arabia, and changes were naturally not immediately well-received. A beginning of positive outcomes and the increasing stability of the new pathway led to overcome these barriers gradually.

As a result of the above, the bath and shower tray market showed resilience in 2020.

Synthetic baths and shower trays continued to be largely favoured by contractors and installers. In 2020, the government focused on lowering the average dwelling construction cost, with the aim of it being under five times the annual average income of Saudis.

This gives a little room for non-synthetic products to be favoured for large projects. However, the share increased in 2020, thanks to individual construction. Some households also replaced their synthetic baths with alternative materials, but the volume remained marginal. Solid surface materials are generally favoured when the product differentiation is focused on the colour, due to possibility to add pigments in the manufacturing process.

Price, weight, large choice in size/shape, and the ability to source large quantities in a short timeframe are the reasons behind the overwhelming presence of synthetic products in Saudi Arabia.

Sales of hydromassage baths within the overall bath market have remained low. Few Saudi people upgrade their bath with this type of product, and if they do it concerns generally only one bathtub, generally the one attached to the parent's bedroom.

Synthetic shower trays declined slightly in 2020, compared with non-synthetic models, with a double-digit sales decline for steel / cast iron models. As synthetic shower trays represent the bulk of the market, the overall market declined moderately. Most synthetic shower trays sold in Saudi Arabia were made of acrylic materials, but the share of mineral cast increased in 2020. Those made of solid surface remained limited in 2020. For all types of shower trays, the square shape is predominant, followed by rectangular models.

Prices and Market Values

In 2020, the average price for baths and shower trays increased. The increasing VAT from 5% to 15% in mid-year contributed to the soared price, even though VAT can be deducted.

However, the main reason for the price increase in 2020 was due to some disruptions and availability.

The country depends largely on imports, and the Covid-19 pandemic has disturbed every step involved in procurement (from manufacturing to shipping to distribution).

The MSP for baths and shower trays for synthetic products increased in 2020, also due to an increased share of the middle and upper segment.

The liberalisation of the economy (a result of the reforms engaged by the government) has led to a clear improvement of the economic climate that started in 2019. The 2020 Doing Business report published by the World Bank has pushed up Saudi Arabia's ranking. More manufacturers got into the Saudi market, in response to a dynamic demand from the residential segment, increasing the share of upper-end products. This was particularly the case for Western manufacturers (which experienced a sales decline in their respective countries due to the Covid-19 pandemic), trying to soften their overall sales decline through exporting markets.

New Housing

Sales of baths and shower trays increased in 2020, thanks to the resilience of the residential construction activities throughout the country, despite the Covid-19 pandemic.

As stated earlier, the government is very determined to deliver housing solutions. A share of these solutions is completed dwellings and another part concerns incentives and plots of land distributed to the population for self-construction.

In 2020, the brand new city KAEC (King Abdullah Economic City), with a \$207 billion budget, was fully completed. It includes 256,000 apartments and 56,000 villas.

The percentage of Saudis who do not own their homes continues to be high, mostly due to low levels of mortgage penetration, which is one of the lowest in the Middle East.

The government aims to increase the number of homeowners, through payment facilities and an overall streamlined triangular process between households, developers, and financial institutions, backed by the government.

The vast majority of products installed in new housing are made of synthetic materials.

The government's determination to provide housing solutions to its population has had a definite impact, contributing to the sales growth in 2020.

These social dwellings are far from tiny: around 400 square metres. They contain several bathrooms, including one bathroom dedicated for the maid. Over 80% of the population in Saudi have a maid, and sometimes a maid and a driver (the latter may have declined, since women now have the right to drive a car).

The share of apartments continued to grow in 2020. While the previous generation were reluctant to live in an apartment, the trend appears to be different with the new generation.

During the year, the partnership between the public and private sector increased, which constitutes one of the main key factors attributed to a dynamic construction sector.

Housing RMI

The replacement market for baths and shower trays in Saudi Arabia declined in 2020.

This was due to the counter-measures adopted by the government to limit the spread of the Covid-19 pandemic, such as movement restrictions.

In 2020, an increasing online sales activity was registered. SACO.SA offers several baths including hydromassage models, but it remains marginal compared to sales through traditional distributors.

Some Saudis did refurbish their bathrooms with new baths, but overall, the trends declined in 2020. Outdoor shopping was mostly limited to essential products during the more restrictive months of 2020, and for the remaining months no sales catch-up was identified that could have offset the sales loss during these toughest

months.

Moreover, bath and shower tray prices increased during the year, although limited due to the negative driver of lockdown. Suppliers, however, increased their discount offers during the year, which boosted bath and shower tray sales to the replacement market.

Most baths and shower trays that were replaced during 2020 were made of synthetic products.

In 2020, a new law was passed that allows shops to be open for 24 hours, and some restrictions were eased for shops – so they do not have to close during prayer time. Until three years ago, the religious police were more active and chased customers out of the malls.

Non-Housing

The non-housing segment declined in 2020, despite a significant number of new hotels being completed during the year.

In 2020, the brand new city KAEC (King Abdullah Economic City), with a \$207 billion budget, was fully completed. It includes 25,000 hotel rooms in 120 hotels.

However, the replacement market within that segment declined; the hospitality sector experienced a huge decline of visitors due to the travel ban, and also due to the cancellation of the pilgrimage to Mecca (three million visitors per year).

Some construction sites were on hold, and completion dates extended to 2021.

Economic diversification away from the oil and gas sector is the spine of the Saudi Vision 2030 programme, of which the tourism sector is one of its pillars. Mega-projects are on their way to develop this sector, which should lead sales of baths and shower trays to the non-housing segment to increase greatly in the coming years.

Since it has become easy to obtain a visa for Saudi Arabia, it is expected that the number of tourists should increase drastically in the coming years, with more demand for hotels throughout the country, and consequently this should constitute a new driver for sales of baths and shower trays to the non-housing segment.

In the replacement market in hotels, the refurbishment of some bathrooms led to the replacement of baths by larger and longer shower trays or walk-in showers.

Supply Structure

The supply structure for baths and shower trays in Saudi Arabia remained unchanged in 2020. However, there is long-term trend towards a higher concentration of local and regional suppliers, but this trend is slowed down by a

limited production capacity, and also due to the fact that some suppliers prefer to look at foreign markets – wherein higher margins can be applied.

Overall, local production continued to be insufficient to cover the demand in 2020, which was mainly covered by imports.

With a high price elasticity for synthetic products, which represented the bulk of the market in 2020, imports from Asia continued to enjoy a favoured position.

DURAVIT is one of the main Western suppliers for baths made of solid surface materials.

In an effort towards developing their sales through vertical differentiation, major manufacturers try to trademark their own material type, which is actually just a reformulation, and sometimes an improvement, of a material already existing in the market, to attract customers towards material loyalty, ultimately leading to this particular manufacturer.

However, within these tactical day-to-day procurement operations, an increasing number of Asian manufacturers attempt to supply higher end ranges, to escape from their traditional role in supplying only the economy range – which can only sustain a ‘high-volume, low margin’ strategy. The maturity of the Chinese market along with higher production costs in China contributed to that trend. From a financial perspective, it is about achieving higher margins with high-end range products. Similarly, Western manufacturers tend to increase their sales volume by reaching the largest base of the demand, which is generally the low-end range, and they do this in all countries.

But beyond that arithmetic, a deeper transformation is taking place that concerns the rise of strategic sourcing, which becomes more and more distinct from the procurement and its tactical aspect.

The rising economic power in Asia that initiates the shift from West to East in terms of the centre of the global economy, and the Saudi government’s efforts to tighten its economic cooperation with Asian countries, has led the kingdom to review its strategic sourcing at a higher level.

Since the vast majority of construction projects are generated by the government, and it is committed to supplying a high number of dwellings to its population (as per its Saudi Vision 2030 programme, which also includes other construction projects), the strategic sourcing is less about getting the lowest purchase price than getting the lowest total cost. Indeed, one of the main challenges for the government is to supply affordable houses to its population in order to achieve its target regarding the home ownership rate. This explains, for instance, the multiplication of prefabricated housing projects, in which baths and shower trays are already mounted prior to the actual house being built.

This means a significant share of sales of baths and shower trays linked to the government evades manufacturers/suppliers that are not involved in the upstream housing construction market. Some hotel chains are supplied with baths and shower trays pre-mounted into bathroom pods, contributing to reduce the overall cost of the hotel. Indeed, bathrooms can represent 6% to 10% of the hotel construction cost, in a traditional construction.

Having said that, a non-negligible share of bath and shower tray products are sold without the frame described above. All non-projects within the new construction sector (those individuals building their house in a plot of land given by the government along with a loan), some projects of small scale, and the replacement market for both residential and non-residential segments are more influenced by procurement operations rather than strategic sourcing.

For the construction of hotels, particularly hotel chains, baths and shower trays can be also pre-mounted.

In 2020, local and regional manufacturers such as SIDC CASAVIA, AWAL BATH, and RAK CERAMICS counted among the main players in the synthetic bath market. Within Western brands, DURAVIT CERAMICS led the market for ceramic shower trays.

During the year, the exports of synthetic baths and shower trays from China to Saudi Arabia declined in Q1-20, to increase in Q2-20. Year-to-year, imports from China increased in H1-20 and sales continued to improve throughout the rest of the year.

Some local manufacturers of ceramic sanitary ware products import baths and shower tray products, such as SAUDI CERAMICS. This company offers a wide range of unbranded traditional baths, shower trays and hydromassage baths.

Along with the Saudisation of the economy, local manufacturers are generally favoured by the government, unless something else is specified. Regional manufacturers such as SHADUBE and AWAL ACRYLICS have experienced a significant increase in their market shares for synthetic bathtubs.

With regards to hydromassage baths, the supply structure can be divided into three main groups. Firstly, the market comprises regional and local manufacturers such as AWAL BATH, SHADUBE, and BADR AQUALUX, respectively from Bahrain, the UAE, and Saudi Arabia. It is believed that their products are sold under other brands, such as SAUDI CERAMICS. The second group is made up of Chinese manufacturers and they currently represent the main suppliers in terms of volume and are focused mainly on the economy/low range. Finally, the last group comprises European manufacturers such as IDEAL STANDARD, ROCA, TEUCO, and JACUZZI – historically the most present – holding a hegemonic position within the luxury products.

Turkish manufacturers are also believed to play a certain role within the medium range, as their products are increasingly available in other bathroom product families.

Forecasts

Despite the impact of the Covid-19 pandemic on the bath and shower tray market worldwide that continued in 2021, the Saudi market had already recovered by the end of 2020.

Indeed, the mild impact of the Covid-19 pandemic and the very positive business environment in Saudi Arabia led the bath and shower tray market to grow in the second half of 2020, and it further strengthened in the first quarter of 2021. Early counter-measures taken by the government to tackle the spread of the pandemic, the young age of its population (being less prone to heavy symptoms), and a generous financial stimulus package constituted the key factors for the bath and shower tray market to get back on track in 2021.

With an expected returned growth of the global economy, oil demand and prices are expected to grow. Along with the fiscal reform that focuses on developing new and more sustainable revenues through tax, the government should strengthen its financial resource to finalise its ambitious construction projects. In the 2021 government budget, spending priorities remained unchanged. A SAR 1 trillion expenditure has been budgeted for this year. While this is slightly below 2020, a wider openness for private investors should bring more money into the economy.

As part of the Saudi Vision 2030 programme, the government should pursue its goal of increasing the house ownership rate in the country. Along with more private public partnership (PPP) and considering the huge shortage in housing, it is believed that sales of baths and shower trays should increase greatly by the end of the forecast period.

New cities are currently under construction, such as NEOM: a futuristic city backed with a half trillion dollar budget from the PIF (Public Investment Fund). With the very recent successful completion of KAEC (King Abdullah Economic City) in 2020, it is believed that NEOM's construction should progress quickly in the coming years. A significant number of non-housing projects such as hospitals, restaurants, universities, schools, etc, and thousands of residential units, are expected to be built in the coming years.

Also, the capital Riyadh should undergo development, as MBS aims to expand the city's population from 7 million to 15-20 million by 2030, with the objective of bringing the city among the top 10 economic cities in the world.

NEOM and Riyadh should become the two main sales opportunities for baths and shower trays in the coming years.

The introduction in 2019 of the Premium Residency (a form of Saudi 'green card'), which gives a permanent residency for \$213,000, may constitute a new driver for residential construction for the coming years.

What constitutes a booster for the bath and shower tray market is the convergence of higher construction output in the residential segment, to meet the demand of housing, with a higher involvement of the private sector. It is also the refund of the banking systems, offering to a larger number of Saudis a customised method of finance unrelated to traditional mortgages. The financing of houses in this conservative Islamic Saudi Arabia differs greatly from Western countries, due to the fact that interest (fees for borrowing money) is illegal in Islam.

At the same time, unprecedented development within the hospitality sector, as documented in Vision 2030, should lead to the construction of many hotels over the forecast period, creating sales opportunities for baths and shower trays in the non-housing segment. This development is very new as the country has been, historically, clearly a non-touristic country (apart from Muslims accomplishing their pilgrimage to the cities of Medina and Mecca). It is part of the Saudi Vision 2030 to transform the country and diversify its income away from oil and gas. It aims to make Saudi Arabia a major tourist destination in the region. The Red Sea project (a 34,000 km² resort development project) and the Al Quidiya Entertainment City are the flagships. Al Quidiya should be the largest entertainment city in the world.

The market for hydromassage baths in Saudi Arabia should get back on track in the coming years. Although distributors offer a limited choice of products (mostly made in China), this type of product is more visible in retail shops than it was a few years ago.

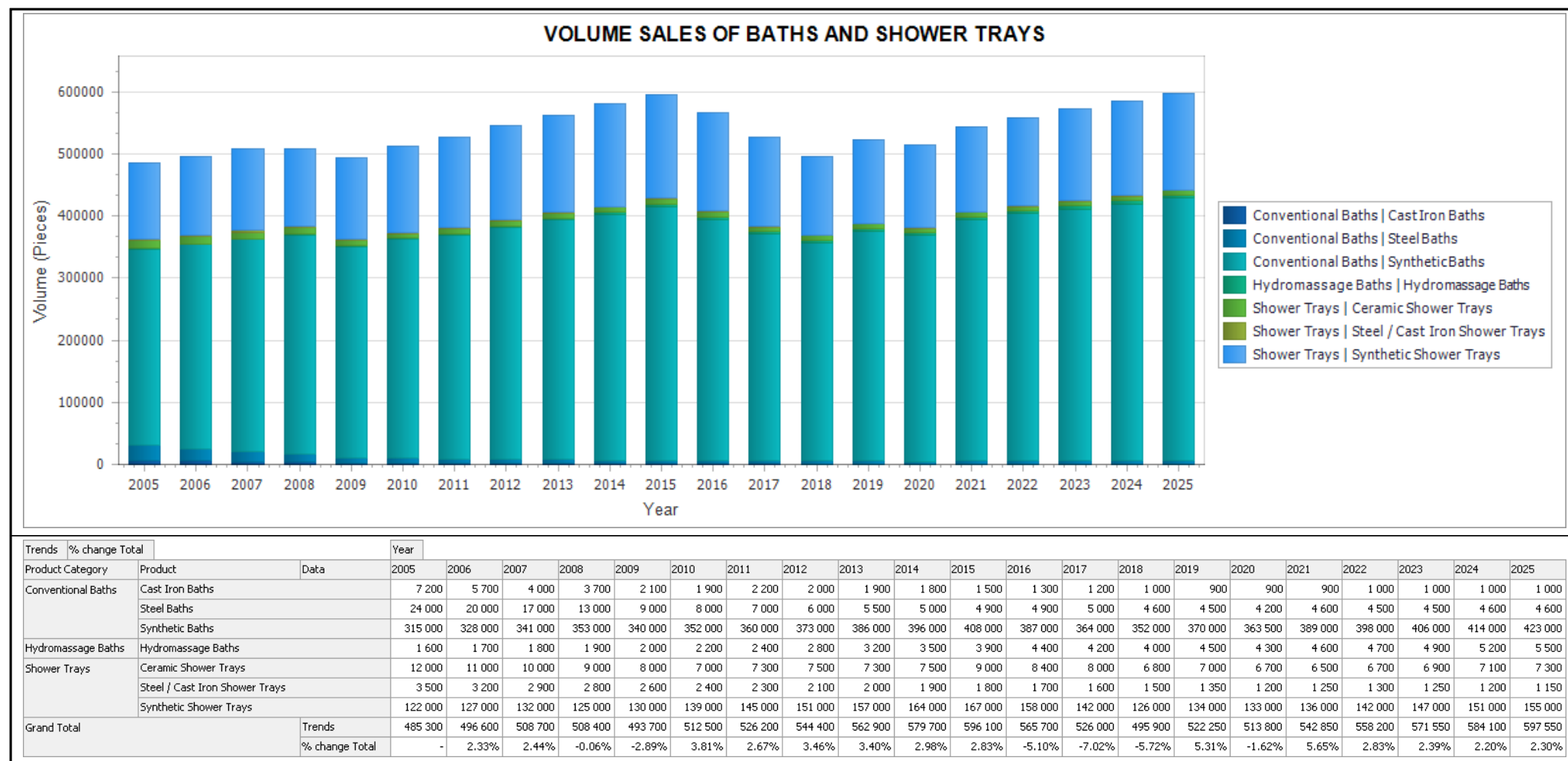
Among sensitive issues that could impact the construction sector and consequently the bath and shower tray market are the radical socio-economic reforms (including a massive crackdown on corruption within the elite) initiated by the Crown Prince MBS and the instability in the region. The situation in the domestic and international spheres may influence the ambitious and long-term development of the country.

The possible failure in diversifying the economy may reduce the capacity of the country to carry forward its ambitious housing development programme. At the same time, the purchasing power of the population may decline, thus slowing down the replacement market.

Failures to empower the youth through the Saudisation programme, along with an increasing cut in welfare state provision, might reduce the purchase power of the population, which may have an impact on the RMI segment, with a lower replacement rate for baths and shower trays.

1.2 Historical Trends and Forecasts

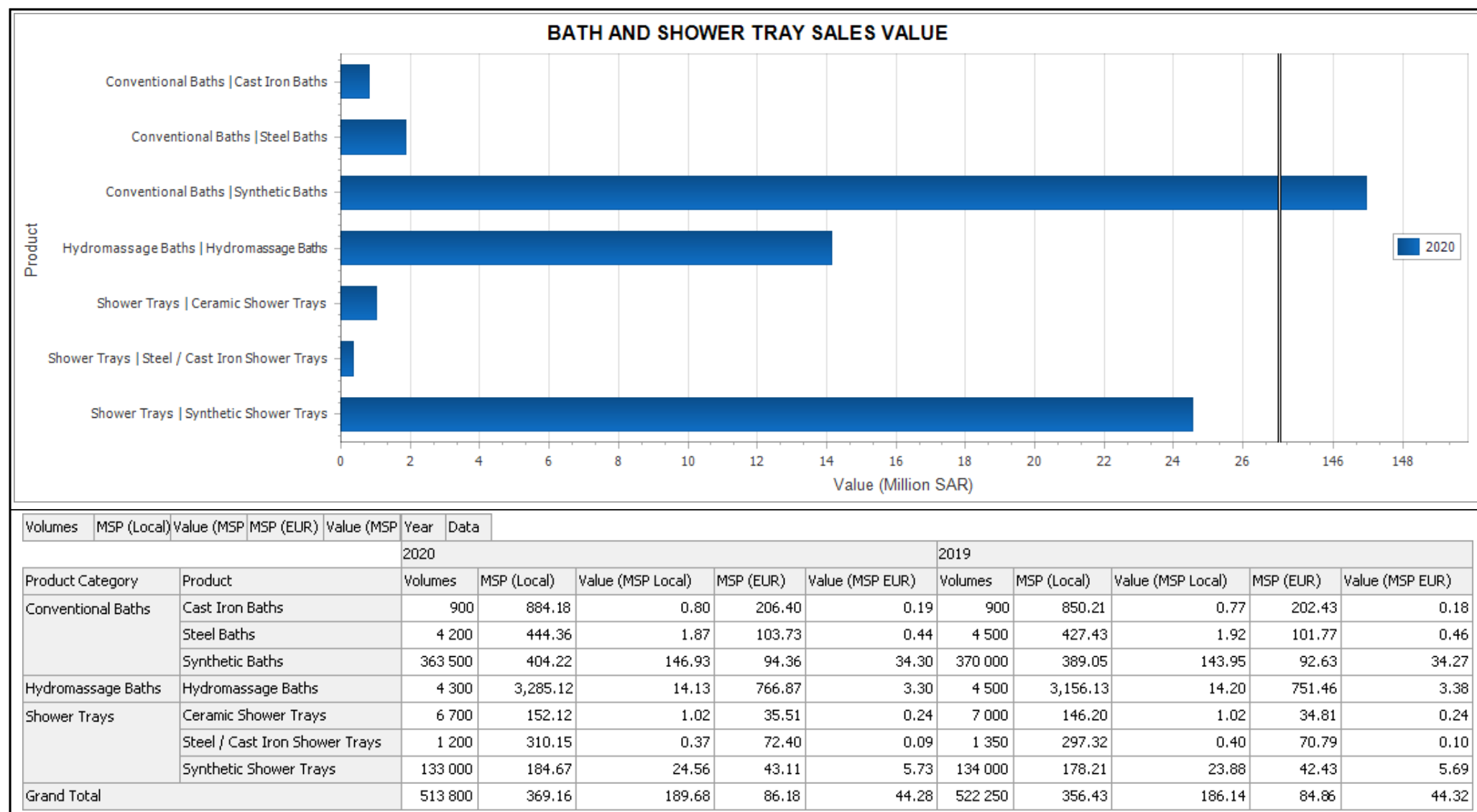
SA - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

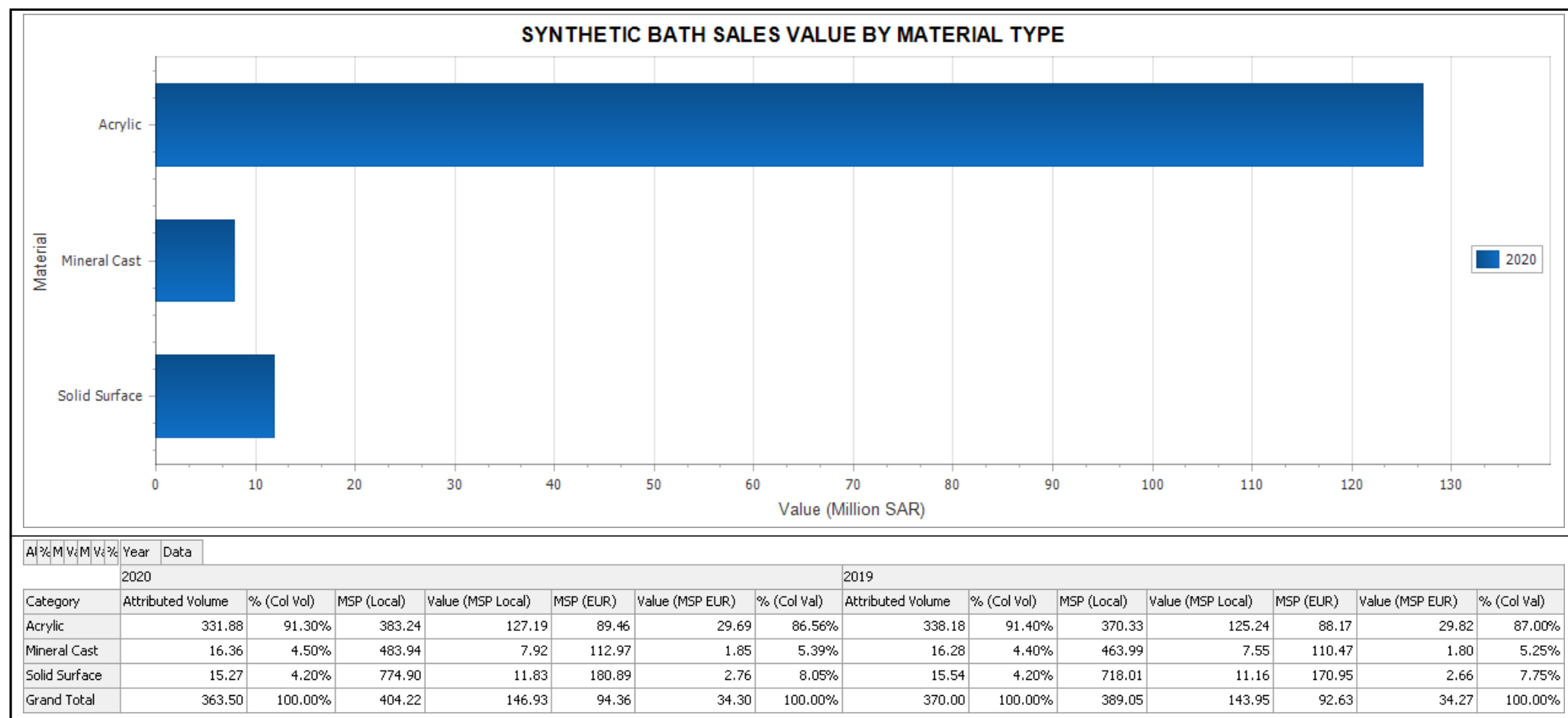
SA - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Local Currency Shown in SAR. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.2 Prices and Market Values : Synthetic Baths

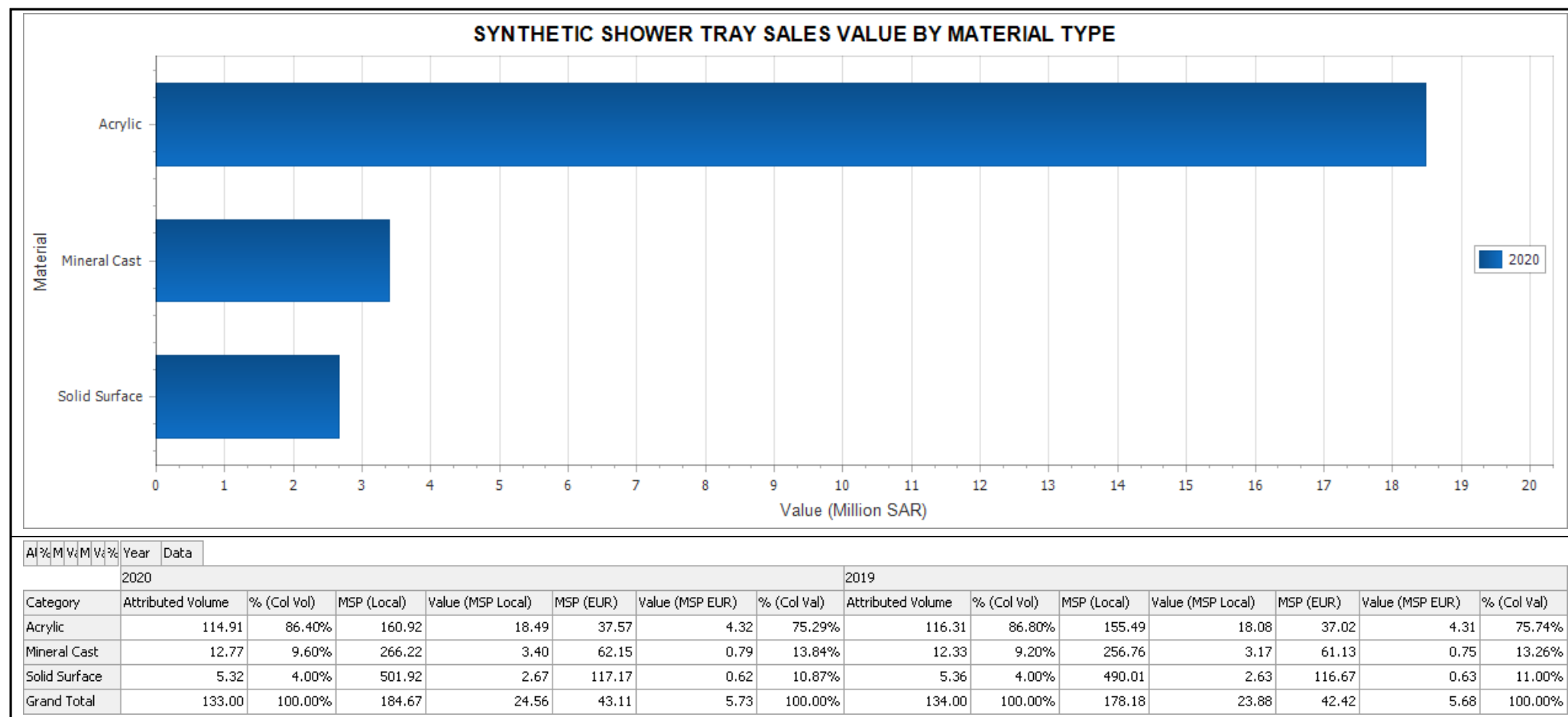
SA - ESTIMATED VALUES OF THE SYNTHETIC BATH MARKET BY TYPE OF MATERIAL



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in SAR. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.3 Prices and Market Values : Synthetic Shower Trays

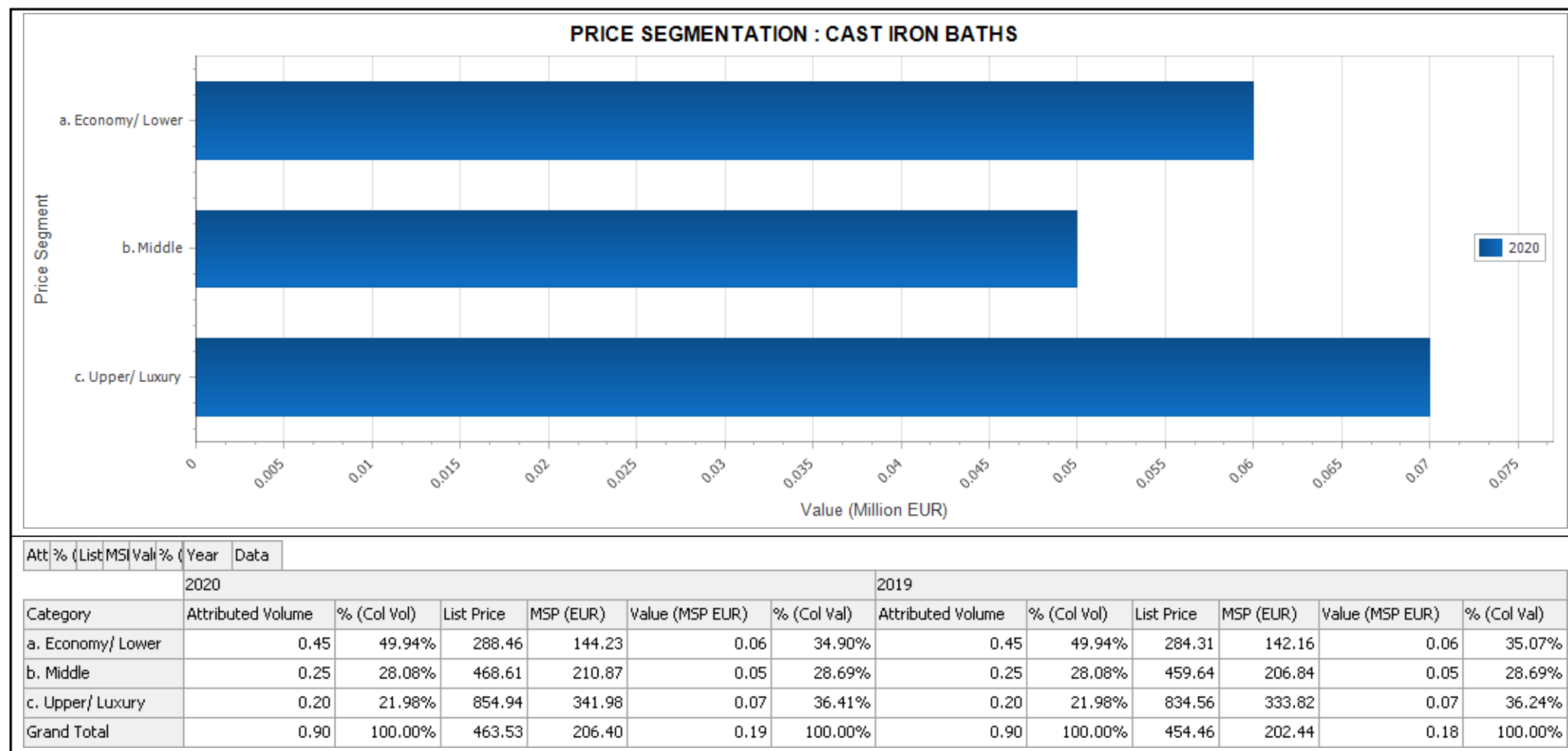
SA - ESTIMATED VALUES OF THE SYNTHETIC SHOWER TRAYS MARKET BY TYPE OF MATERIAL



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in SAR. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.4 Price Segmentation : Cast Iron Baths

SA - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

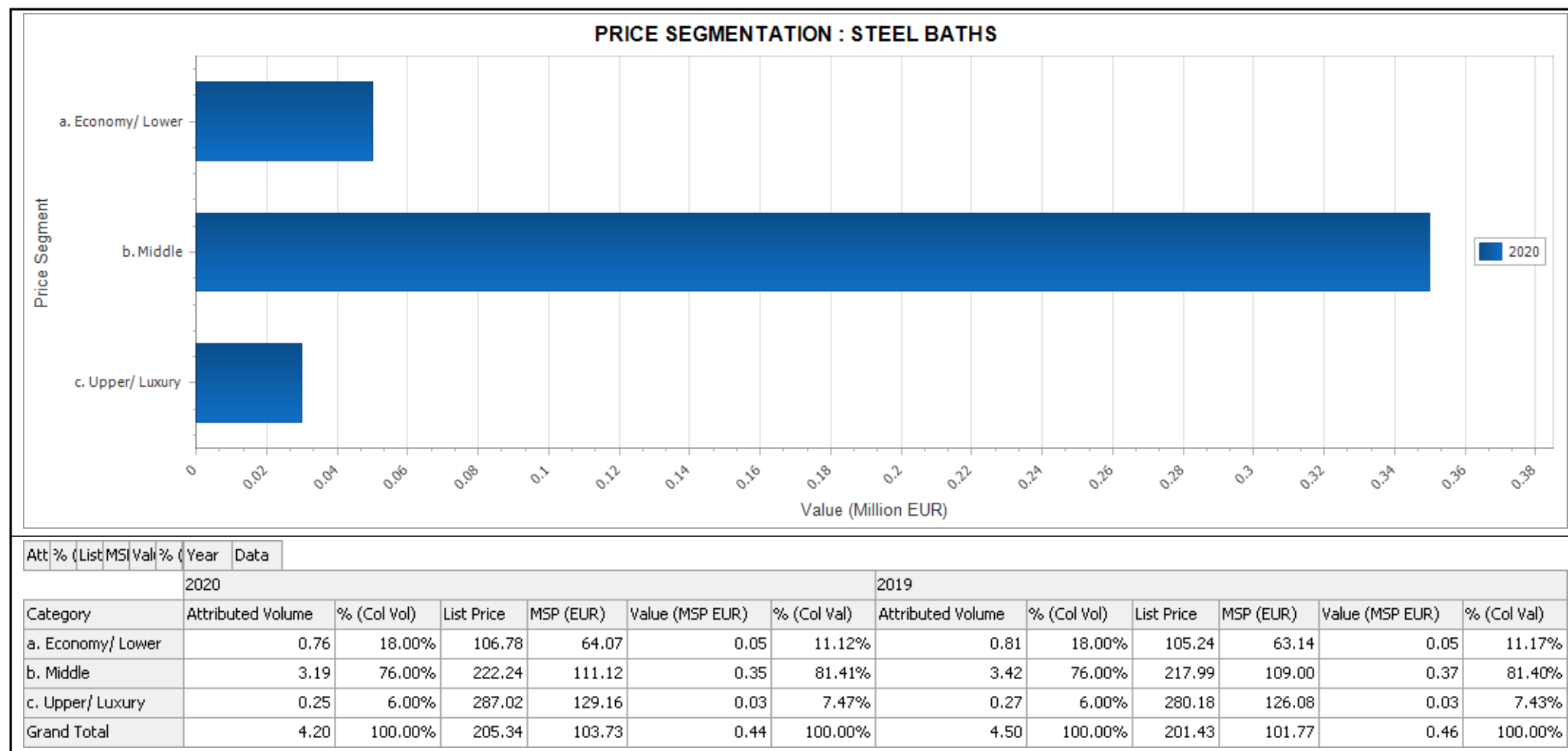


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€250, Upper/ Luxury >€250

1.3.5 Price Segmentation : Steel Baths

SA - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

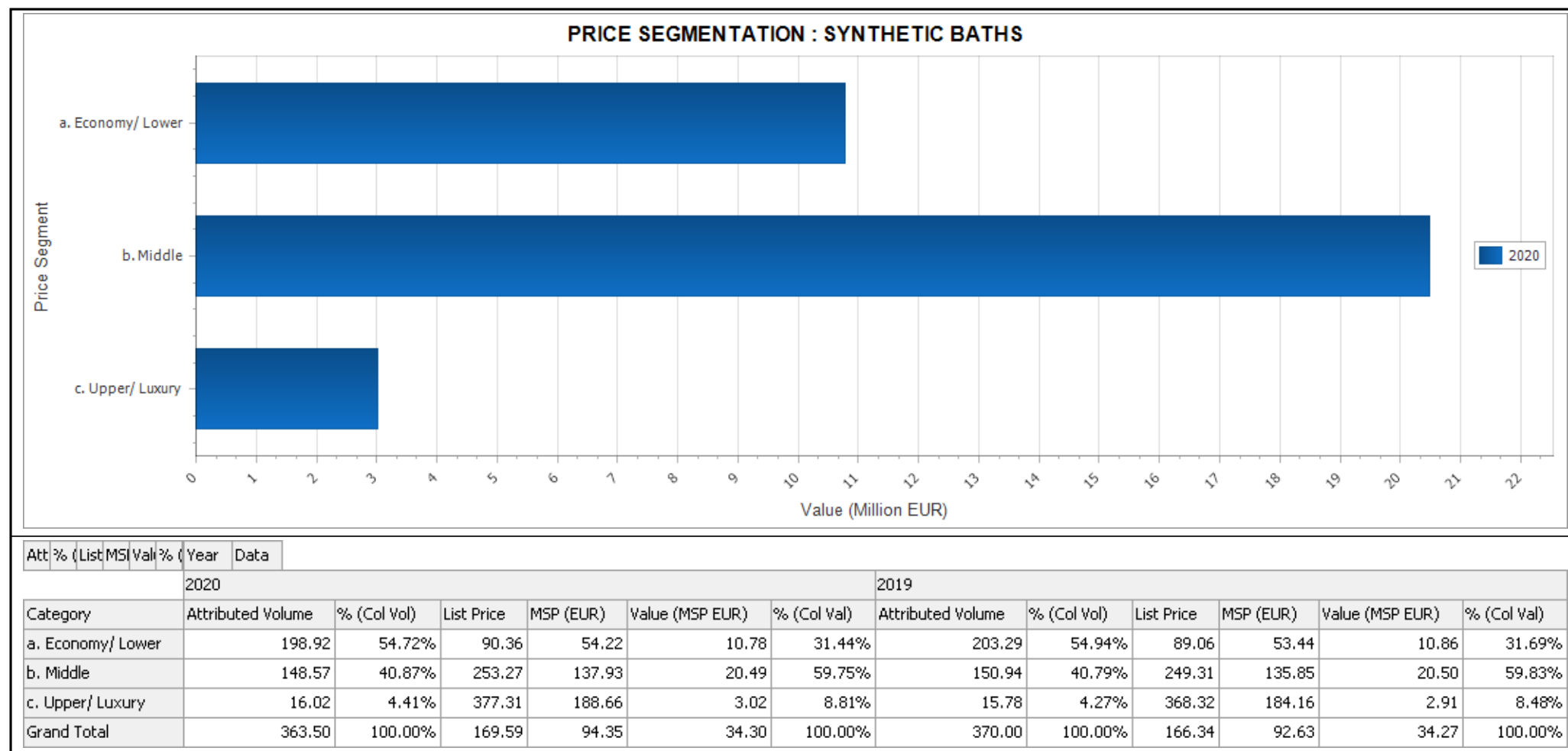


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€70, Middle €70-€120, Upper/ Luxury >€120

1.3.6 Price Segmentation : Synthetic Baths

SA - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

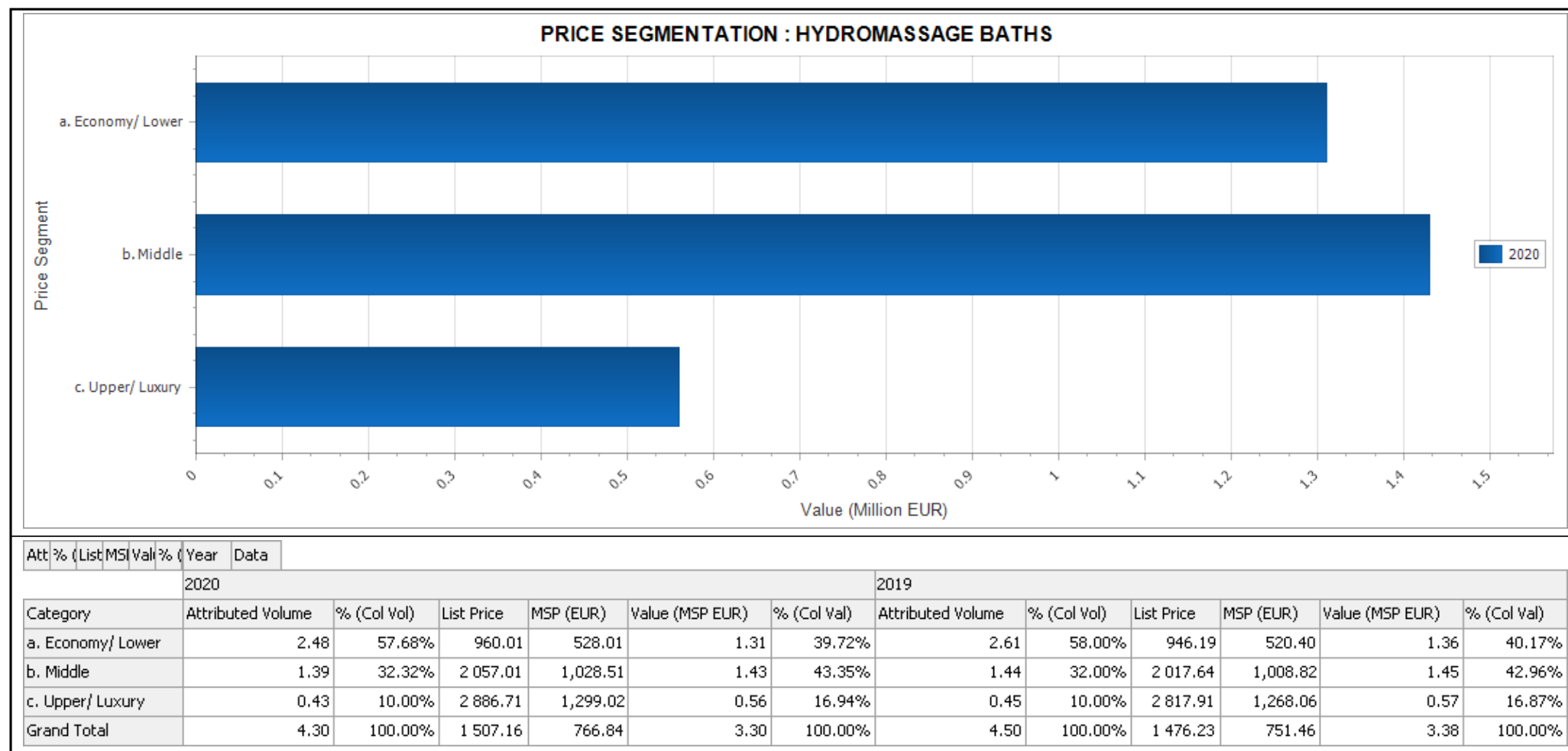


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80, Middle €80-€150, Upper/ Luxury >€150

1.3.7 Price Segmentation : Hydromassage Baths

SA - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

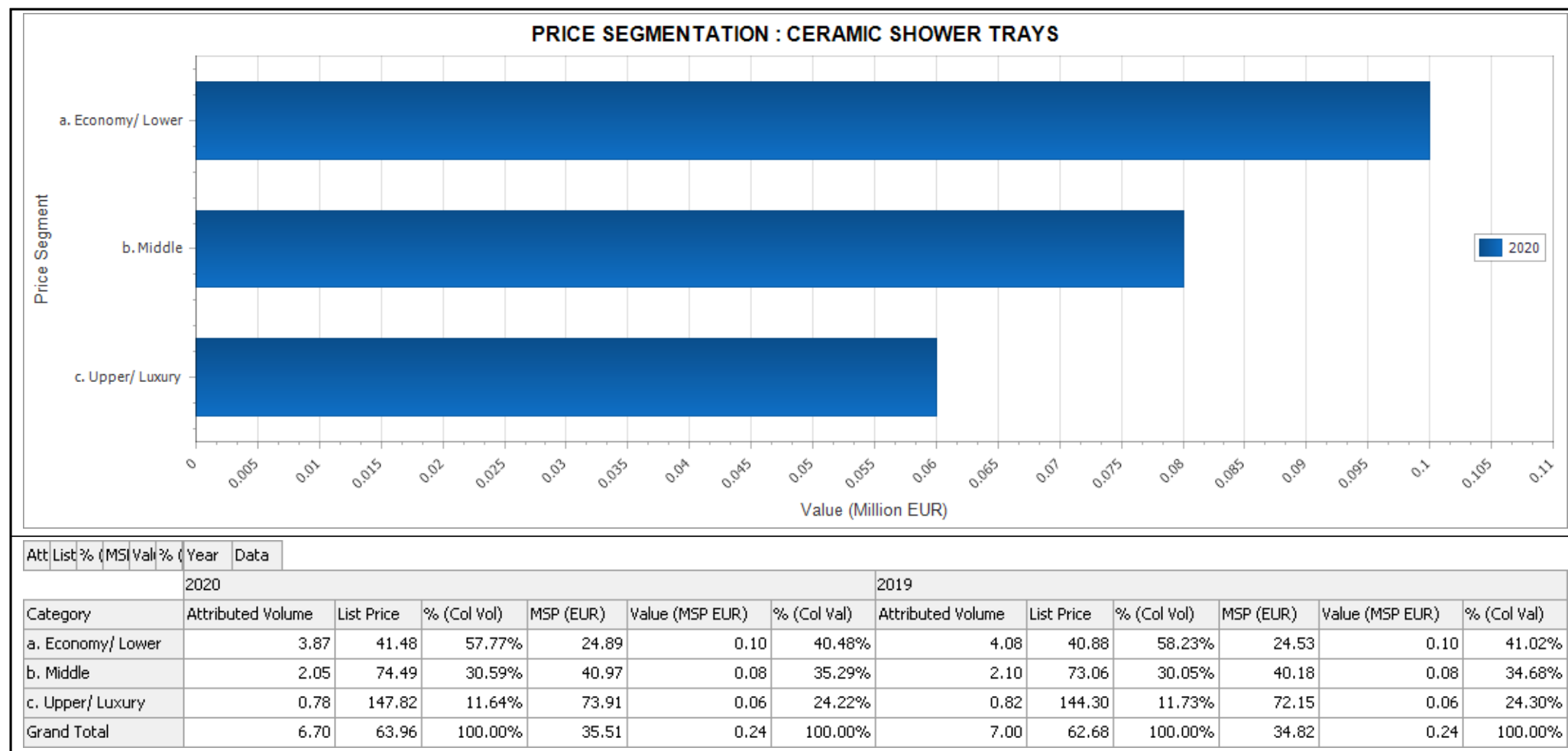


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€700, Middle €700-€1,100, Upper/ Luxury >€1,100

1.3.8 Price Segmentation : Ceramic Shower Trays

SA - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

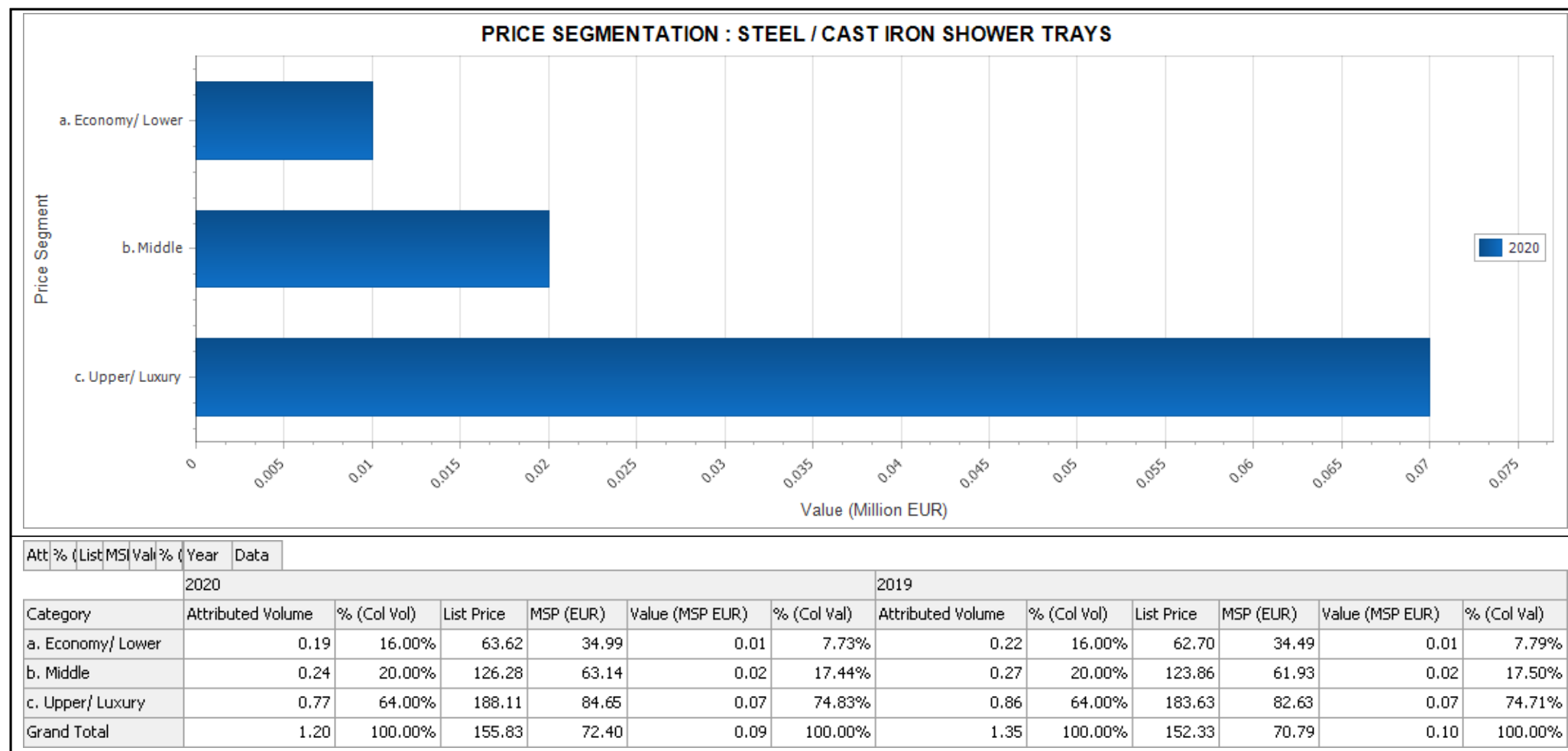


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€30, Middle €30-€60, Upper/ Luxury >€60

1.3.9 Price Segmentation : Steel/ Cast Iron Shower Trays

SA - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS

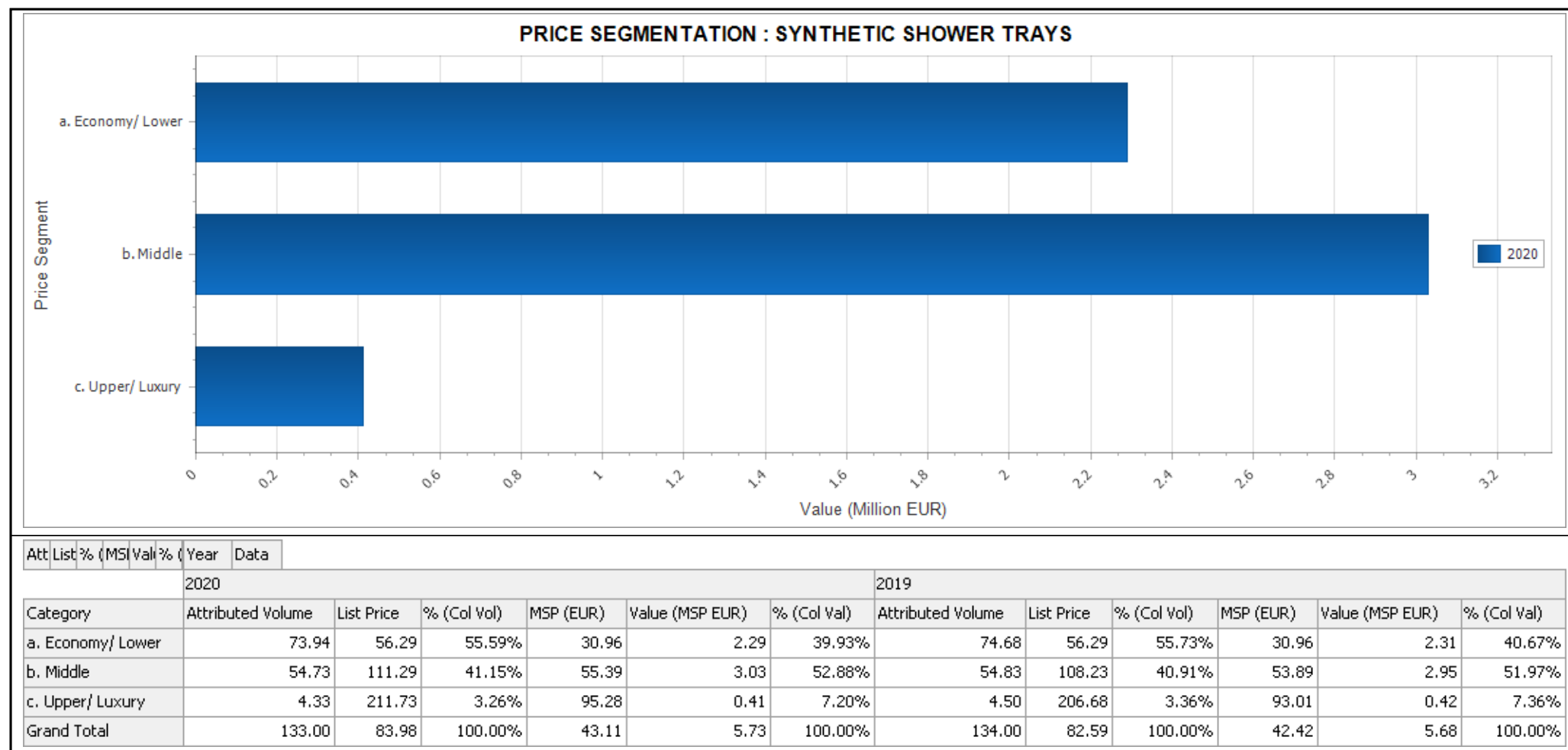


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€70, Upper/ Luxury >€70

1.3.10 Price Segmentation : Synthetic Shower Trays

SA - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

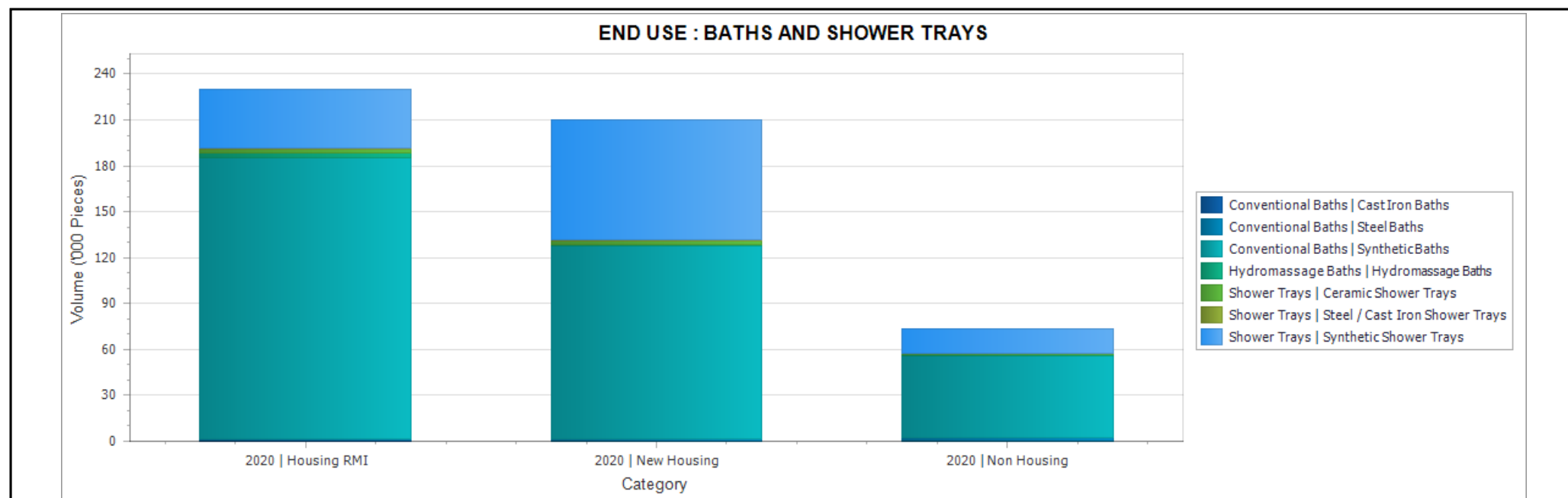


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€60, Upper/ Luxury >€60

End Use : Base Year

SA - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)

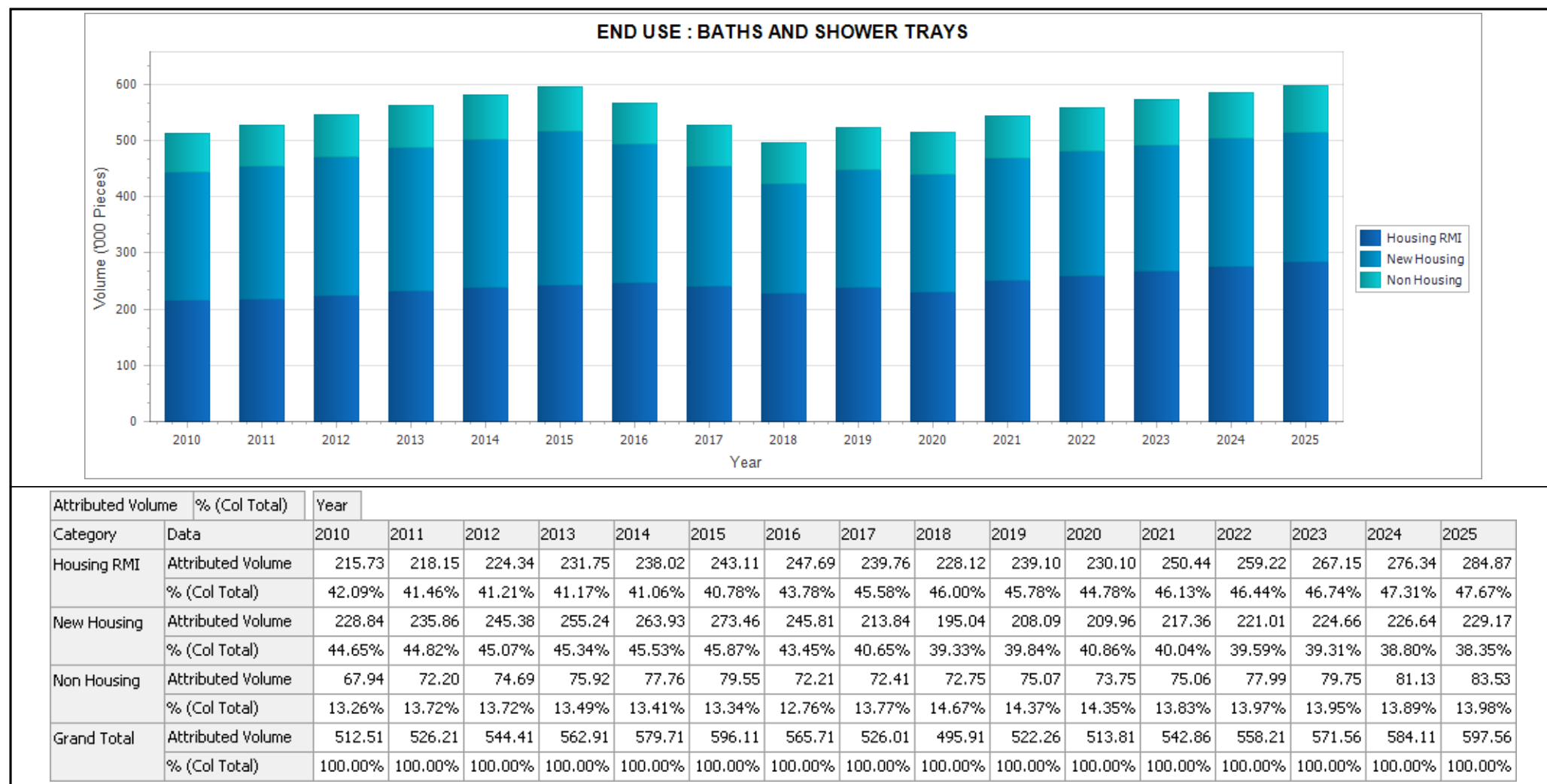


Attributed Volume		% (Col Total)	% (Row)												
				Year	Category	Data									
				2020											
				Housing RMI			New Housing			Non Housing			2020 Total		
Product Category	Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)		
Conventional Baths	Cast Iron Baths	0.43	0.19%	47.84%	0.19	0.09%	21.42%	0.28	0.38%	30.74%	0.90	0.18%	100.00%		
	Steel Baths	1.05	0.45%	24.88%	1.13	0.54%	26.80%	2.03	2.75%	48.32%	4.20	0.82%	100.00%		
	Synthetic Baths	183.55	79.77%	50.49%	126.17	60.09%	34.71%	53.78	72.93%	14.80%	363.50	70.75%	100.00%		
Hydromassage Baths	Hydromassage Baths	3.12	1.35%	72.45%	0.90	0.43%	20.94%	0.28	0.39%	6.60%	4.30	0.84%	100.00%		
Shower Trays	Ceramic Shower Trays	2.91	1.27%	43.46%	2.79	1.33%	41.57%	1.00	1.36%	14.97%	6.70	1.30%	100.00%		
	Steel / Cast Iron Shower Trays	0.67	0.29%	55.37%	0.37	0.18%	30.97%	0.16	0.22%	13.66%	1.20	0.23%	100.00%		
	Synthetic Shower Trays	38.39	16.68%	28.86%	78.41	37.34%	58.95%	16.21	21.98%	12.19%	133.00	25.89%	100.00%		
Grand Total		230.10	100.00%	44.78%	209.96	100.00%	40.86%	73.75	100.00%	14.35%	513.81	100.00%	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

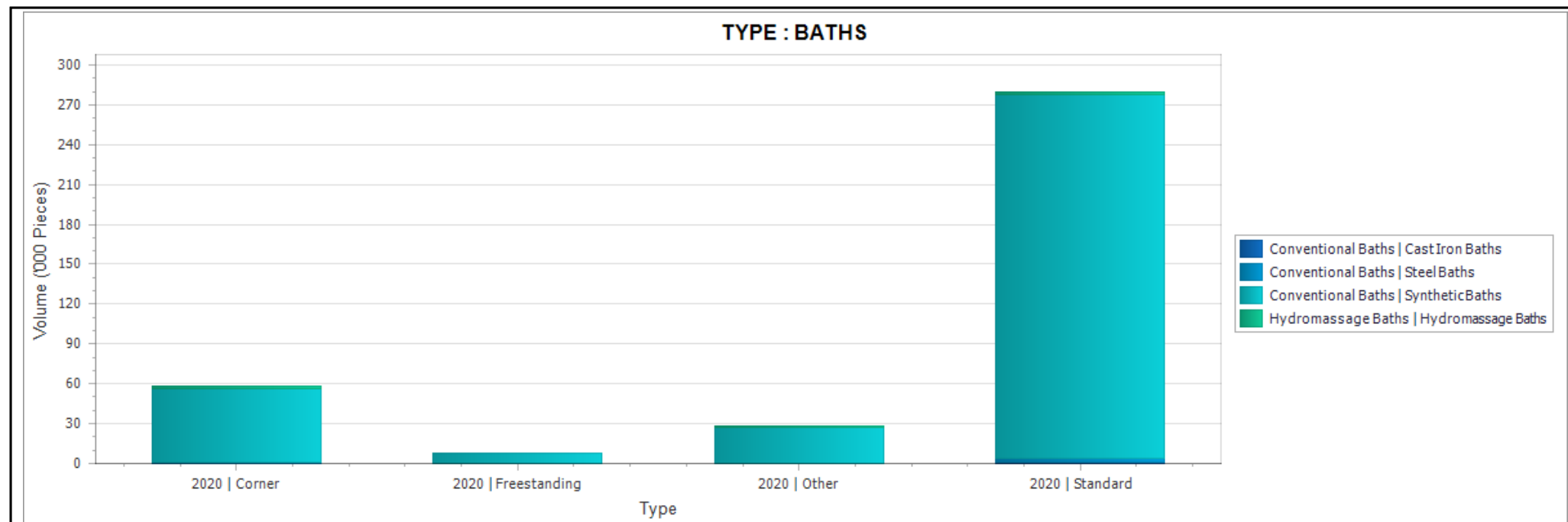
SA - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

SA - BATH SALES BY TYPE ('000 PIECES)

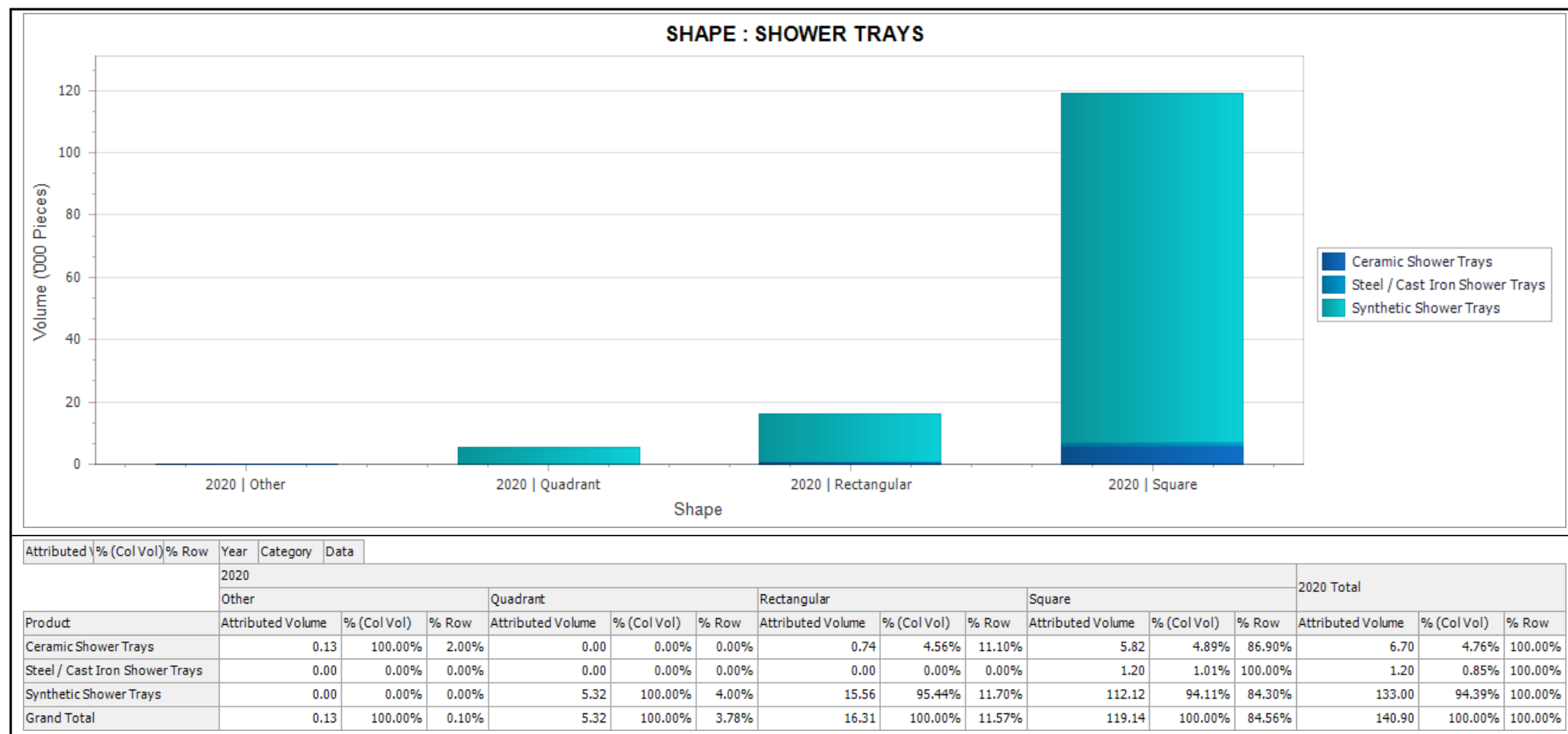


Attributed Volume		% (Col Vol)		% Row																
						Year	Category	Data												
						2020														
						Corner			Freestanding			Other			Standard			2020 Total		
Product Category	Product	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row				
Conventional Baths	Cast Iron Baths	0.08	0.14%	8.77%	0.16	2.16%	17.98%	0.06	0.20%	6.10%	0.61	0.22%	67.15%	0.90	0.24%	100.00%				
	Steel Baths	0.69	1.21%	16.40%	0.08	1.12%	2.00%	0.18	0.65%	4.21%	3.25	1.17%	77.39%	4.20	1.14%	100.00%				
	Synthetic Baths	55.98	98.65%	15.40%	7.27	96.73%	2.00%	26.90	99.14%	7.40%	273.35	98.61%	75.20%	363.50	98.62%	100.00%				
Hydromassage Baths	Hydromassage Baths	1.18	100.00%	27.41%	0.00	0.00%	0.00%	0.57	100.00%	13.30%	2.55	100.00%	59.29%	4.30	100.00%	100.00%				
Grand Total		57.93	100.00%	15.53%	7.52	100.00%	2.02%	27.70	100.00%	7.43%	279.76	100.00%	75.02%	372.90	100.00%	100.00%				

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

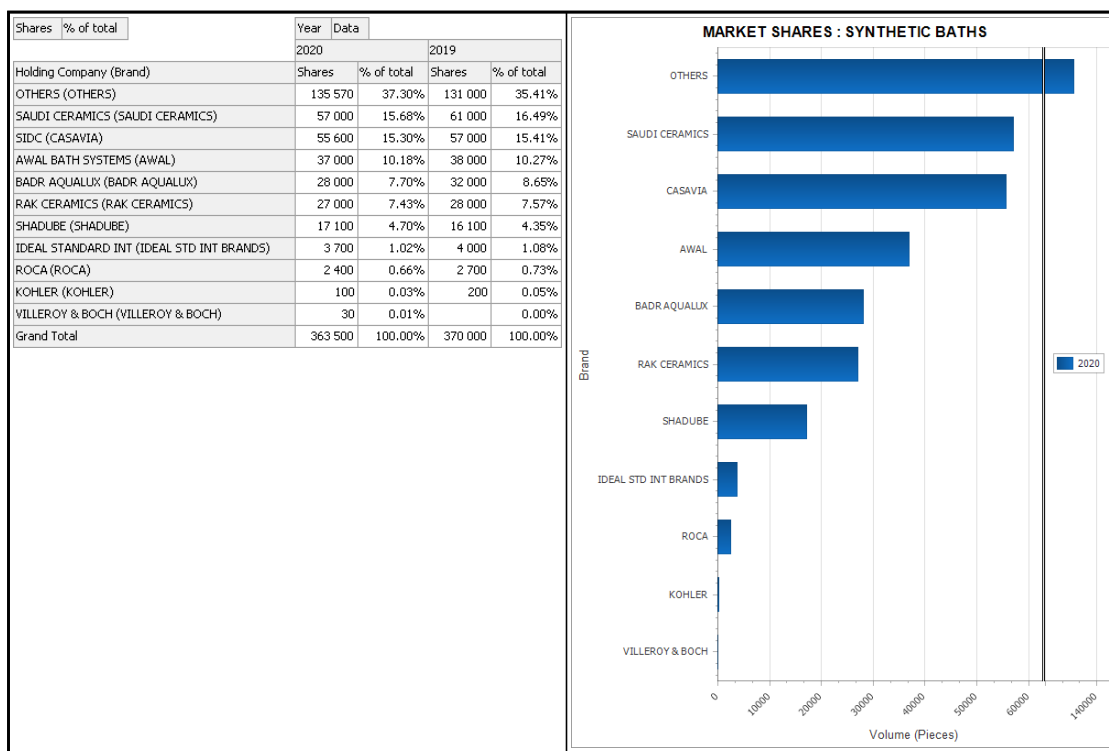
SA - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Synthetic Baths

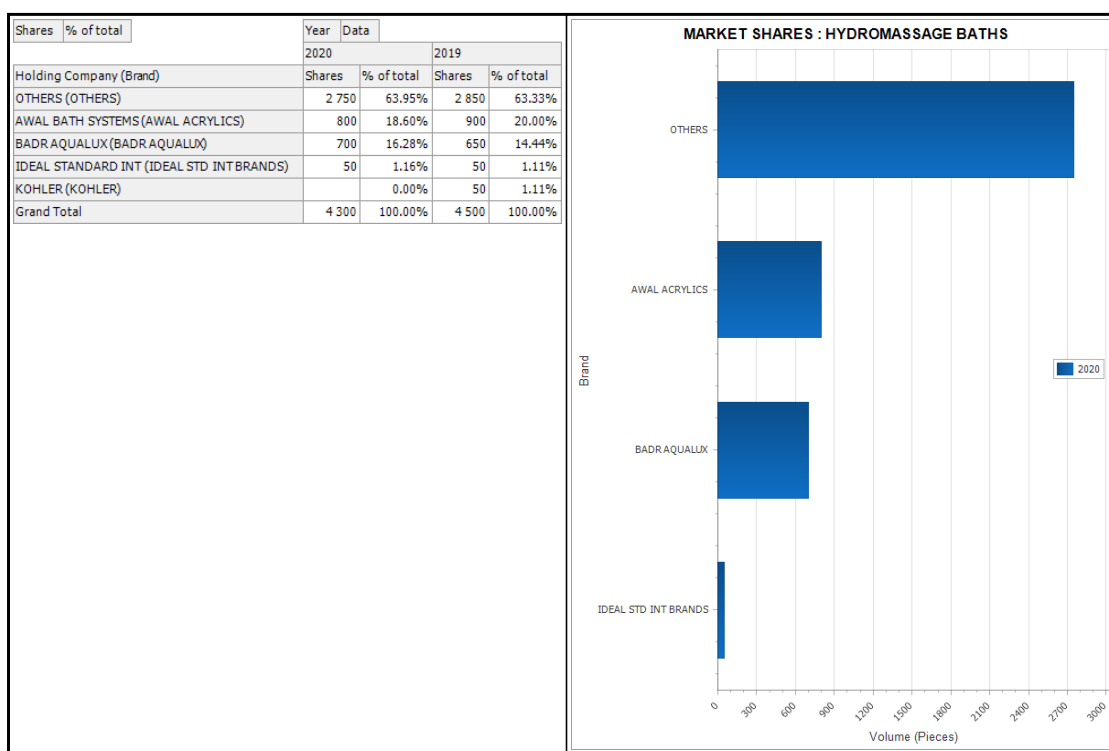
SA - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Hydromassage Baths

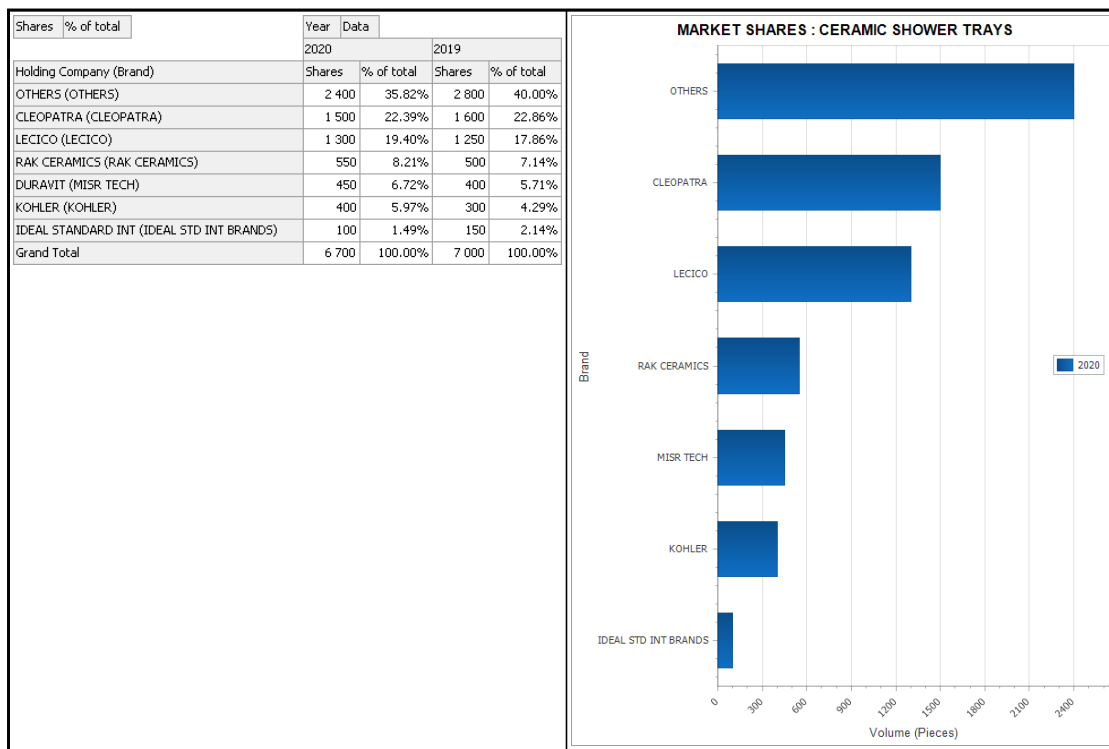
SA - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Ceramic Shower Trays

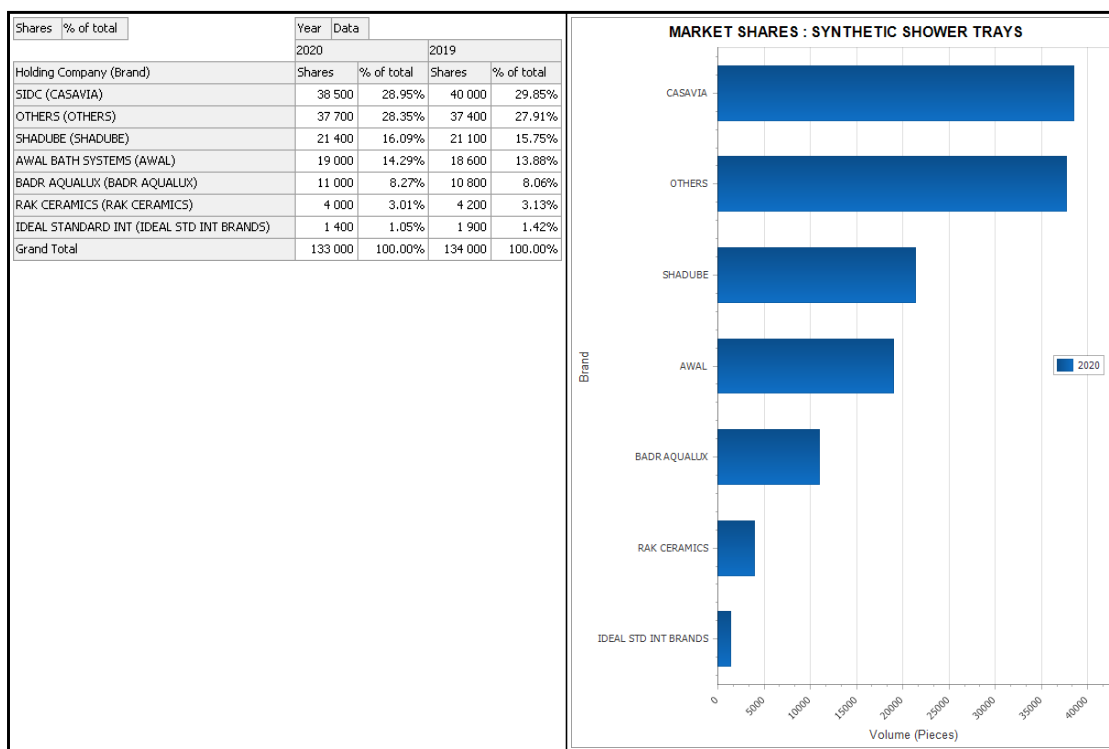
SA - ESTIMATED MARKET SHARES FOR CERAMIC SHOWER TRAYS



Source: BRG based on industry interviews

1.5.4 Market Shares : Synthetic Shower Trays

SA - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1

Route to Market: Baths
SA - ESTIMATED DISTRIBUTION FOR BATHS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

42.7%
Wholesalers / Merchants
42.7%

Retail Level

Manufacturer	Wholesaler
0.0%	0.0%
Internet Retailers	
0.0%	

Manufacturer	Wholesaler
0.0%	0.0%
DIY Retailers	
0.0%	

Manufacturer	Wholesaler
37.4%	8.0%
Specialist Retailers	
45.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.0%	3.0%	0.0%	0.0%	7.4%
Installers				
13.4%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
12.6%	31.7%	0.0%	0.0%	33.0%	7.6%
Residential					
84.9%					

New Build			Residential RMI		
34.4%			50.5%		
Project	Non-Project		Project	Non-Project	
24.0%	10.4%		5.5%	45.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
4.3%	0.0%	0.0%	0.0%	5.0%	5.8%
Non-Residential					
15.1%					

New Build			Non-Residential RMI		
4.5%			10.6%		
Project	Non-Project		Project	Non-Project	
3.8%	0.7%		3.0%	7.6%	

1.6.2

Route to Market: Baths
SA - ESTIMATED DISTRIBUTION FOR BATHS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

38.0%
Wholesalers / Merchants
38.0%

Retail Level

Manufacturer	Wholesaler
0.0%	0.0%
Internet Retailers	
0.0%	

Manufacturer	Wholesaler
0.0%	0.0%
DIY Retailers	
0.0%	

Manufacturer	Wholesaler
42.0%	8.0%
Specialist Retailers	
50.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.0%	4.0%	0.0%	0.0%	10.0%
Installers				
16.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
14.0%	26.0%	0.0%	0.0%	35.0%	10.3%
Residential					
85.3%					

New Build			Residential RMI		
32.1%			53.2%		
Project	Non-Project		Project	Non-Project	
23.0%	9.1%		5.2%	48.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
4.0%	0.0%	0.0%	0.0%	5.0%	5.7%
Non-Residential					
14.7%					

New Build			Non-Residential RMI		
6.0%			8.7%		
Project	Non-Project		Project	Non-Project	
4.8%	1.2%		2.7%	6.0%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.6.3 Route to Market - Consolidated View : Baths

SA - ESTIMATED DISTRIBUTION FOR BATHS : 2020

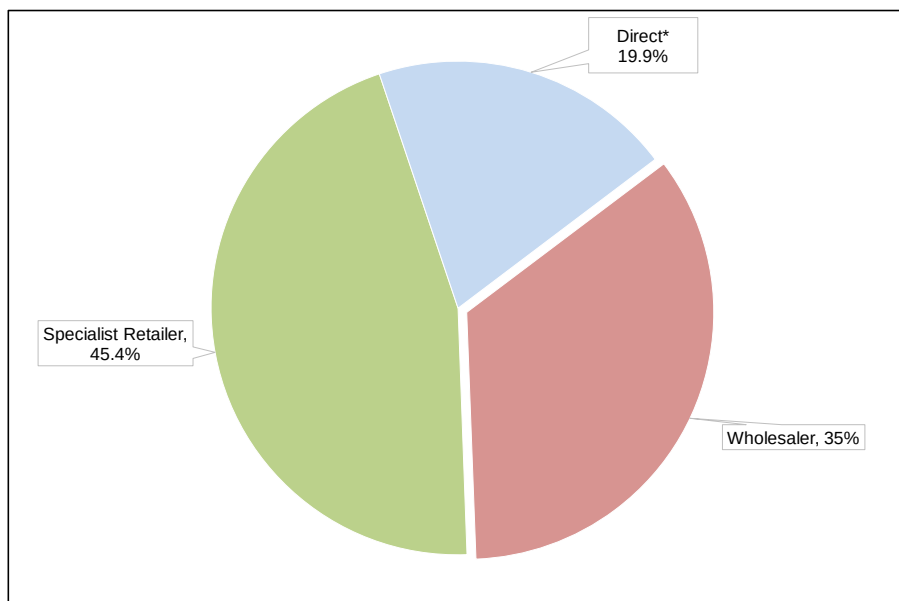
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
34.7%	0.0%	0.0%	45.4%	19.9%	29.5%	6.8%	55.4%	8.3%
100%					36.3%		63.7%	

1.6.4 Route to Market - Consolidated View : Baths

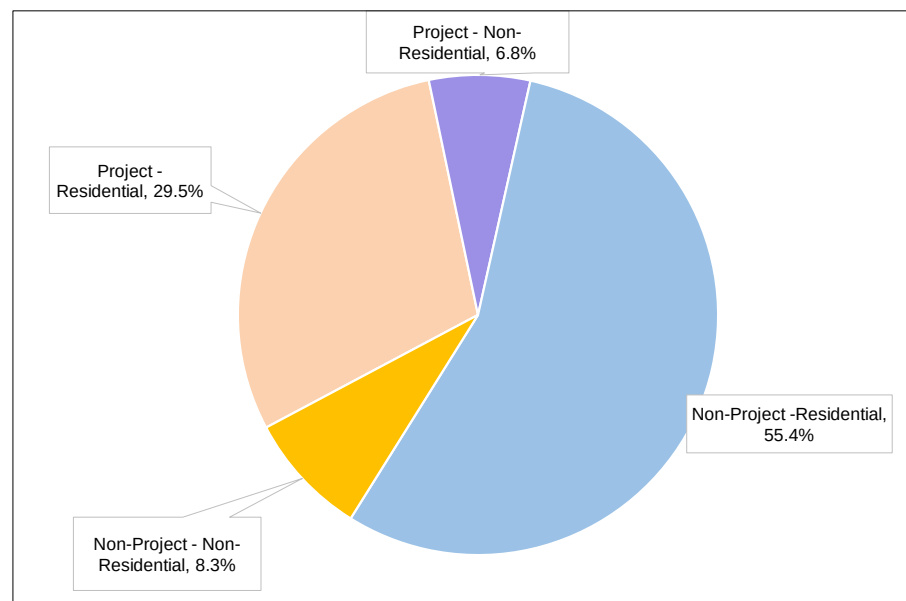
SA - ESTIMATED DISTRIBUTION FOR BATHS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
30.0%	0.0%	0.0%	50.0%	20.0%	28.2%	7.5%	57.1%	7.2%
100%					35.7%		64.3%	

SA - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2020



SA - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.6.5

Route to Market: Shower Trays
SA - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	42.1%
	Wholesalers / Merchants
	42.1%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	0.0%	0.0%	0.0%	35.4%	11.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.0%		0.0%		46.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.0%	12.0%	0.0%	0.0%	8.4%
Installers				
22.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	18.5%	19.1%	0.0%	0.0%	35.0%	15.0%	1.9%	0.0%	0.0%	0.0%	3.0%	7.4%
	Residential						Non-Residential					
	87.7%						12.3%					
New Build			Residential RMI			New Build			Non-Residential RMI			
57.9%			29.8%			4.5%			7.8%			
Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project		
42.0%	15.9%		2.8%	27.0%		3.5%	1.0%		4.0%	3.8%		

1.6.6

Route to Market: Shower Trays
SA - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	38.5%
	Wholesalers / Merchants
	38.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	0.0%	0.0%	0.0%	42.0%	11.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.0%		0.0%		53.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.0%	12.0%	0.0%	0.0%	15.0%
Installers				
29.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer			
	16.0%	15.5%	0.0%	0.0%	35.0%	21.5%	1.5%	0.0%	0.0%	0.0%	3.0%	7.5%			
	Residential						Non-Residential								
	88.0%						12.0%								
New Build				Residential RMI				New Build				Non-Residential RMI			
54.9%				33.1%				6.0%				6.0%			
Project		Non-Project		Project		Non-Project		Project		Non-Project		Project		Non-Project	
40.0%		14.9%		3.1%		30.0%		4.0%		2.0%		3.5%		2.5%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.6.7 Route to Market - Consolidated View : Shower Trays

SA - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2020

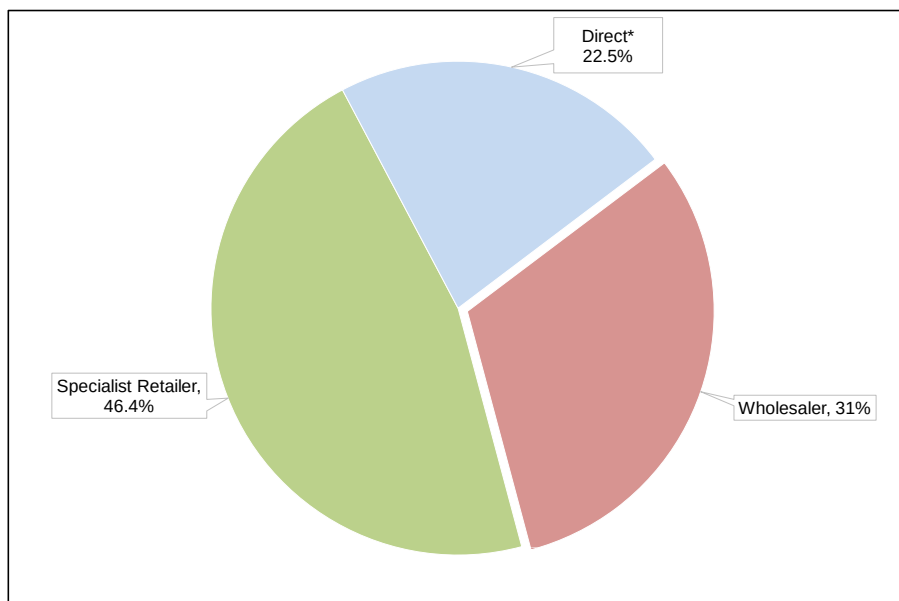
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
31.1%	0.0%	0.0%	46.4%	22.5%	44.8%	7.5%	42.9%	4.8%
100%					52.3%		47.7%	

1.6.8 Route to Market - Consolidated View : Shower Trays

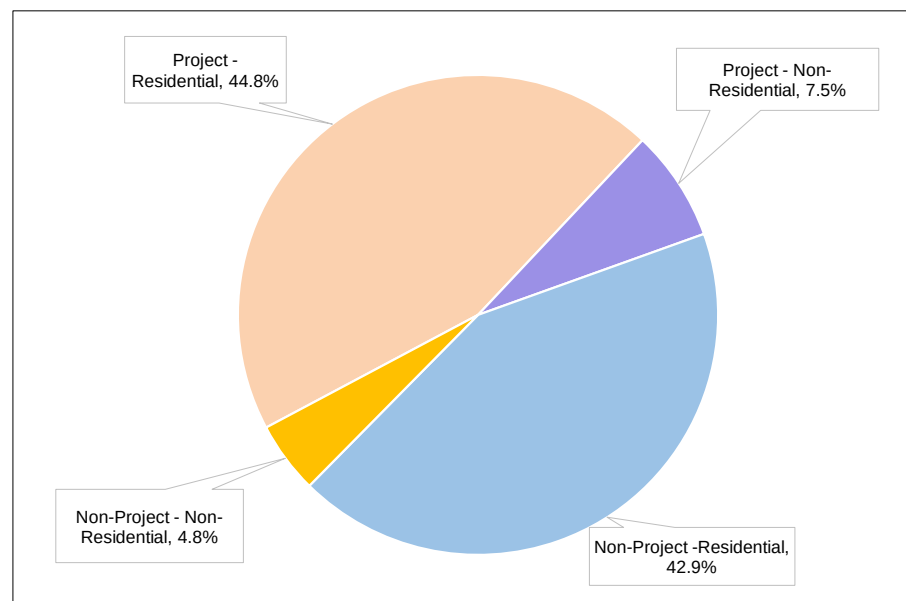
SA - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
27.5%	0.0%	0.0%	53.0%	19.5%	43.1%	7.5%	44.9%	4.5%
100%					50.6%		49.4%	

SA - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2020



SA - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2020



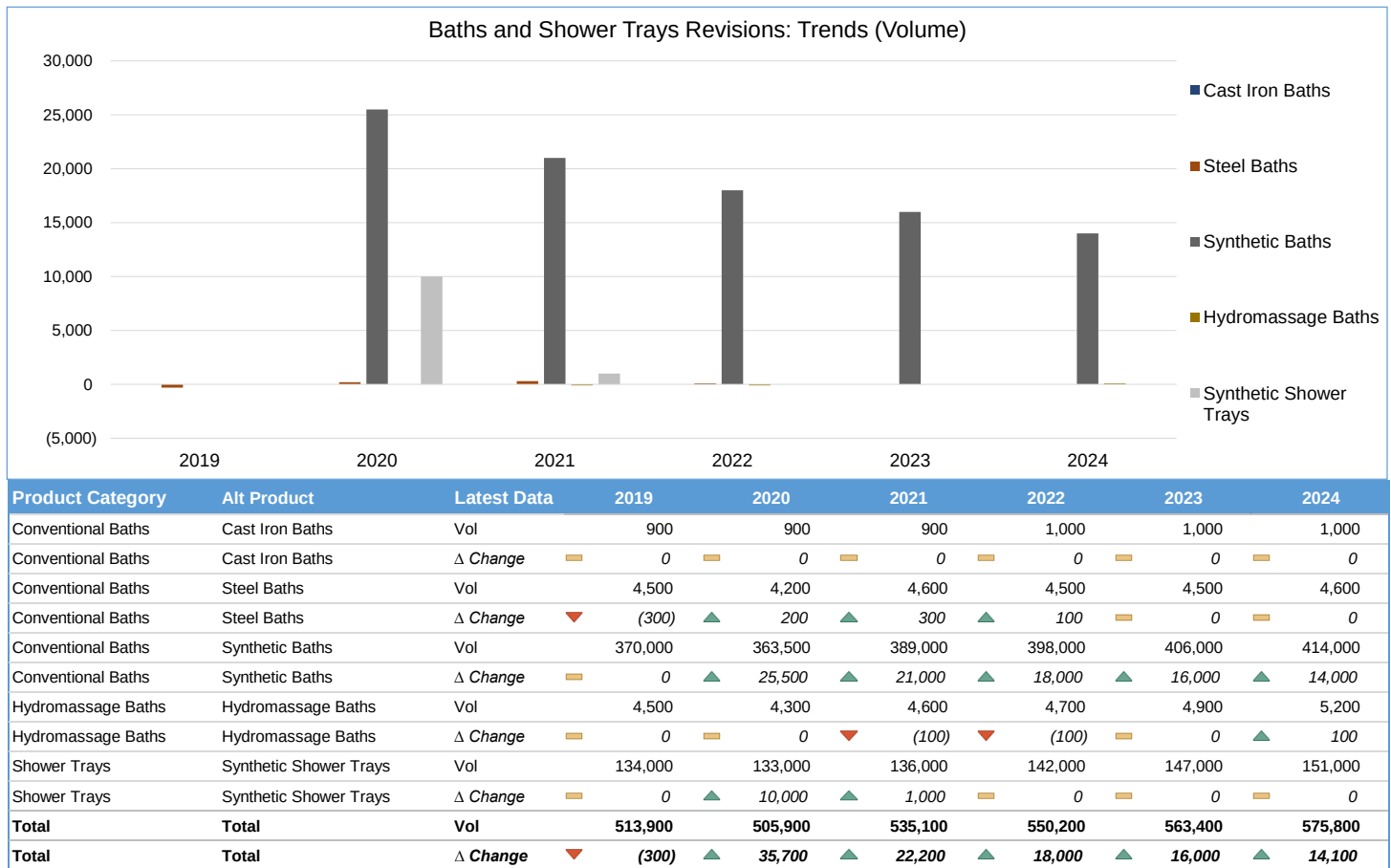
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7 Revisions in the Saudi Baths and Shower Trays Market (April 2021)

SA - REVISIONS IN THE SAUDI BATHS AND SHOWER TRAYS MARKET

Data Comparison: April 2020



The market size for steel baths was revised downward for 2019. Some baths were exported to Kuwait merchants for the Kuwaiti steel baths market, which was previously counted for the domestic market.

The MSP for conventional baths has been revised upward in the historical series. For cast iron baths, it concerns the years 2005 to 2007. For steel baths, it concerns the years from 2005 to 2010. For synthetic baths, it concerns the years from 2005 to 2019. The MSP for hydromassage baths was revised downward in 2009 and upward for 2011.

This price revisions were due to a revision in our price segmentation, with a lower share of low/economy range regarding conventional baths. For hydromassage baths, the instable supply structure was revised for these two years mentioned above, which affected the price segmentation.

The MSP for shower trays was revised upward in the historical series. For Ceramic shower trays, it concerns the years 2005 to 2007. For steel/cast iron shower trays, it concerns the years 2005 to 2011 and from 2015 to 2017. For synthetic shower trays, it concerns the years 2005 to 2007 and 2015 to 2019.

Similar to the price revision for baths, the MSP for shower trays was revised upward due to a lower share of low/economy range, which led the overall price for shower trays to be revised upward.

SAUDI ARABIA

SANITARY WARE

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

In Saudi Arabia, the overall sanitary ware market has mostly been driven by high construction activities in the residential sector throughout the last decade, further helped by the presence of several major manufacturers. The government mostly leads these construction activities and local manufacturers benefit from not only energy subsidies for these projects, which helps these manufacturers to maintain relatively low production costs, but also by being typically favoured in the tendering process by the government.

Construction activities in the residential sector are due more to the population structure in the country rather than the growing population itself, with the bulk of the population being made up of young adults, at the age of getting married and settling down in a new home, coupled with the trend towards a nuclear family. As a result, the market for sanitary ware has experienced a tremendous development over the last decade, through this demand for housing.

In the domestic sanitary ware market, there is a strong correlation between what local manufacturers are able to produce and the type of products that are in demand, mainly in the low to medium range. Sanitary ware products in Saudi Arabia tend to have a high price elasticity. This is less due to the limited purchasing power of the population than to consumer habits, as Saudi householders like to change their bathrooms regularly, sometimes every three years. Most Saudis do not choose products that have a long lifespan, since most of these products will typically be changed much earlier. Although the Saudi market for sanitary ware is not yet fully mature, the replacement market is considered to be high.

In the last few decades, the increasing cost of living in Saudi Arabia and the government's failure to empower the country's youth population has led to a pauperisation of the population, unable to purchase, or even rent, decent houses (which are usually paid for annually). For this reason, the government has made a significant effort to provide a generous welfare state and supply of affordable dwellings. Structural impediments, however, such as the fact that construction costs should be maintained as low as possible, and the limited availability of land in areas with basic infrastructure (such as water and electricity), among other barriers, have led to an endless shortage of housing in the country.

In terms of product breakdown, it has remained very stable over the past few years and only minor changes have occurred. Plastic cisterns are becoming increasingly popular, especially the concealed models. Historically exclusively sold to the non-housing sector, such as hotels, they are now increasingly included in many residential developments. However, plastic concealed cisterns require advanced technical skills for installation, so the total cost is still much higher than the installation of a ceramic cistern. Exposed plastic sanitary ware represents the largest share of plastic sanitary ware sales. They are mainly used for Turkish toilets. More difficult to install, they also require a certain level of technology with

regards to the flushing systems. The toilet spray – referred to locally as the *shattaf* or ‘bum gun’ – has significantly replaced the bidet.

There are several factors that account for annual demand for sanitary ware in Saudi Arabia. The country has a high average number of bathrooms per dwelling; among family members, different genders do not use the same bathroom. As a minimum, each dwelling has separate bathrooms for boys and girls, as well as a bathroom for guests only. For wealthier people, each bedroom has its own bathroom, and an additional bathroom exists for the maid or driver. Taking this into account, the quality of product installed varies depending on the user. Brand names might be installed in the bathroom used by the guest, the master bathroom or the parent’s bathroom, while Chinese imports are generally installed for the maid or the driver. For the children, it can vary depending on the age, gender, and needs. An apartment can contain one master and one or more additional bathrooms – depending on the number of rooms – while villas may have four to six bathrooms. The master bathroom generally has a large number of sanitary ware units installed, primarily because bathrooms are also used for ablutions prior to Islamic prayers, but also just because the extra space triggers impulse purchases by Saudi householders. Residential demand for sanitary ware is also boosted by the local habit of replacing items rather than fixing them. This is also true for buildings, as they are often demolished rather than refurbished; when buyers acquire a new home from a previous private owner, all sanitary products are generally replaced.

Within the non-housing segment, Saudi Arabia does not really have a tourism industry, as most foreign visitors come to the country for business or religious pilgrimage. The two holy cities of Mecca and Medina, situated in the western part of the country, and the city of Jeddah, which is the entry city from abroad, have a large number of hotels. Another, less-known driver within the non-housing segment is the mosque. Saudi Arabia includes a large number of mosques, in which a large quantity of sanitary ware products is installed (it is mandatory for Muslims to perform ablutions before praying). These products are intensively used and, therefore, have a much higher replacement rate than products installed in a dwelling.

Since January 2018, it became mandatory for manufacturers and importers to put a label on toilets (with dual and single flush), as well to as produce urinals with flush systems, thus reducing the water consumption.

Recent Market Trends

In Saudi Arabia, the Covid-19 pandemic had a limited impact on the sanitary ware market. Hence, year-to-year sales fluctuations were limited in 2020.

During the year, sales of sanitary ware products in the country declined, due to low activities in the retail and construction sectors in the first half of 2020, due to the pandemic and government measures to tackle its spread. During this half-year, sanitary ware sales declined in all segments.

However, an early recovery was perceptible from June.

Concealed plastic cisterns experienced a sales drop, due to the decline in both new build and replacement sales within the non-housing segment.

The economic reforms engaged by the government such as ease in doing business, incentives to help the economy, and more intense private-public partnerships have helped to soften sales decline, along with a quick recovery in the second half of 2020.

Prices and Market Values

In 2020, the price hike led some sanitary ware manufacturers to increase their sales revenues.

In particular, the increasing price from SAUDI CERAMICS, which is the market leader within the ceramic sanitary ware market, has contributed to a rise in the overall MSP.

This price increase was due to the convergence of a strong demand generated by intense housing construction activities, with a disturbed supply chain, but also due to the real or supposed effect of the Covid-19 pandemic. Indeed, some manufacturers as well as importers took advantage of Covid-19 to increase their MSPs.

Because the economy and low-end ranges represent the bulk of the market, the increasing MSP for upper ranges was far insufficient to offset the overall price decline. Asian products remained very competitive, despite the fact that the buying price from the distributor includes the shipping cost (as they are mostly sold at FOB price). In this report, the MSP is estimated 'ex-works' (without the freight cost), which led the prices for Asian products to be even lower than those manufactured locally.

The MSP expressed in local currency (SAR) for upper and luxury range products imported from the Eurozone has been largely influenced by the fluctuation in the exchange rates between the USD and Euro (as the SAR is pegged to the USD).

New Housing

Sales of sanitary ware products to the new housing segment increased in 2020, thanks to the large demand for housing.

Many housing projects were finalised in the year. King Abdullah Economic City (KAEC) was officially completed, and generated a substantial volume of sanitary ware products installed in residential dwellings

During 2020, plastic cistern sales performed better than ceramic sanitary ware products in the new housing segment, thanks to the increasing popularity of concealed cisterns in new housing projects.

Despite a slowdown in construction activities during the first half of the year, sales of sanitary ware products started to recover in June and improved gradually throughout the second half of 2020, offsetting slightly the loss in sales.

The government goal to increase the ownership rate of the Saudi population, which is part of Saudi Vision 2030, contributed to boost residential construction, and consequently the sales of sanitary ware products.

Housing RMI

In 2020, sales of sanitary ware products declined in Saudi Arabia.

This was due to government measures to tackle the spread of Covid-19, such as lockdown and curfew that reduced, during the first half of the year, the opening hours within the retail sector, in addition to fear felt by some Saudi households – further reducing further the number of shoppers.

As Saudis tend to replace their bathroom products once they move to a new house bought in the existing market, the overall number of dwellings that were sold during the year declined, and this constituted another factor to impact the RMI segment in Saudi Arabia.

During H2-20, sales of sanitary ware products bounced again, but this was not sufficient to offset the sales losses of H1-20.

Also, according to JLL, a real estate agency, this was due to a higher number of real estate transactions; new reforms implemented in the banking systems led to a higher number of mortgages being contracted by Saudis.

Non-Housing

Sales of sanitary ware to the non-housing segment declined in 2020.

Following a lower construction output in some non-housing building types such as offices, and along with an overall slower sales activity in the retail sector, sales of sanitary ware products shrank in the year.

Concealed cisterns experienced the stronger decline due to the fact that a significant share is captured by offices, for which the construction trend declined in 2020.

The strong impulsion of MBS towards the Saudi Vision 2030 programme has also led to greater completions of new hotels in 2020.

One of the key points of this programme is diversification through the development of non-oil sectors such as tourism, and consequently the emphasis has been put on the construction of hotels.

Since 2020, tourist visas for visitors from 49 countries can now be obtained online or on arrival. Previously, only religious tourists and business visitors were allowed.

This should constitute a new driver for sanitary ware sales to non-housing, with more hotels expected to be built. While the sudden pandemic caused the number of visitors to drop near to zero in 2020, it should not jeopardise long-term plans to attract more visitors.

Supply Structure

In 2020, RAK CERAMICS performed well in Saudi Arabia, with market shares increasing. This was due to the robust demand from the kingdom, new duties being applied to Indian and Chinese imports that led RAK CERAMICS, and to a lesser extent, its strong position in the country within the tiles market, which is its core business – and of which the sanitary ware business is an extension.

SAUDI CERAMICS remains the most popular brand in the ceramic sanitary ware market. According to industry sources, the strong position of the company is boosted by the government's initiative that protects local manufacturers against cheap imports, with steps taken by the government to impose anti-dumping duties.

Imports from China increased in H1-20, in comparison with H1-19. With the improvement of the economic climate along with the return to business activities, imports are believed to have increased in the second half of 2020.

Following the shift from a planned economy to a market economy, merchants in China have been playing a crucial role in the export of sanitary ware products to Saudi Arabia. Many manufacturers prefer to focus only on production and supplying the domestic market ex-works, then merchants are served as relays and intermediaries between importers and manufacturers. Furthermore, as Saudi companies import from different manufacturers (especially when different product ranges or brands are needed), consolidating the goods with merchants is more convenient and economical.

With low barriers to entry, a large number of sanitary ware manufacturers exist in China.

The development of the sanitary ware industry in China, boosted by the shift to a liberal economy in the 1980s, is very recent. It was also too fast for Chinese manufacturers to establish their own brands, as opposed to Western (including Japanese) brands, known for over a century in the case of the major ones. Chinese products are often subject to a high price elasticity (as is usual with low-end/unbranded products), and consequently a low brand loyalty.

The analysis of the supply structure from China only, can be split roughly into three groups as follows (from high to low-end range):

- the first group consists of Western brands that have manufacturing facilities in China, such as KOHLER, TOTO, and ROCA, through the ownership of a factory or through ODMs,
- the second group is made up of manufacturers that specialise in low/medium-range products, such as ARROW, HUIDA, BOLINA, and HEGII.
- the third and largest group is represented by economy/low-end products that are believed to be manufactured by smaller Chinese companies than the big ones mentioned above.

In very recent years, the supply structure has evolved as follows:

- Western brands manufacturing in China have started to expand their offers to the medium market and are no longer limited to supplying their product to the upper-end market, whether for the domestic Chinese market or for export to Saudi Arabia.
- major brands, following heavy investments, and following the rise of a strong middle/upper class in China, are no longer focusing on the low-end market.

This has weakened the old dichotomy between cheap Chinese products and high-end Western products. Furthermore, this new structure of the sanitary ware market, and the economy of scale generated from it, has had a direct impact on the product offer in Saudi Arabia.

Following data gathered among local distributors in Saudi Arabia, some concerns were raised regarding the quality of Western products manufactured in China. These concerns originated from the confusion of who is producing what, in a plethora of offers, from white labels to private labels to original design manufacturers (ODMs), to original equipment manufacturers (OEMs) and other contract manufacturers (CMs). Furthermore, the limited policy against counterfeit products led some showrooms to have two offers of the same brand, one original and one fake, and the same weak policy and lack of traceability may lead some distributors to do this segmentation for the same product/brand (original or fake), while 100% of its products are, in fact, fake. While this exists, and has some negative impact on the brands concerned, it is not too common. However, some consumers believe that only products manufactured in Western countries can be considered Western products, and not those made in Asia by Western brands. Lastly, the increase in production costs in China has led some manufacturers to consider opening manufacturing plants in India, from where products are exported to Saudi Arabia. This concerns the economy/low range. These increasing production costs have contributed also to the development of better-quality products, giving them an advantage over Chinese products, and therefore the production cost is seen as the 'most comparative advantage' when it comes to

international trade. China goes towards more added-value manufacturing products, with more technology in the production line.

OEM/ODM continues to represent a significant share of the sales revenues for these Chinese manufacturers, but some try to launch their own brands with more or less success.

Plastic cisterns are believed to be exported to Saudi Arabia by AMASHI and NISON, with a significant share of white and private labels.

More recently, VIGLACERA, a manufacturer of ceramic sanitary ware products based in Vietnam, has entered the Saudi market, offering products at competitive prices.

The dominant position occupied by the local manufacturers represents an important barrier to entry into the Saudi market for foreign manufacturers. With local companies enjoying a privileged position in most projects, and along with an increasing regional economic integration, it is believed that local and regional companies should see their market shares increasing.

The success of local manufacturers of ceramic sanitary ware in supplying high-quality products has had a reverse effect on their shares within the low-end segment, as their production costs have increased despite government subsidies for the energy used in their factories. The quick success of SAUDI CERAMICS, FORSAN, and PORSALINA is mainly due to their Italian machine supplier SACMI. Among the foreign regional manufacturers, RAK CERAMICS is the biggest player in Saudi Arabia, but Egyptian manufacturer LECICO, AWAL ACRYLICS from Bahrain, and the Kuwaiti AQUASAN are also present in the market. Due to the economic integration of the GCC countries, it is believed that regional players should play an increasing role in the coming years.

European brands continue to lead the high-end segment, despite an increasing quality of products from local manufacturers. For some segments, such as concealed plastic cisterns, GEBERIT has a particularly strong position, especially since it supplies its products with a flushing system. GROHE is its main competitor. Other brands such as TOTO also provide high-quality products, but TOTO's flushing system is believed to come from the Chinese WDI PLUMBING. The Portuguese OLI has a flushing system mounted on a cistern from IDEAL STANDARD.

FORSAN CERAMICS became, very quickly, a major new company operating in the ceramic sanitary ware market. The company invested heavily in its production plant as well as in the staff, and it has a production capacity of 1.5 million pieces of sanitary ware products. FORSAN CERAMICS focuses more on design compared to its competitors, but some of its products might not necessarily be in line with the domestic market (such as their product System Two, which seems to be designed for tight student flats or the Japanese environment rather than large Saudi villas).

Forecasts

The impact of the Covid-19 pandemic on the sanitary ware market was milder than previously expected, as the market has already recovered in 2021, and government restrictions had a limited impact on residential construction activities.

Early counter-measures taken by the government to tackle the spread of the pandemic such as a generous financial stimulus package, together with a resilient construction market in light of the government focus to increase the housing ownership rate of its population, constitute the key drivers for the sanitary ware market to grow further in 2021 and beyond.

With an expected returned growth of the global economy, oil demand and prices are expected to grow. Along with the fiscal reform that focuses on developing new and more sustainable revenues through tax, the government should strengthen its financial resources to finalise its ambitious construction projects, limiting its financial needs by sourcing from sovereign funds. In the 2021 government budget, spending priorities remained unchanged, with a focus on social housing. A SAR 1 trillion expenditure has been budgeted for this year. While this is slightly below 2020, private investors should bring more money into the economy, thanks to there being easier access to the Saudi market, along with more private-public partnership (PPP).

It is believed that sanitary ware products should increase steadily during the forecast period, considering the huge shortage in housing which should remain for the next several years.

New cities are currently under construction, such as NEOM, a futuristic city backed with a half-trillion dollar budget from the PIF (Public Investment Fund). With the very recent success in the construction of KAEC (King Abdullah Economic City), it is believed that NEOM construction should progress quickly in the coming years. A significant number of non-housing projects such as hospitals, restaurants, universities and schools, and thousands of residential units, are expected.

Also, MBS has disclosed his aim to expand Riyadh from 7 million to 15-20 million by 2030, with the objective of bringing the capital city among the top 10 economic cities in the world.

NEOM and Riyadh should become the two main sales opportunities for sanitary ware products in the coming years.

The introduction in 2019 of the Premium Residency (a form of Saudi 'green card'), which gives a permanent residency for \$213,000, may constitute a new driver for residential construction in the coming years.

The convergence of higher construction output in the residential segment, to meet the demand of housing with a higher involvement of the private sector should

maintain high construction activities. Also, the refund of the banking systems, offering to a larger number of Saudis a method of finance, should increase the market potential of the real estate sector, which should bring the potential of the sanitary ware market to another level.

Within the non-housing segment and as documented in the Saudi Vision 2030 programme, unprecedented development within the hospitality sector should lead to the construction of many hotels over the forecast period. This development is very new as the country was, historically, clearly a non-touristic country (apart from Muslims accomplishing their pilgrimage to the cities of Medina and Mecca). It is part of the economy's diversification, with the aim of Saudi Arabia ranking as a major tourist destination in the region. The Red Sea project (a 34,000 km² resort development project) and Al Quidiya Entertainment City, which should be the largest entertainment city in the world, are the flagships of this transformation. The country has already started a worldwide campaign in that sense.

Sales of sanitary ware products are expected to grow at the end of the forecast period, with a positive CAGR (compound annual growth rate).

However, talks around a new possible curfew were taking place in February 2021, and given the circumstances, it is difficult to say how this will affect the sanitary ware market in 2021.

Through the Prince MBS, Saudi Arabia may see the beginning of a new page of its history, considering the reforms he initiates. His Saudi Vision 2030 plan constitutes a very ambitious programme aiming to radically transform the country. The consequences on the sanitary ware market are linked to massive construction activities, in line with key points stipulated in that plan: the aim of increasing the home ownership of Saudi people and reducing the shortage in housing, and the development of the tourism sector with mega-projects including hotels. The new emphasis put on fighting against corruption, as well as increasing the effectiveness in the construction sector, should reduce the gap between the many projects that are announced on one side, and the reality of construction activity and completion on the other side.

The shortage in housing is less the result of a growing population than the structure of the population pyramid, with a sharp increase of young adults that constitutes, by far, the main factor to explain the rising demand for housing.

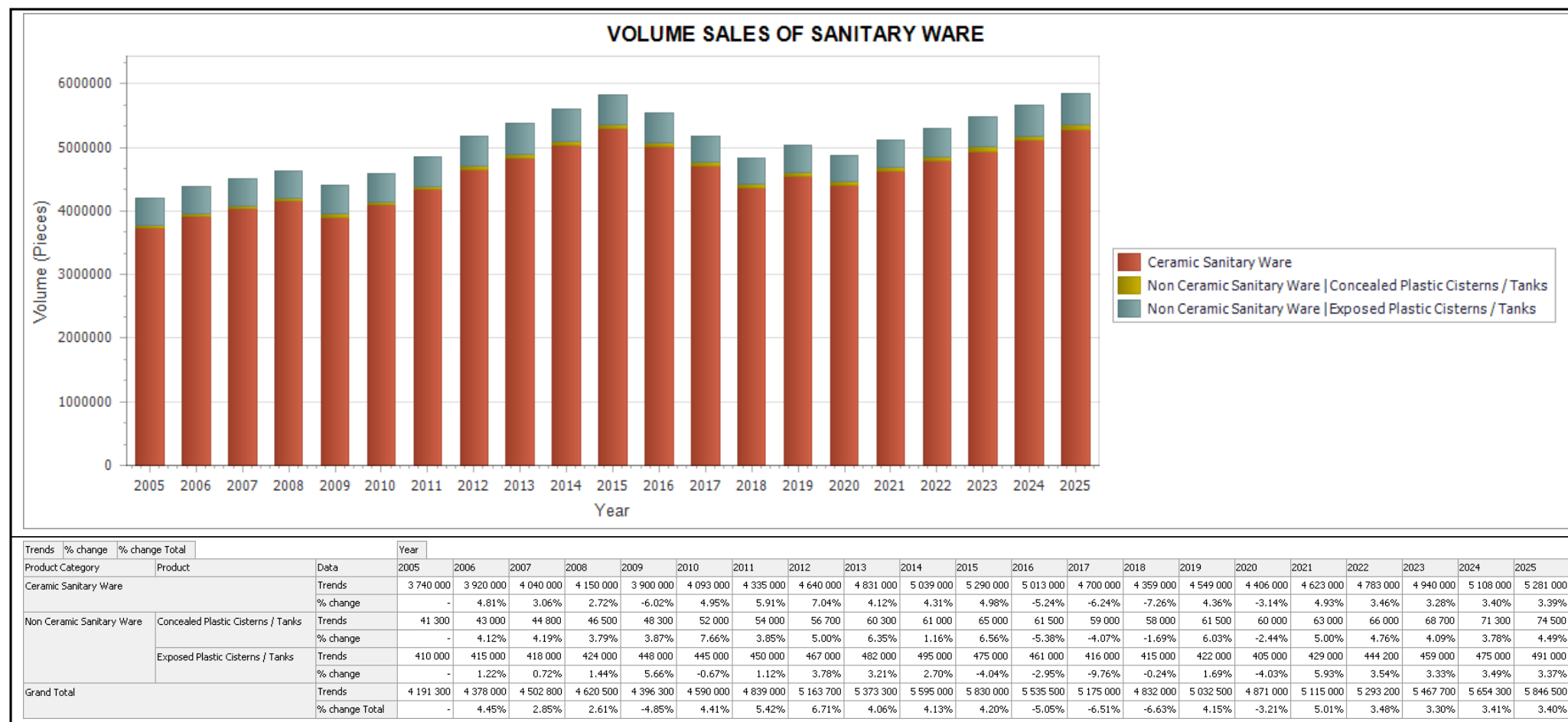
In 2021, the Abraj Kudai hotel is planned to open. Built by BEN LADEN GROUP, it is the largest hotel in the world, with 10,000 rooms and 70 restaurants. In 2022, the one-kilometre tall Jeddah Tower is expected to be completed. These two projects should represent massive sales opportunities for high-end sanitary ware products in the coming years.

The overall increase in construction activities should open doors to sales opportunities for sanitary ware. The completion of projects is expected to be more effective, especially with the introduction of a new construction project

management process. This should impact greatly the housing and non-housing sectors. BRG expects the return of sales growth for sanitary ware products in the forecast period.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

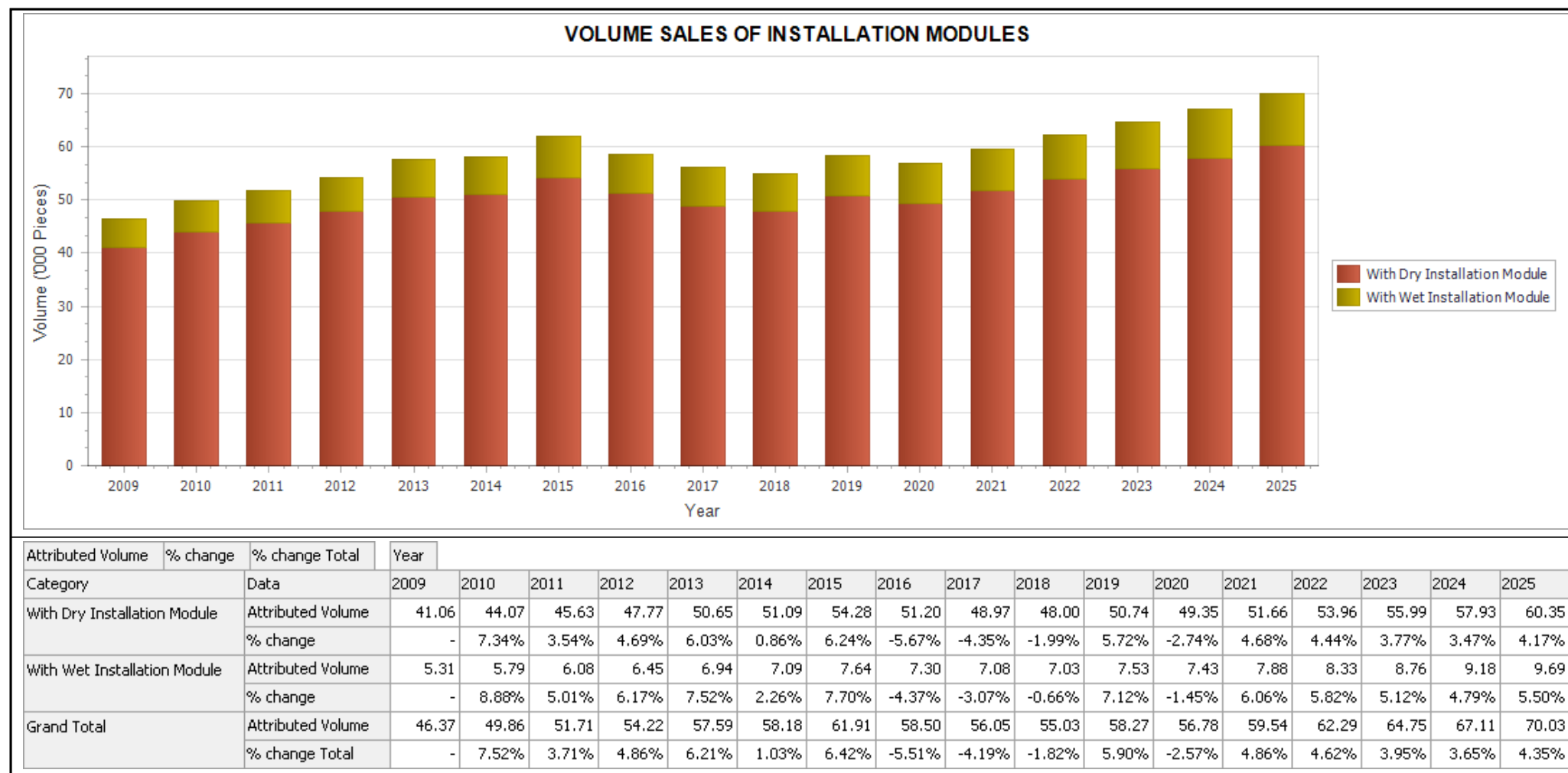
SA - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. NB: Ceramic Sanitary Ware Includes Ceramic Shower Trays.

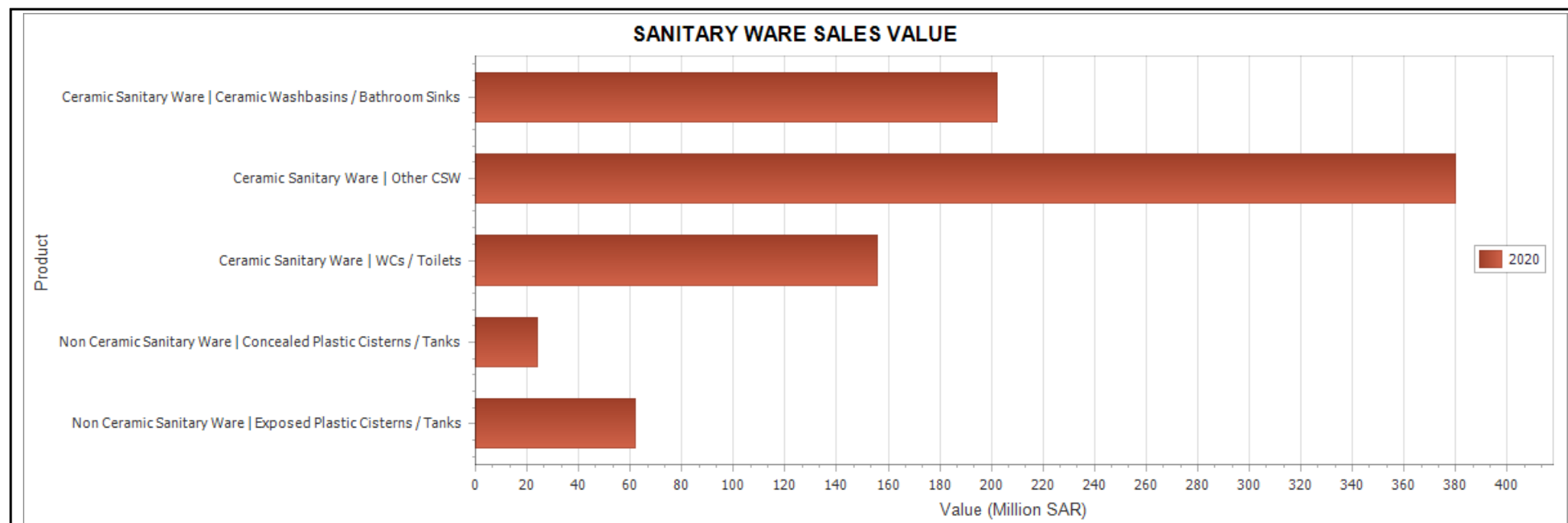
2.2.2 Historical Trend and Forecasts: Installation Mod.

SA - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

SA - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Volumes	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	Year	Data						
						2020	2019					
Product Category	Product	Volumes	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	
Ceramic Sanitary Ware	Ceramic Washbasins / Bathroom Sinks	1 175 000	172.17	202.30	40.19	47.22	1 212 000	165.82	200.97	39.48	47.85	
	Other CSW	2 135 000	177.91	379.84	41.53	88.67	2 205 000	171.91	379.06	40.93	90.25	
	WCs / Toilets	1 096 000	141.92	155.54	33.13	36.31	1 132 000	137.05	155.14	32.63	36.94	
Non Ceramic Sanitary Ware	Concealed Plastic Cisterns / Tanks	60 000	402.76	24.17	94.02	5.64	61 500	389.21	23.94	92.67	5.70	
	Exposed Plastic Cisterns / Tanks	405 000	152.63	61.82	35.63	14.43	422 000	147.34	62.18	35.08	14.80	
Grand Total		4 871 000	169.10	823.66	39.47	192.27	5 032 500	163.20	821.29	38.86	195.55	

Source: BRG based on industry interviews. Local Currency Shown in SAR. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.2 Prices and Market Values by Type : CSW

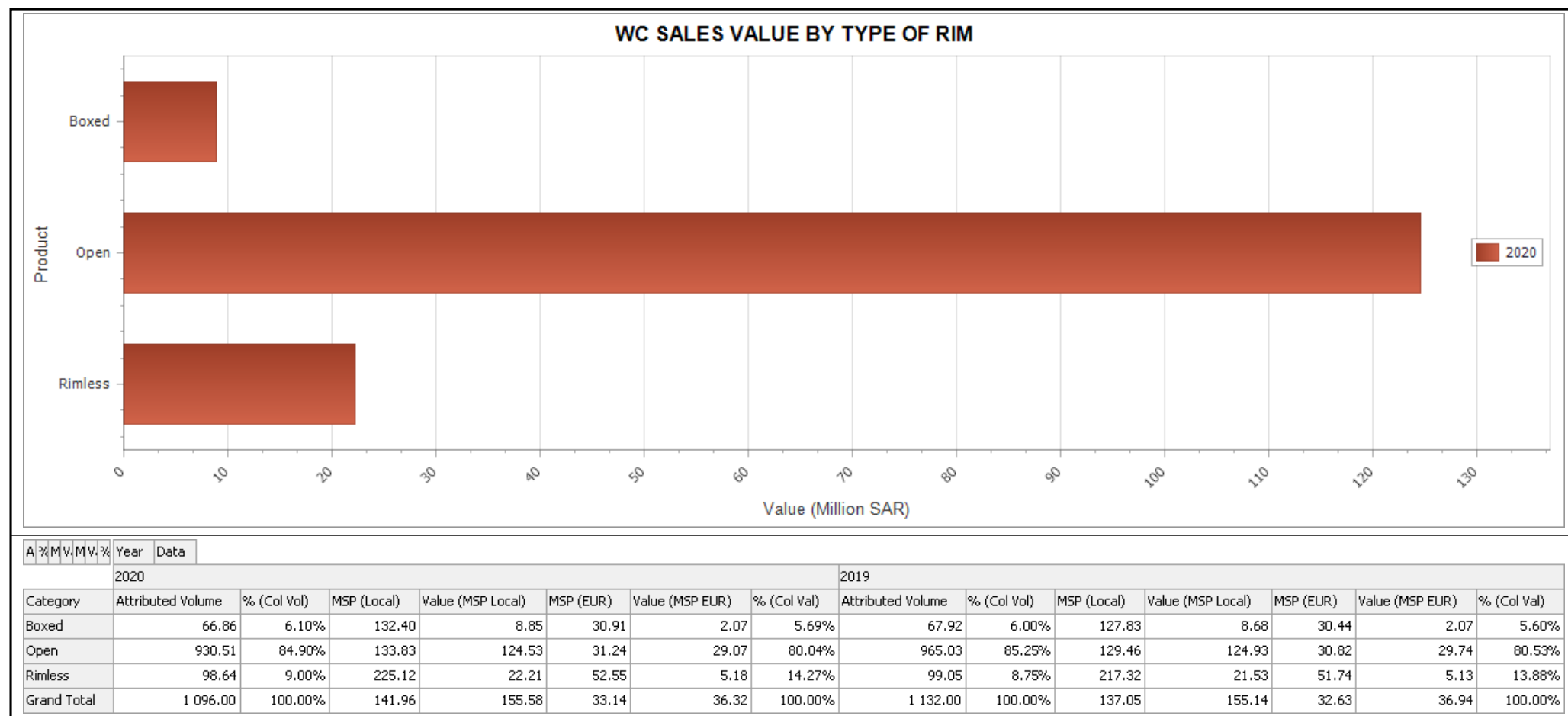
SA - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed	% (Col Vol)	MSP (Local)	Value (MSP)	MSP (EUR)	Value (MSP)	% (Col Vol)	Year	Data								
2020									2019							
Alt Product	Category	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Vol)	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Vol)	
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	242.05	20.60%	272.57	65.98	63.63	15.40	32.62%	248.46	20.50%	263.40	65.44	62.71	15.58	32.57%	
	Hand Washbasins	23.50	2.00%	113.49	2.67	26.49	0.62	1.32%	24.24	2.00%	109.65	2.66	26.11	0.63	1.32%	
	Inset Washbasins	2.35	0.20%	369.47	0.87	86.25	0.20	0.43%	2.42	0.20%	355.99	0.86	84.76	0.21	0.43%	
	Pedestal Washbasins	763.75	65.00%	111.76	85.36	26.09	19.93	42.20%	790.22	65.20%	107.99	85.33	25.71	20.32	42.47%	
	Semi-Recessed Washbasins	71.68	6.10%	427.58	30.65	99.81	7.15	15.15%	72.72	6.00%	412.00	29.96	98.09	7.13	14.91%	
	Undermount Washbasins	1.18	0.10%	403.70	0.47	94.24	0.11	0.23%	1.21	0.10%	388.99	0.47	92.62	0.11	0.23%	
	Wall Hung Washbasins	70.50	6.00%	231.00	16.29	53.92	3.80	8.05%	72.72	6.00%	223.00	16.22	53.09	3.86	8.07%	
Other CSW	Bidets	83.27	3.90%	203.72	16.96	47.56	3.96	4.47%	88.20	4.00%	196.48	17.33	46.78	4.13	4.57%	
	Close-Coupled Cisterns	1 181.97	55.36%	202.78	239.68	47.34	55.95	63.10%	1 218.40	55.26%	195.94	238.74	46.65	56.84	62.99%	
	Kitchen Sinks	8.00	0.37%	280.47	2.24	65.47	0.52	0.59%	8.30	0.38%	268.84	2.23	64.01	0.53	0.59%	
	Others	34.16	1.60%	142.18	4.86	33.19	1.13	1.28%	35.28	1.60%	136.99	4.83	32.62	1.15	1.28%	
	Pedestals & Half Pedestals	811.30	38.00%	139.70	113.34	32.61	26.46	29.84%	837.90	38.00%	134.99	113.11	32.14	26.93	29.84%	
	Shower Trays	6.70	0.31%	152.12	1.02	35.51	0.24	0.27%	7.00	0.32%	146.22	1.02	34.81	0.24	0.27%	
	Urinals	9.61	0.45%	182.63	1.75	42.63	0.41	0.46%	9.92	0.45%	175.96	1.75	41.89	0.42	0.46%	
WCs / Toilets	Close-Coupled WC Bowls	830.77	75.80%	133.24	110.69	31.10	25.84	71.16%	859.19	75.90%	128.77	110.63	30.66	26.34	71.31%	
	Floor Standing WC Bowls	167.69	15.30%	159.82	26.80	37.31	6.26	17.23%	173.20	15.30%	154.28	26.72	36.73	6.36	17.22%	
	Squat Pans	43.84	4.00%	143.33	6.28	33.46	1.47	4.04%	45.28	4.00%	138.50	6.27	32.98	1.49	4.04%	
	Wall Hung WC Bowls	53.70	4.90%	219.35	11.78	51.20	2.75	7.57%	54.34	4.80%	211.95	11.52	50.47	2.74	7.42%	
Grand Total		4 406.00	100.00%	167.43	737.69	39.08	172.20	100.00%	4 549.00	100.00%	161.60	735.10	38.48	175.02	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in SAR. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

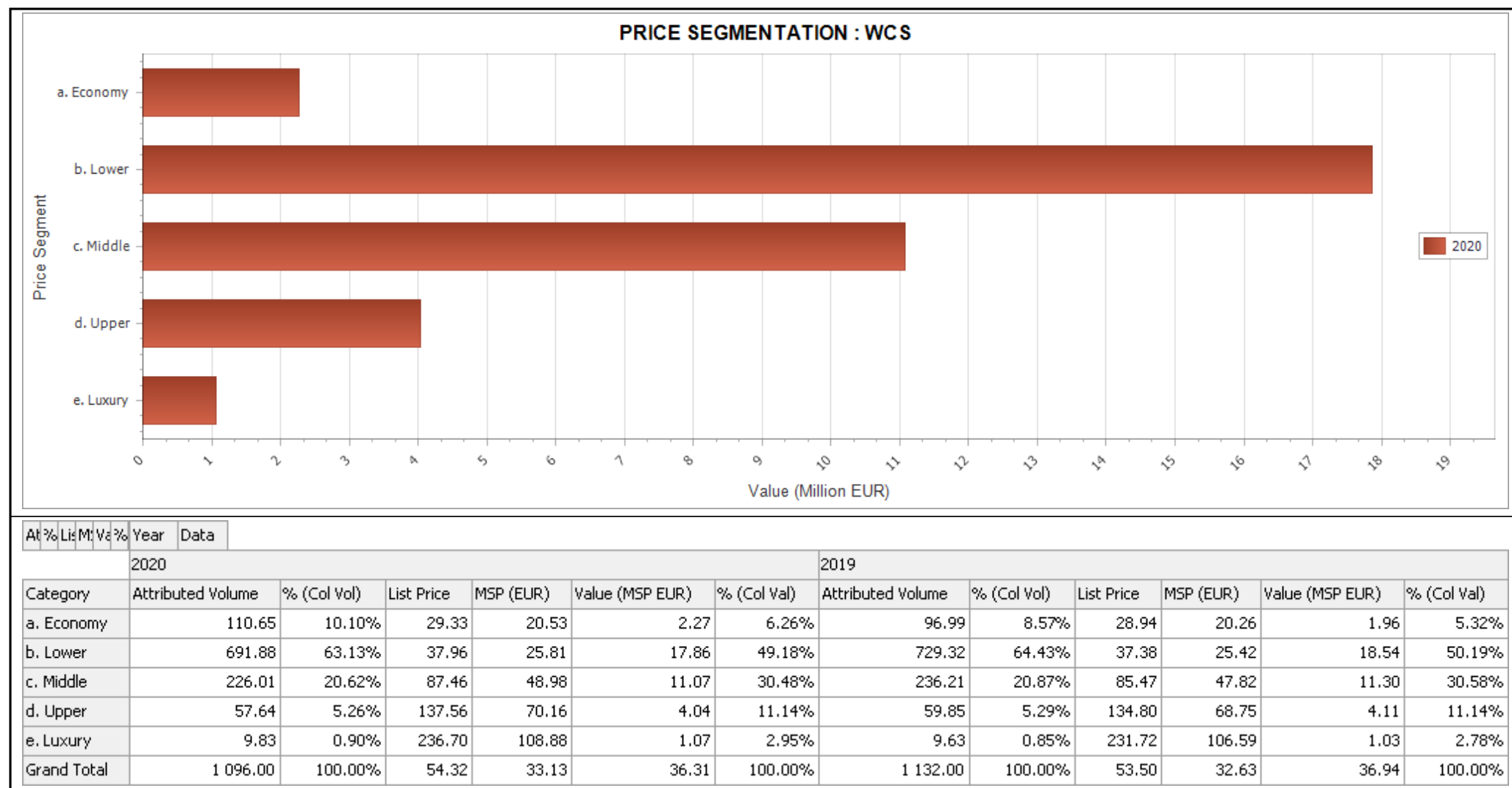
SA - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in SAR. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Price Segmentation : WCs

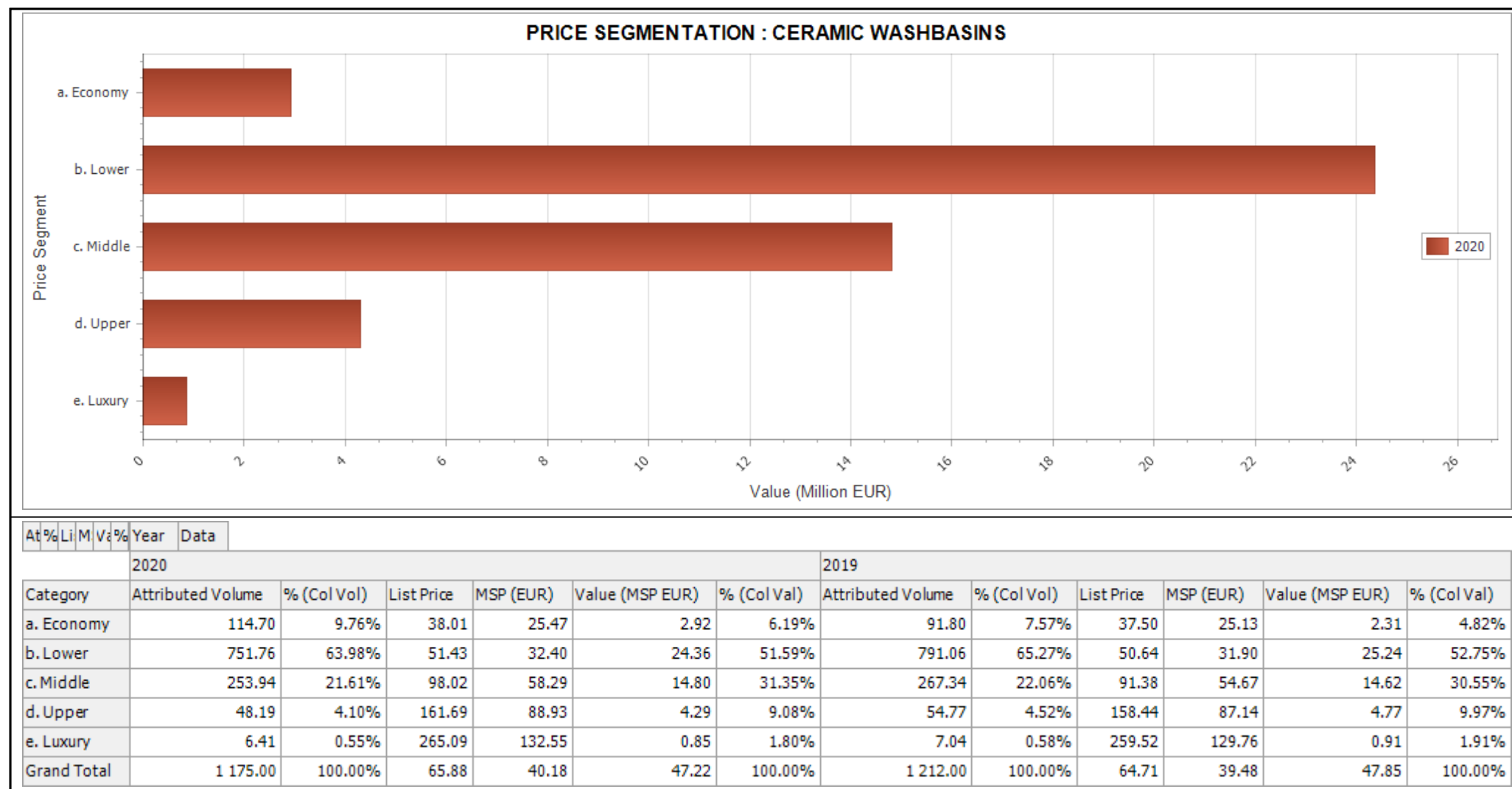
SA - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€22, Lower €22-€35, Middle €35-€60, Upper €60-€80, Luxury >€80

2.3.5 Price Segmentation : Ceramic Washbasins

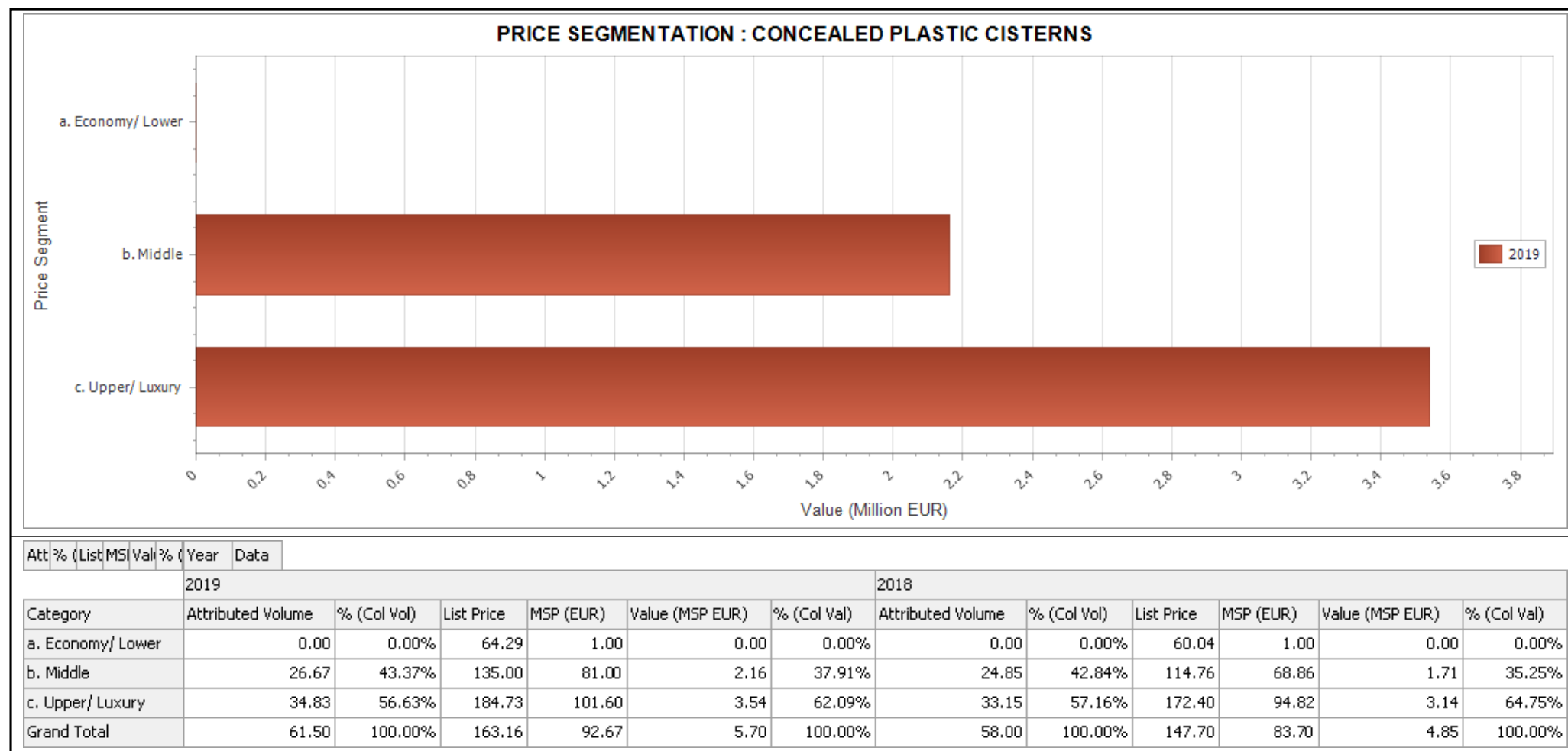
SA - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€30, Lower €30-€40, Middle €40-€60, Upper €60-€100, Luxury >€100

2.3.6 Price Segmentation : Concealed Plastic Cisterns

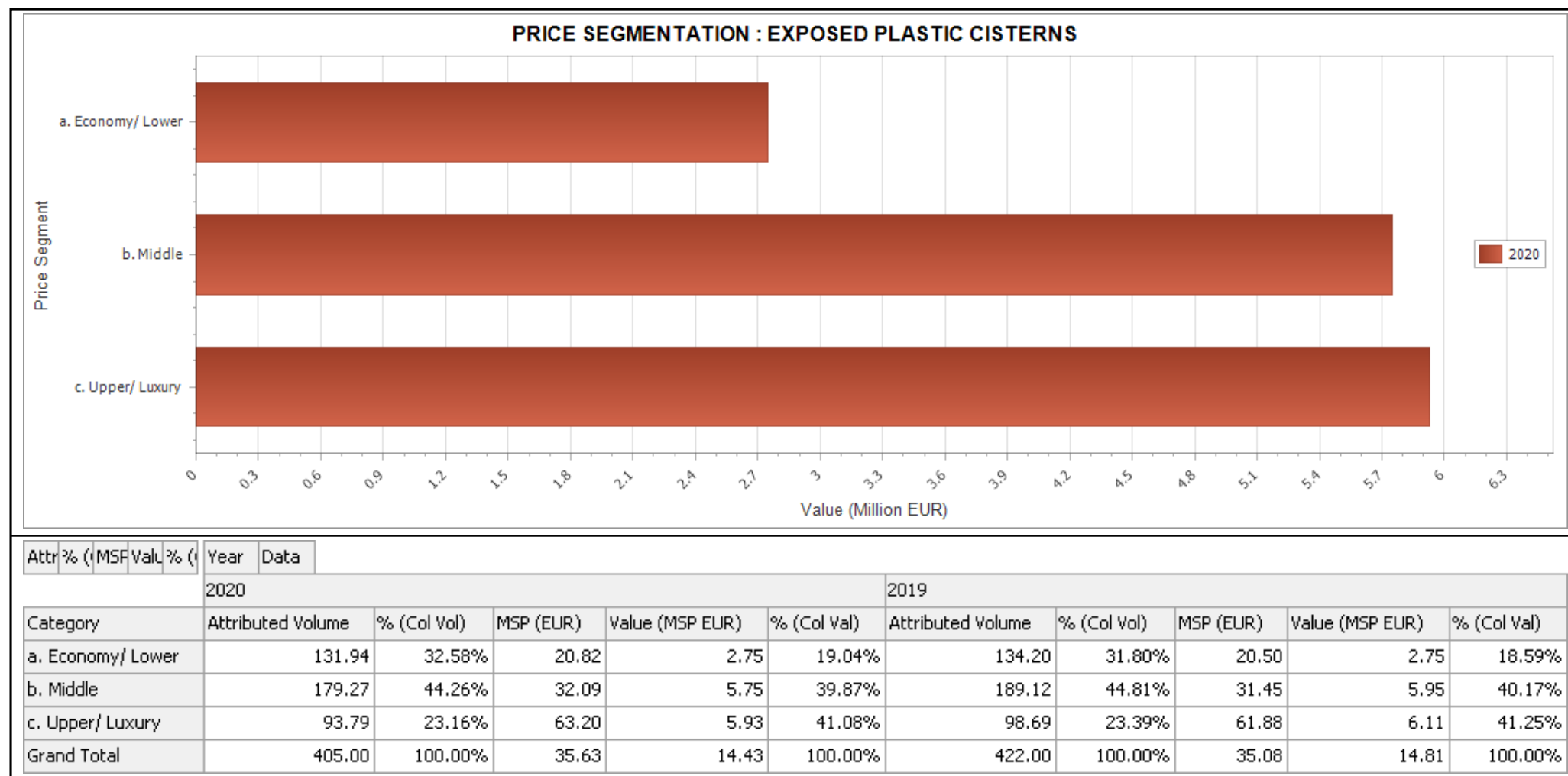
SA - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€40, Middle €40-€90, Upper/ Luxury >€90

2.3.7 Price Segmentation : Exposed Plastic Cisterns

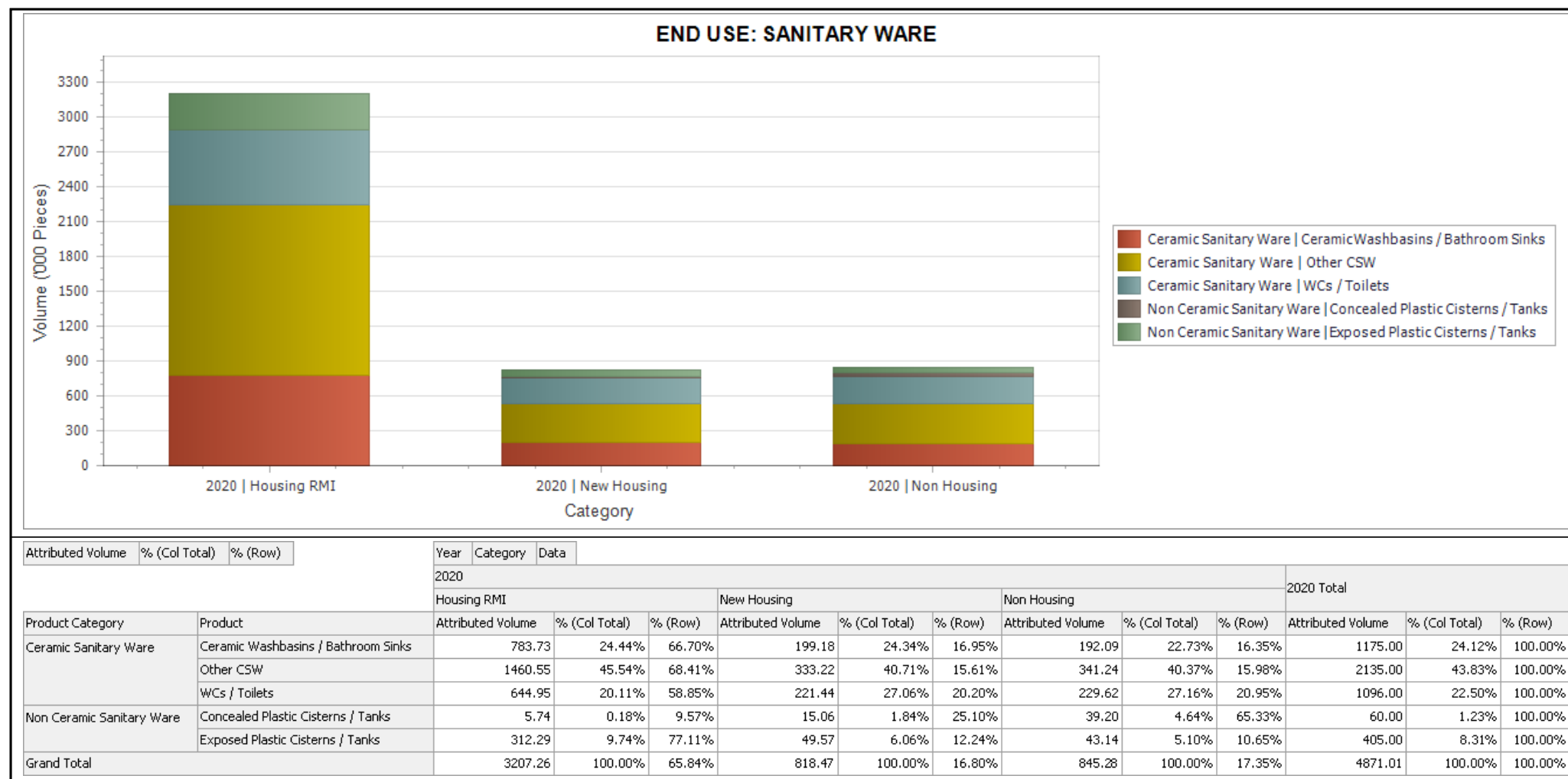
SA - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€25, Middle €25-€50, Upper/ Luxury >€50

2.4.1 End Use : Base Year

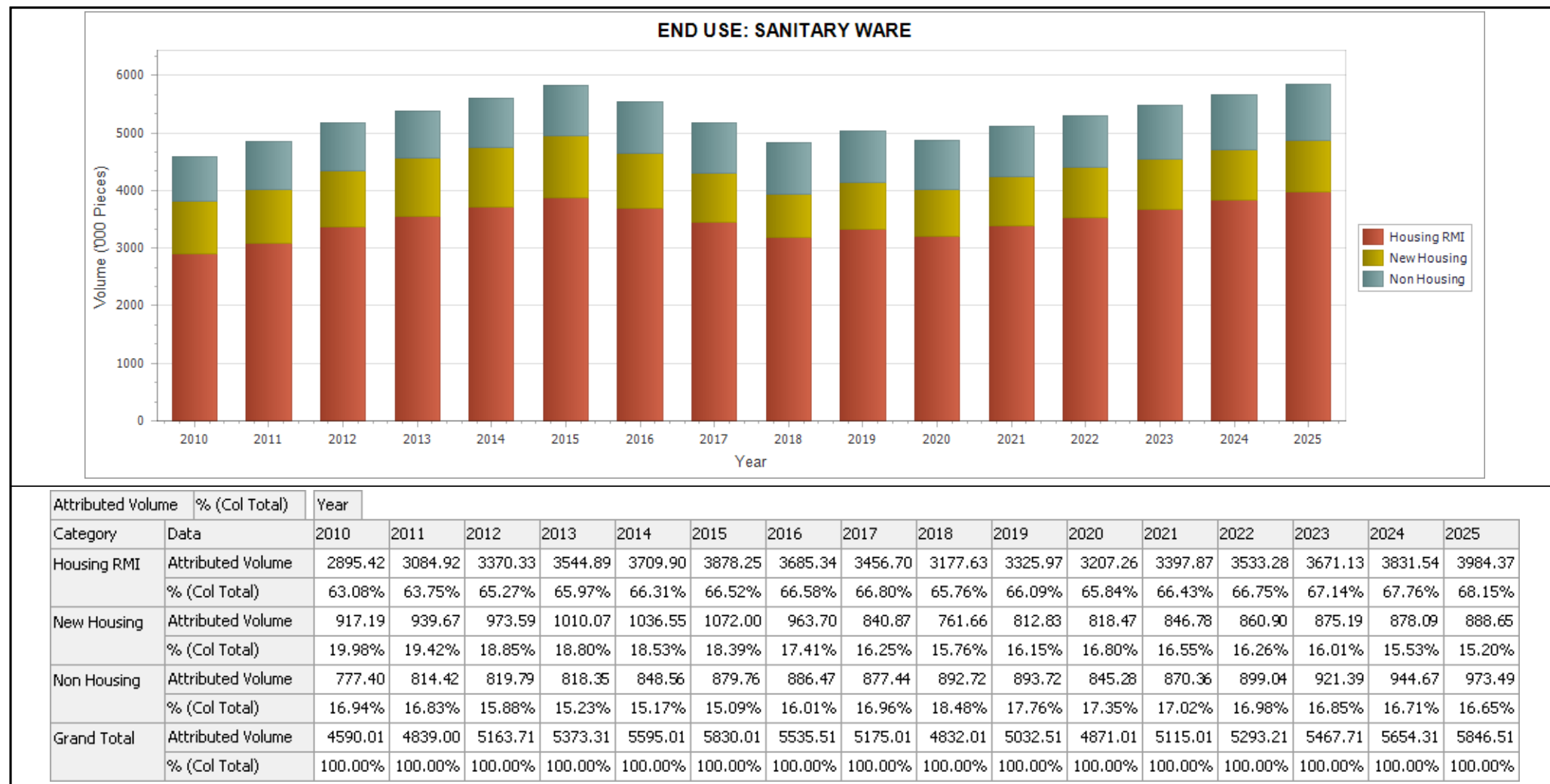
SA - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

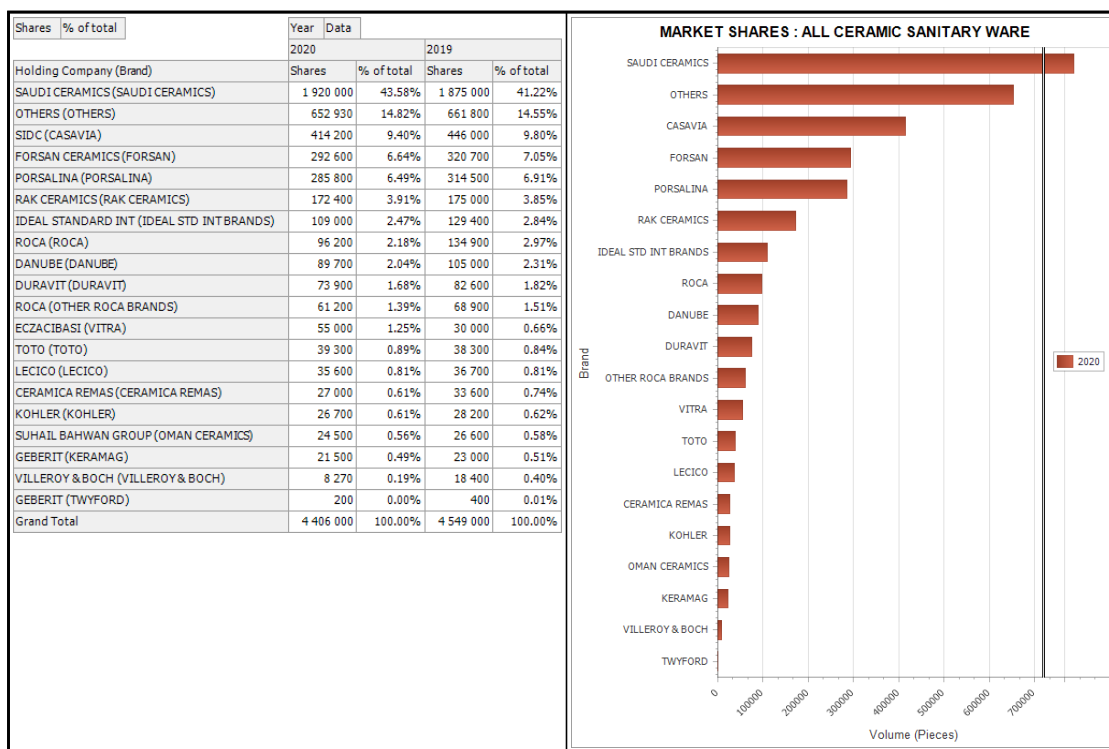
SA - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

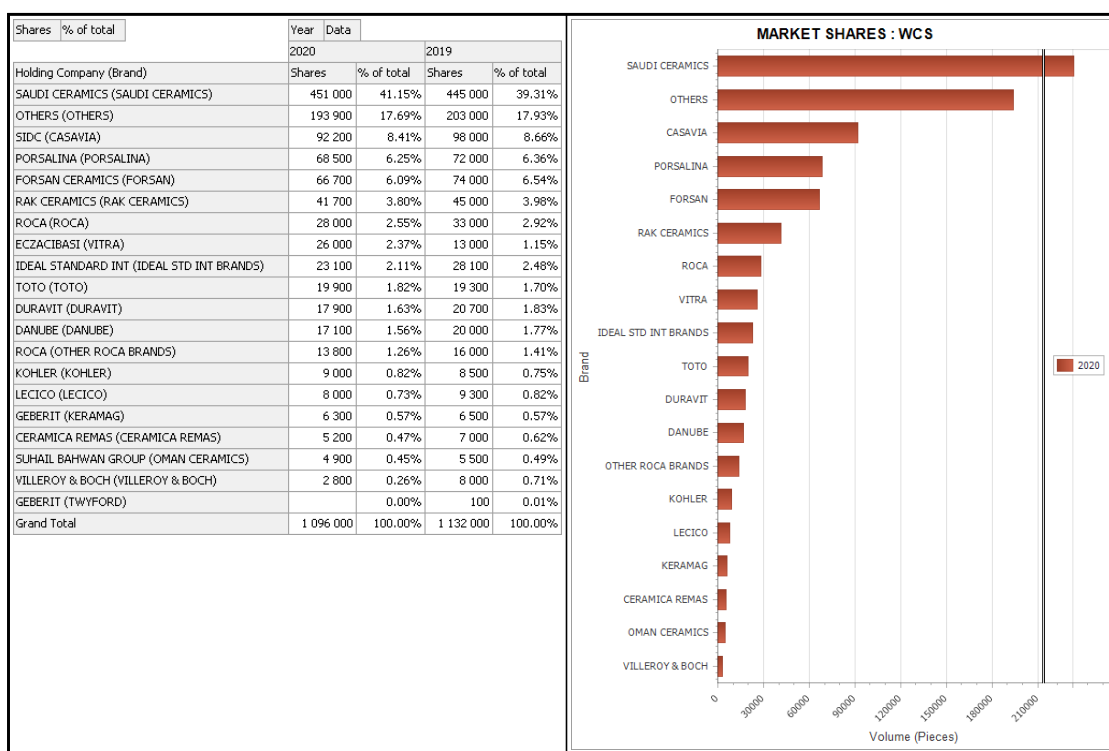
SA - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

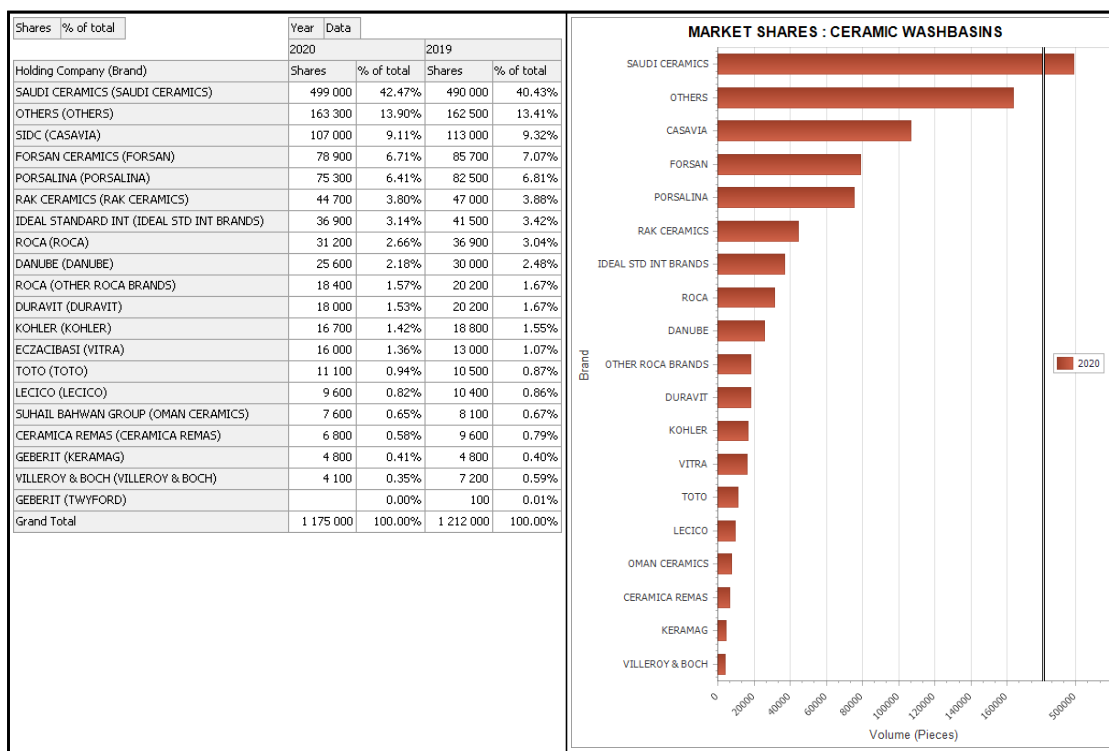
SA - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews.

2.5.3 Market Shares : Ceramic Washbasins

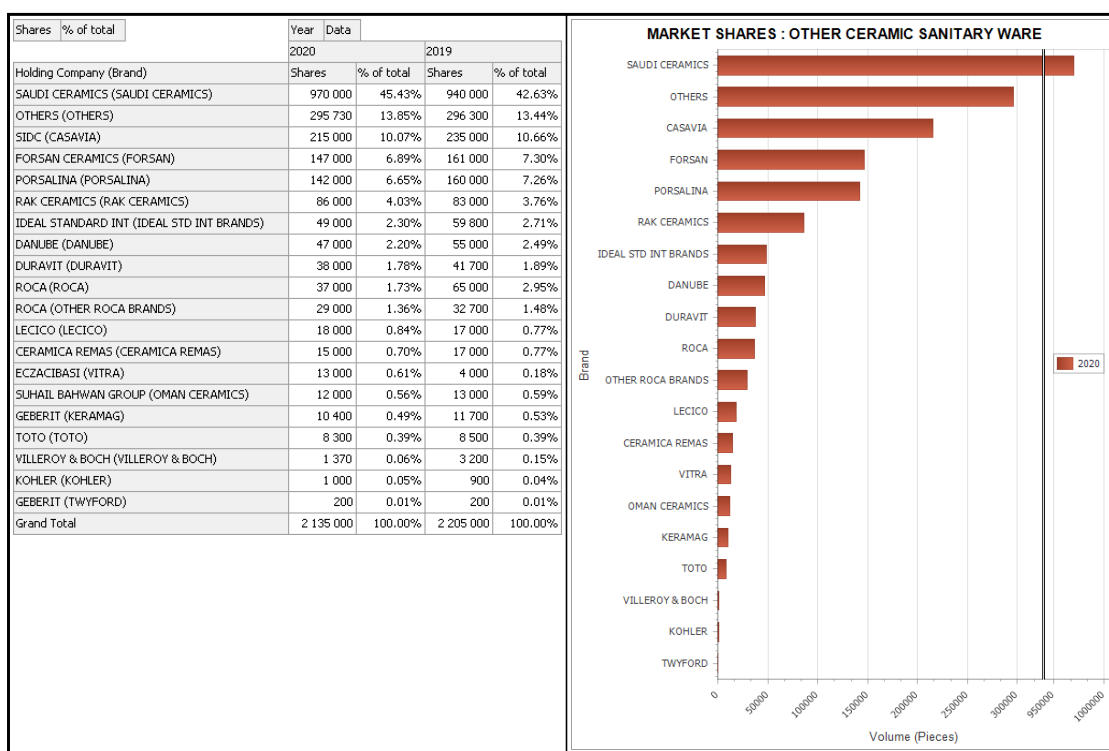
SA - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

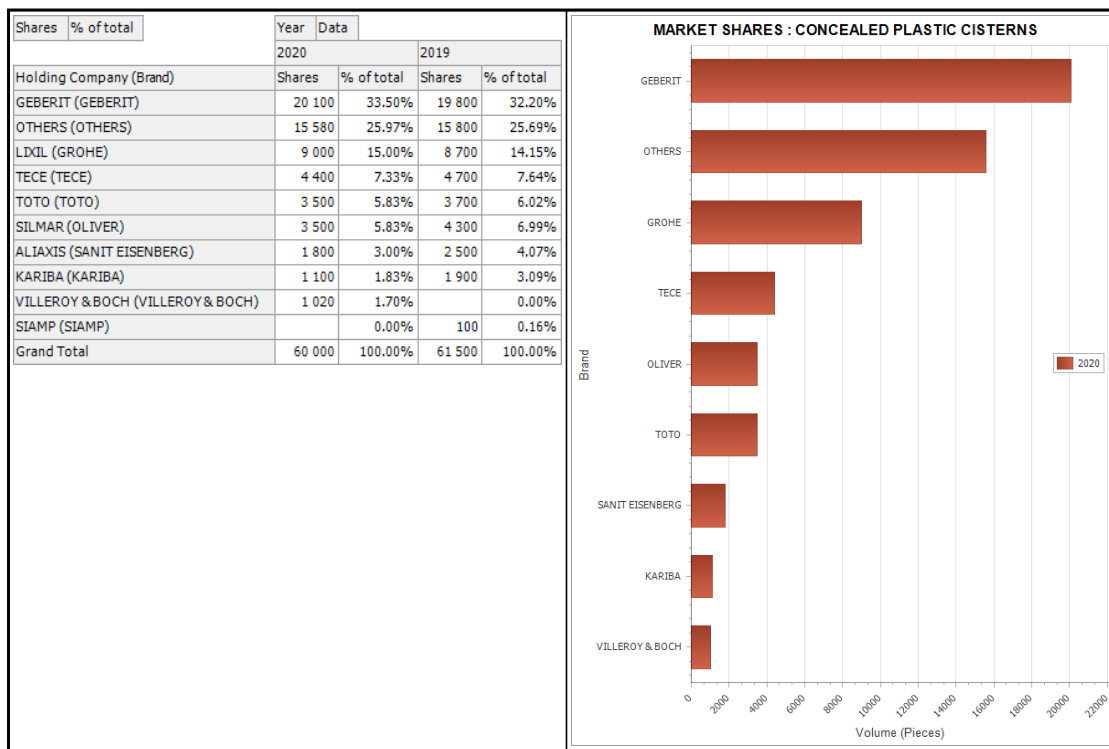
SA - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

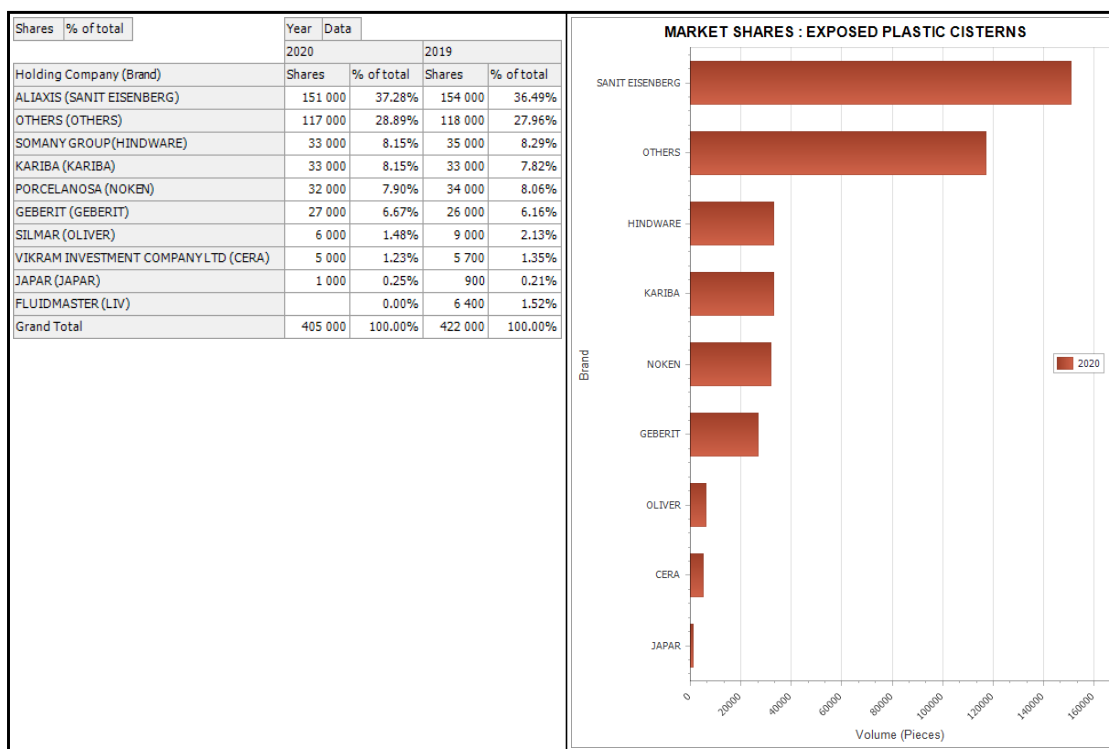
SA - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

SA - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1 Route to Market: Ceramic Sanitary Ware
SA - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2020

Manufacturer / Importer

Manufacturers / Importers

100.0%

Wholesale Level

29.5%

Wholesalers / Merchants

29.5%

Retail Level

Manufacturer

Wholesaler

0.3%

0.0%

Internet Retailers

0.3%

Manufacturer

Wholesaler

0.0%

0.0%

DIY Retailers

0.0%

Manufacturer

Wholesaler

50.7%

15.0%

Specialist Retailers

65.7%

Manufacturer

Wholesaler

Internet

DIY

Specialist

2.0%

8.0%

0.0%

0.0%

32.2%

Installers

42.2%

End Use Level

Manufacturer

Wholesaler

Internet

DIY

Specialist

Installer

10.6%

5.5%

0.3%

0.0%

30.0%

36.3%

Residential

82.7%

New Build

17.1%

Project

Non-Project

12.1%

5.0%

Residential RMI

65.6%

Project

Non-Project

3.6%

62.0%

Manufacturer

Wholesaler

Internet

DIY

Specialist

Installer

6.8%

1.0%

0.0%

0.0%

3.5%

6.0%

Non-Residential

17.3%

New Build

10.0%

Project

Non-Project

9.0%

1.0%

Non-Residential RMI

7.3%

Project

Non-Project

1.3%

6.0%

2.6.2 Route to Market: Ceramic Sanitary Ware
SA - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2025

Manufacturer / Importer	<table><tr><td colspan="5">Manufacturers / Importers</td></tr><tr><td colspan="5">100.0%</td></tr></table>					Manufacturers / Importers					100.0%																																																																																																					
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Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.6.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

SA - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2020

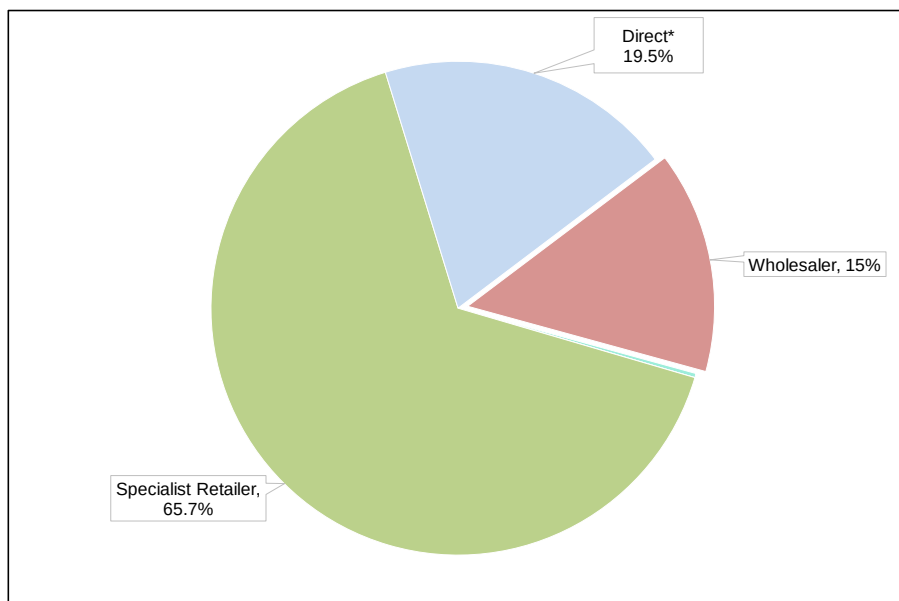
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
14.5%	0.3%	0.0%	65.7%	19.5%	15.7%	10.3%	67.0%	7.0%
100%					26.0%		74.0%	

2.6.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

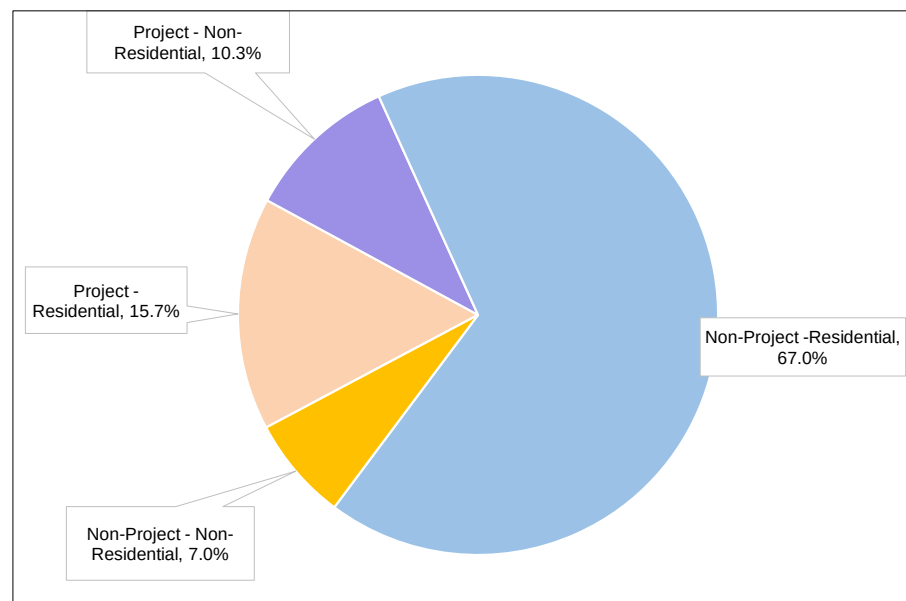
SA - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
14.0%	0.0%	0.0%	66.0%	20.0%	15.2%	12.4%	68.2%	4.2%
100%					27.6%		72.4%	

SA - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2020



SA - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.6.5 Route to Market: Plastic Cisterns
SA - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	66.1%
	Wholesalers / Merchants
	66.1%

Retail Level	Manufacturer 1.4%	Wholesaler 3.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 20.7%	Wholesaler 45.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.4%		0.0%		65.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	14.5%	2.7%	0.0%	15.7%
Installers				
32.9%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	7.3%	3.6%	0.2%	0.0%	45.0%	26.2%
	Residential					
	82.3%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
4.4%	0.0%	1.5%	0.0%	5.0%	6.8%
Non-Residential					
17.7%					

New Build		Residential RMI	
13.9%		68.4%	
Project	Non-Project	Project	Non-Project
10.9%	3.0%	4.5%	63.9%

New Build		Non-Residential RMI	
12.0%		5.7%	
Project	Non-Project	Project	Non-Project
11.0%	1.0%	1.7%	4.0%

2.6.6 Route to Market: Plastic Cisterns
SA - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	67.7%
	Wholesalers / Merchants
	67.7%

Retail Level	Manufacturer 1.7%	Wholesaler 4.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 22.0%	Wholesaler 45.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.7%		0.0%		67.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	13.5%	3.0%	0.0%	11.0%
Installers				
27.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	3.6%	5.2%	0.7%	0.0%	50.0%	23.1%
	Residential					
	82.6%					
New Build				Residential RMI		
13.0%				69.6%		
Project		Non-Project		Project		Non-Project
11.0%		2.0%		4.6%		65.0%

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	
5.0%	0.0%	2.0%	0.0%	6.0%	4.4%	
Non-Residential						
17.4%						
New Build				Non-Residential RMI		
13.0%				4.4%		
Project		Non-Project		Project		Non-Project
11.8%		1.2%		1.5%		2.9%

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.6.7 Route to Market - Consolidated View : Plastic Cisterns

SA - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2020

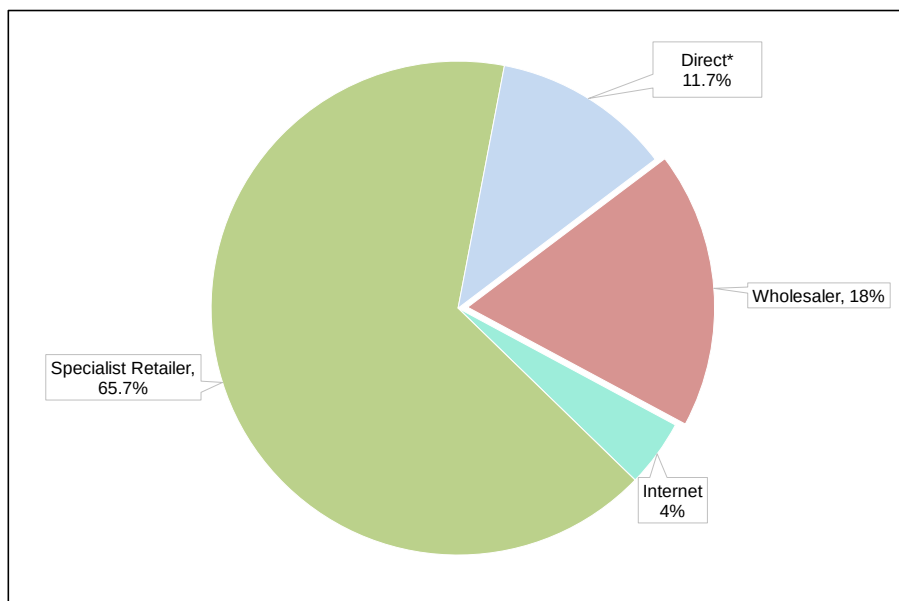
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
18.1%	4.4%	0.0%	65.7%	11.7%	15.4%	12.7%	66.9%	5.0%
100%					28.1%		71.9%	

2.6.8 Route to Market - Consolidated View : Plastic Cisterns

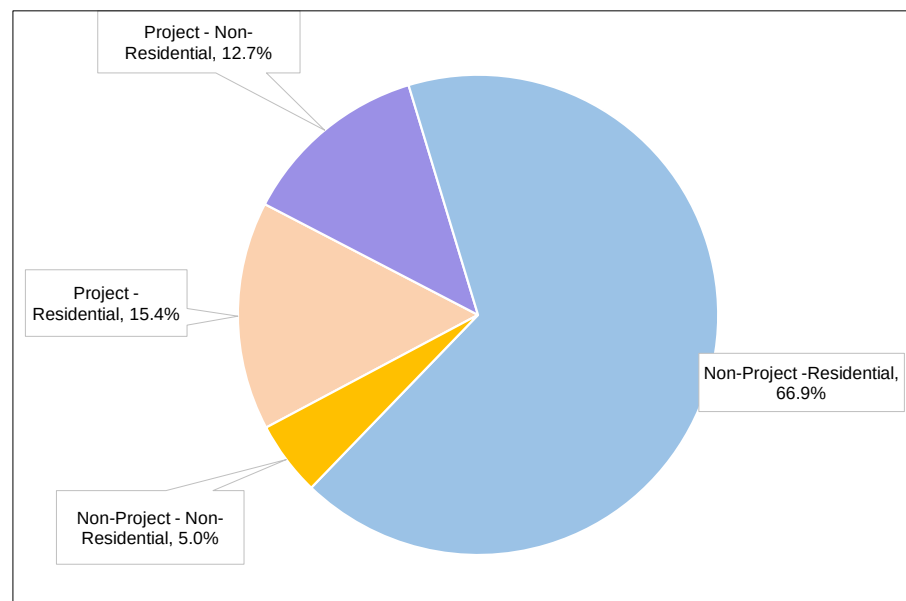
SA - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
18.7%	5.7%	0.0%	67.0%	8.6%	15.6%	13.3%	67.0%	4.1%
100%					28.9%		71.1%	

SA - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2020



SA - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2020



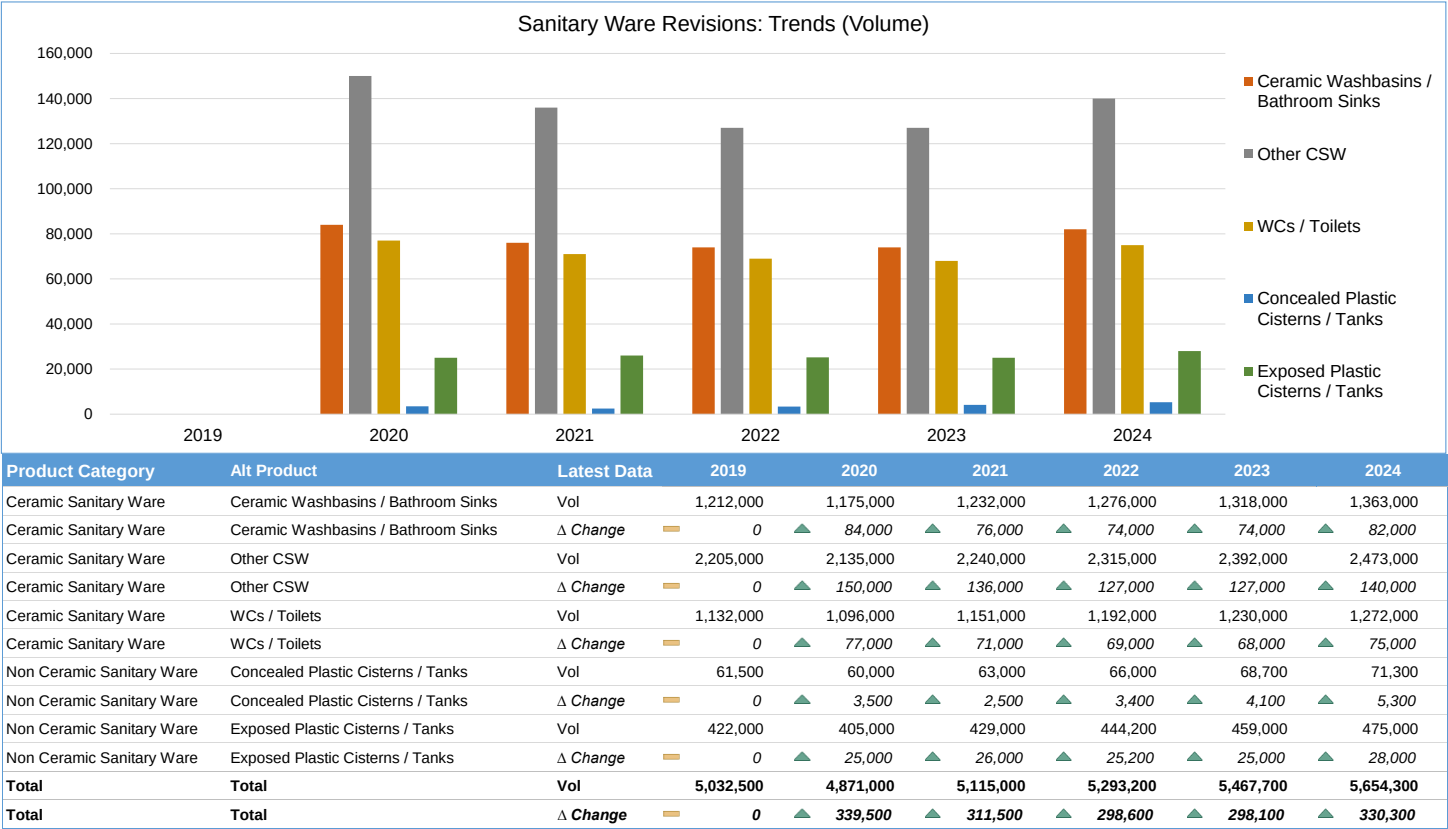
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7 Revisions in the Saudi Sanitary Ware Market (April 2021)

SA - REVISIONS IN THE SAUDI SANITARY WARE MARKET

Data Comparison: April 2020



No revisions have been made to historical volumes and values for this market.

SAUDI ARABIA

FAUCETS

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Despite the absence of significant local manufacturers of faucets, Saudi Arabia is considered a huge market for these products. At the same time, the near absence of regulations (such as legislation to standardise products) gives Chinese manufacturers the ability to flood the market with poor-quality, low-cost products. As faucets in Saudi Arabia have a high price elasticity, local consumers focus first on price, then design, causing sales of quality products to fall behind. Furthermore, Saudi householders tend to change their bathroom furniture, including the fittings, more often than householders in Europe do. This explains why the price of these products in Saudi Arabia is so important, despite the strong purchasing power of its inhabitants (similar to Western Europe). Despite the market not being mature, the share of the replacement market is relatively high in the kingdom.

The intense construction activity that has been occurring over the last few decades has created a significant share of faucet sales to the new housing segment. Most manufacturers focus on this market through monitoring bids, especially those ignited by the government, as these projects tend to require huge quantities of taps and mixers whilst earnings are secured.

Indeed, the welfare state in Saudi Arabia is one of the most important in the world and the main legitimising factor allowing the House of Saud to stay in power. With a huge shortage of housing and a population pyramid whereby young people are over-represented, the need for housing seems to be endless despite huge efforts by the government to satisfy the population through new construction.

Faucets installed in the non-housing sector are mostly limited to hotels built in and around the two holy cities of the kingdom, Mecca, and Medina, but also to government buildings, primarily in health and education centres.

Shower panels are mostly found in the non-housing segment, for instance in spas and wellness centres. Shower panels are designed to replace a classic shower system. Rain showers represent a serious threat as a product of substitution for the new market of shower panels, which may be more dedicated to the non-housing segment, within spas and other wellness centres.

Apart from religious purposes, there is no real tourism in Saudi Arabia. The non-housing segment would be very limited without counting the large number of mosques in the country. Indeed, all of these contain large ablution rooms with many taps and mixers installed, as ablutions are compulsory prior to prayer.

The bidet, once an important piece of sanitary ware in a Saudi family, has been largely replaced by the toilet spray, locally called the *shattaf*.

In terms of product mix, the one-head mixer holds a hegemonic position in Saudi Arabia and its share continues to increase in all segments. Instead of a shift

towards other types of mixers (e.g., two-head mixers and thermostatic mixers), it is more the type of one-head mixer that is changing. Rather than the technology moving towards water saving or quality, the trend is towards a more modern design.

A huge shift has occurred on the shelves of many distributors. While in the past, Chinese products were the cheapest and the most basic, distributors nowadays offer Chinese products with very modern designs, while keeping the prices low, when Western brands can now compete with the Chinese price – but they offer a very basic and non-trendy product. It is only in the high-end range that Western brands continue to be the leaders.

Another characteristic, more related to the particular ‘density’ of faucets per house in Saudi Arabia, concerns the fact that bathrooms are not shared, even between brothers and sisters. At a minimum, each dwelling has a separate bathroom for boys and girls, as well as a bathroom used only by the guests.

For wealthier people, each bedroom has its own bathroom, and an additional bathroom exists for the maid or driver. Taking this into account, the quality of product installed varies depending on the users. An apartment can contain one master and one or more additional bathrooms – depending on the number of rooms – while villas may have four to six bathrooms. The master bathroom generally has a large number of faucets.

With regards to the type of installation of faucets, a slow trend towards concealed systems exists, which is mostly driven by the non-housing segment. In mosques, the installation of taps and mixers is mainly concealed due to their intensive use by many people, several times in a day.

Recent Market Trends

In Saudi Arabia, the Covid-19 pandemic had a limited impact on the faucet market. Hence, year-to-year sales fluctuations were limited in 2020.

Sales of faucets in Saudi Arabia declined during the year.

Most sales of faucets in Saudi Arabia go to the RMI segment, which was the segment the most impacted by the Covid-19 pandemic and counter-measures associated with it. Curfew and lockdown had a negative effect on the market during H1-20, and despite the beginning of a recovery that started in June, and despite a resilient construction market, the sales loss was not offset.

Faucets installed in washbasins captured over half of the total faucets sold in the country in 2020, mostly represented by chromed, one-head models. The trends for alternative colours exist but are marginal. Black, matt black, gold, and matt gold are the trendiest alternative colours.

In 2020, most faucets sold in Saudi Arabia were exposed rather than concealed. Concealed models were more present within showers.

Due to a longer lifespan of kitchen sinks, kitchen mixers are more often replaced than other faucets. Sales of bidet mixers are the lowest, but 100% are one-head models.

The quality of faucets installed, how often they are used, and where they are installed constitute the main variables.

When compared with European countries, the market for faucets in Saudi Arabia is more important, in proportion to the park of applications (stock of washbasins, showers/baths, bidets, and kitchens). This is due to a high replacement rate in the kingdom.

The one-head mixer continued to be the main type of faucet installed in Saudi dwellings, strengthening its hegemonic position, in 2020, against a decline of pillar and two-head mixers. Thermostatic mixers remained limited to new build. This product cannot be installed when the water tank is on the roof, as thermostatic mixers need to be supplied with cold water to work, and in the summer the water tank is at a too-high temperature for thermostatic. Within new build the tank is often in the basement, or the building has a chiller (particularly in hotels), which allows the installation of thermostatic mixers.

Sales of shower panels remain marginal; sales growth suffers from the popularity of thermostatic mixers and rain showers; both being primarily chosen when it comes to upgrading a shower system. Rain showers are generally installed with a large shower base, either a thin large shower tray or a walk-in shower.

With the rise of the thermostatic faucet, the share of concealed installation has increased in Saudi Arabia, driven by households remodelling/upgrading their bathrooms. The development of walk-in showers, which are highly compatible with shower panels and rain showers, has signalled the current fashion for a modern shower.

Prices and Market Values

Washbasin one-head mixers continued to represent the most important market in terms of value, when considering the application and type, in 2020.

Price and value estimates for faucets in Saudi Arabia increased during the year. The major factor is constituted by the increasing MSP due to the impact of the Covid-19 pandemic in the supply chain (procurement), as well as a strong demand from construction projects. Other minor factors include changes in the types of faucets sold, such as the increasing share of thermostatic mixers in the total market value.

However, in 2020 the MSP increased at a slower pace when it comes to projects, as these prices were often fixed through quotations prior to the Covid-19 pandemic.

Because of this price increase, the market value in 2020 decreased at a lower rate than the market volume, particularly for washbasin faucets.

Considering the fact that the market supply is driven by the imports, inflation in Saudi Arabia impacts the MSP less than the inflation prevalent from the exporting countries.

To a lesser extent, the higher presence of Chinese faucet imports and their low prices contributed to containing the price increase. This increasing share goes beyond the economy and low-end ranges.

It is now not surprising to see some prices of faucets made in China rising higher than European brands; some distributors offer a manufacturing warranty of five years, posing a threat to Western manufacturers in terms of competition.

New Housing

Faucet sales in Saudi Arabia slowed down clearly in 2020. A slight increase was registered for the year.

Most of the faucets sold to the new housing segment belonged to the lower-end range, with a low variety of colours, overwhelmed by the chrome finish, but black and black matt have become more popular during that year.

Washbasins continued to be, in 2020, the main application for faucets, predominantly represented by one-head models.

While most faucets are deck-mounted, there is an increasing share of wall-mounted installation in the new housing segment.

Housing construction activities were not much affected by the Covid-19 pandemic and the government continued its efforts to provide new houses to its population, as planned. The resilience of the construction sector has surprised many observers, showing determination from the authorities to bring the national rate of home ownership to 70% by 2030. The King Abdullah Economic City was officially completed during 2020 and generated a significant faucet sales volume. The government focus to increase the housing ownership rate of its population, in line with the Saudi Vision 2030 programme, led to housing construction being prioritised.

Housing RMI

In 2020, sales of faucets declined in the RMI segment, due to government measures to tackle the spread of the Covid-19 pandemic.

While a new regulation allowed retail shops to remain open 24 hours a day, seven days a week, which could have boosted faucet sales, the pandemic jeopardised this driver and, in contrast, 2020 was affected by the government measures that included the temporary shutdown of retailers, a curfew, and temporary movement restrictions.

With lower real estate transactions during the year, sales of faucets were also limited in the replacement segment, as generally new owners refurbish bathrooms with new faucets.

Non-Housing

In 2020, sales of faucets to the non-housing segment in Saudi Arabia declined. This decline was driven by a drop in the replacement market within the non-housing segment.

A slowdown in retail activities, with retailers closing for a few months, as well as the quasi-absence of pilgrims visiting the holy cities, led to far fewer hotels replacing their faucets in 2020.

Also, an increasing number of new offices, which contain bathrooms and little basic kitchens, boosted the sales of washbasins and kitchen mixers within the non-housing segment.

Reforms engaged to boost economic freedom have led the non-housing construction sector to regain some vitality.

Supply Structure

In 2020, no major changes were identified in the faucet supply in Saudi Arabia.

During the year, exports of ceramic sanitary ware products from China to Saudi Arabia declined in Q1-20, to increase in Q2-20. Year-to-Year, imports from China increased in H1-20. The improved climate in the second half, with a full return of business activities particularly in the construction sector, led to additional imports that help to minimise the sales loss generated at the beginning of the year.

With the absence of local manufacturers, the faucet market in Saudi is very competitive and mostly represented by unbranded, imported products. In 2020, FORSAN CERAMICS announced its desire to open a factory for faucets in Saudi Arabia.

Despite a strong middle and upper social class in Saudi Arabia, the faucet supply is largely structured by manufacturers supplying economy and low-range products, imported mostly from China.

We could think that the increasing quality of faucets manufactured by Chinese companies, which are increasingly visible in Saudi retailers, is due to their goal in growing their sales by reaching segments of the market other than the economy range. In fact, it is due to the increase in Chinese demand for foreign brands. This new demand is the reflection of a continuous increase in wealth in the last two decades, as well as a clear decline of ethnocentrism pushing people to purchase only local products, and the purchase and the use of foreign brands constitute a symbol of wealth and success. This growing upper market in China has pushed Chinese manufacturers to tackle foreign brands by also offering high-end products. It is only from that point, and through the economy of scale generated by large production, that Chinese manufacturers were able to offer faucets that belong to the medium end at a competitive price in Saudi Arabia. The concept of this is not always understood by Western manufacturers, who often underestimate Chinese products.

However, despite the enhanced quality of Chinese products, they suffer from a lack of credibility, due to their failure in building their own brand/reputation, which is understandable to a certain extent considering the fact that the most reputed brands in Europe have decades of existence, if not more than a century.

The lower transport costs and increasing development in logistics, and to a lesser extent the availability of staff with international experience, contribute also to the diversification of the supply side: it creates opportunities for small manufacturers that are now able to supply foreign countries, and many of them supply Saudi Arabia particularly, due to the strong demand along with little regulation.

The absence of local faucet manufacturers is due to the absence of *comparative advantage* (as per Ricardo's economic theory): the cost of the work force in the total manufacturing cost price is much lower compared to that of the ceramic sanitary ware industry, of which Saudi Arabia has a comparative advantage. This is why the country has several ceramic sanitary ware manufacturers and no faucet manufacturers.

Low-quality products with attractive design, in line with consumer preferences, continued to flood the Saudi faucet market in 2020. A few manufacturers put a real effort into building a brand, such as BOLD faucets and KLUDI-RAK (the association with the German name constitutes, on its own, the will to establish a reputation).

Accessing the faucet market in Saudi Arabia depends highly on the distribution strategy. Chinese manufacturers focus mostly on the *push* strategy: they concentrate effort in marketing, focussing on wholesalers and retailers in order to make their products visible for consumers.

GROHE'S effort focuses on offering advanced eco-friendly products, in line constantly with innovation, as well as covering all price segmentation. This brand continues to supply the market with more affordable products than those supplied in Europe, backed up with a strong name/reputation. This explains why this brand is the market leader in all types of applications, as well as in the front line of the

non-housing segment, offering customised solutions for mosques, for instance.

FRANKE and TEKA hold a decent position in faucets installed in kitchens, but their higher prices have led them far below GROHE. For other applications, IDEAL STANDARD appears as a distant second to GROHE.

Unbranded products continue to be, by application, the main supplier of faucets in Saudi Arabia. The biggest 2020 drop in market shares among Western brands was for HANS GROHE.

IDEAL STANDARD products are imported from Bulgaria.

CHICAGO FAUCETS is believed to sell small quantities of faucets in Saudi Arabia.

Within the flushing valves market, DELANY and SLOAN are present in the country, mostly in the non-housing segment.

With regards to shower panels, they are mostly supplied by Asian importers. IDEAL STANDARD, GROHE, HANS GROHE, and TEUCO are among the main Western brands.

Forecasts

While sales of faucets have recovered since the beginning of 2021, the market may suffer from macro-economics and the international impact of the Covid-19 pandemic. In this regard, forecasts for 2021 and beyond are based on the latest information available at the time of publication, as an increase in the daily infection rates was observed in February 2021, which may potentially lead to another curfew.

However, there is a convergence of views to say that the faucet market is on the right track, with several key positive indicators.

Sales of faucets are expected to grow at the end of the forecast period, with a positive CAGR, driven by strong construction output in the residential sector, with the construction of new cities (NEOM, the futuristic city) and the expansion of the capital city Riyadh, along with mega-tourism projects such as AL QUIDIYA, the entertainment city.

NEOM is a giga-project worth \$500 billion. It is a whole city covering 26,500 km² and situated in three countries: Saudi Arabia, Egypt, and Jordan (near Tabuk). It should generate a tremendous volume of faucet sales.

According to the quarterly report published by COLLIERS MENA HOTELS in 2020 and reported to [tradearabia.com](https://www.tradearabia.com), the number of hotel-rooms is expected to grow at 8% CAGR.

The launch of the metro of Riyadh in 2021 should lead to further real estate development in proximity to key transport hubs, and consequently create sales opportunities for faucets.

The introduction in 2019 of the Premium Residency (a form of Saudi 'green card' that gives a permanent residency for \$213,000) may constitute a new driver for residential construction for the coming years.

In the near future, dozens of thousands of hotel rooms should be added to the hotel park (the Abraj Kudai hotel alone, set to open within two years, will have 10,000 rooms along with 70 restaurants). HILTON has plans to quadruple the number of hotels in the country. This development is in line with the new policy regarding the obtainment of a tourist visa.

The construction sector within the residential and non-residential sectors is expected to become more active during the forecast period, while the RMI segment should continue to increase steadily, thanks to Saudi consumers' tendency to replace faucets at a higher rate than in European countries.

According to the most recent census, 52% of Saudis are between 10 and 30 years' old, and 78% are below 30 years' old. The structure of the population explains largely the demand in housing. Official figures with regards to the demand for housing and the social housing programme are thought to be based on Saudi Nationals only. Foreign people represent a third of the population.

Following the completion of KAEC, other cities called 'economic cities' (along with NEOM, mentioned above) have been planned, but in the short term it is the expansion of Riyadh that is on the table, as the Crown Prince MBS expects to transform the capital city into a business hub in the region.

Despite an increasing share of the non-oil sector in the GDP, the whole economy is still massively dependent on oil prices – which pose a threat to the completion of these projects, and consequently the forecasting trends for sales of faucets in Saudi Arabia.

Nevertheless, ongoing projects should reach completion on time, as the country has huge financial reserves. As a result, high sales volumes of faucets are expected during the forecast period.

External factors at the regional level might affect the sales of sanitary ware products through a shortage in building materials (delivery issues, unsecure sea routes). Also, the decline in the price of oil might lead the government to revise its budget dedicated to project housing, as it would not compromise its budget dedicated to defence nor the backbone of its economy when oil and gas infrastructure are costly. Among the economic measures taken by the government, the cut in energy subsidies might have an impact on the production costs for local manufacturers of ceramic faucets, since it represents a significant share from a cost-accounting perspective. This may reduce their competitiveness and lead to a

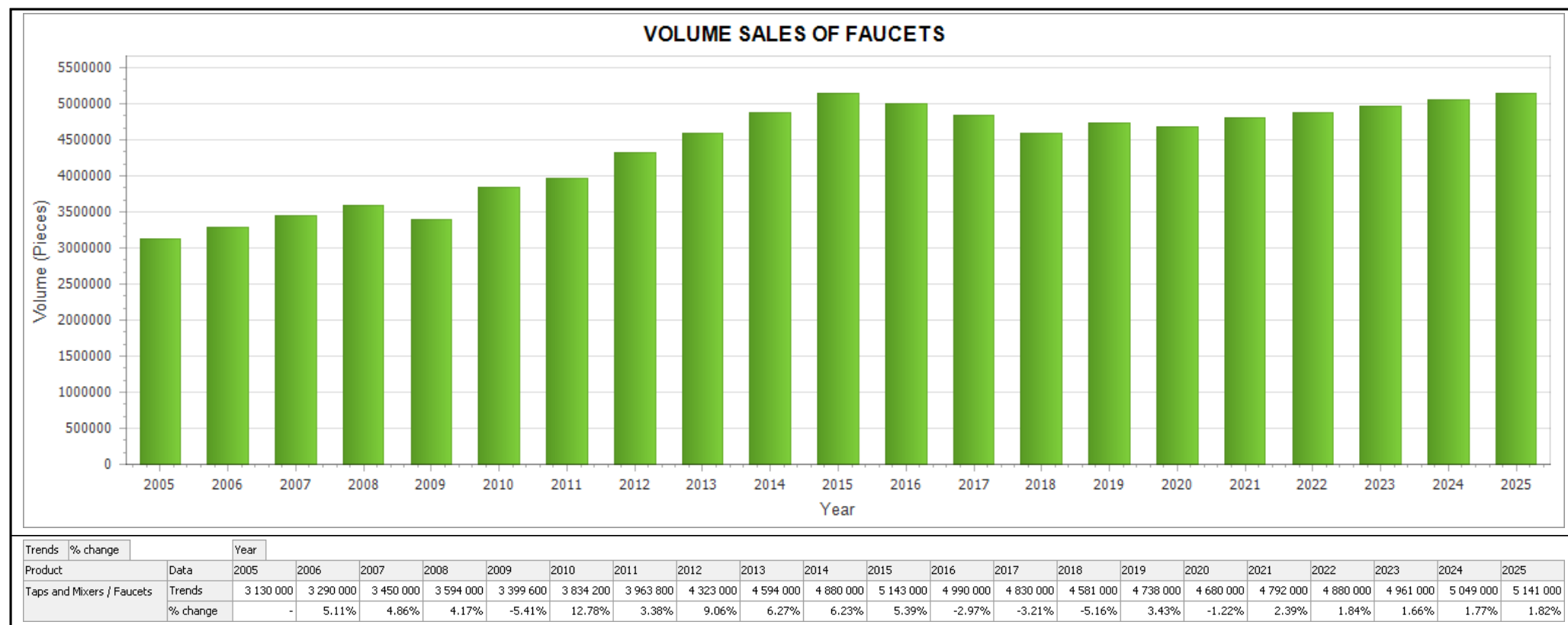
restructure of the supply side.

High levels of new housing construction will be a key priority for the Saudi government over the forecast period, and additionally a strong contributor to faucet sales. New homes are not only required to ease the country's severe housing shortage, but it is also due to the fact that the paternalistic regime of Saudi Arabia is accountable for providing houses to its population as the royal family maintains its legitimacy only through social spending (more generally, using paternalism as a way to appease their subjects).

Sales of faucets should continue to increase in the coming years, particularly if the government is able to keep the direction towards achieving a higher construction output, in both residential and non-residential, as planned in the Saudi Vision 2030 programme.

3.2 Historical Trends and Forecasts : Faucets

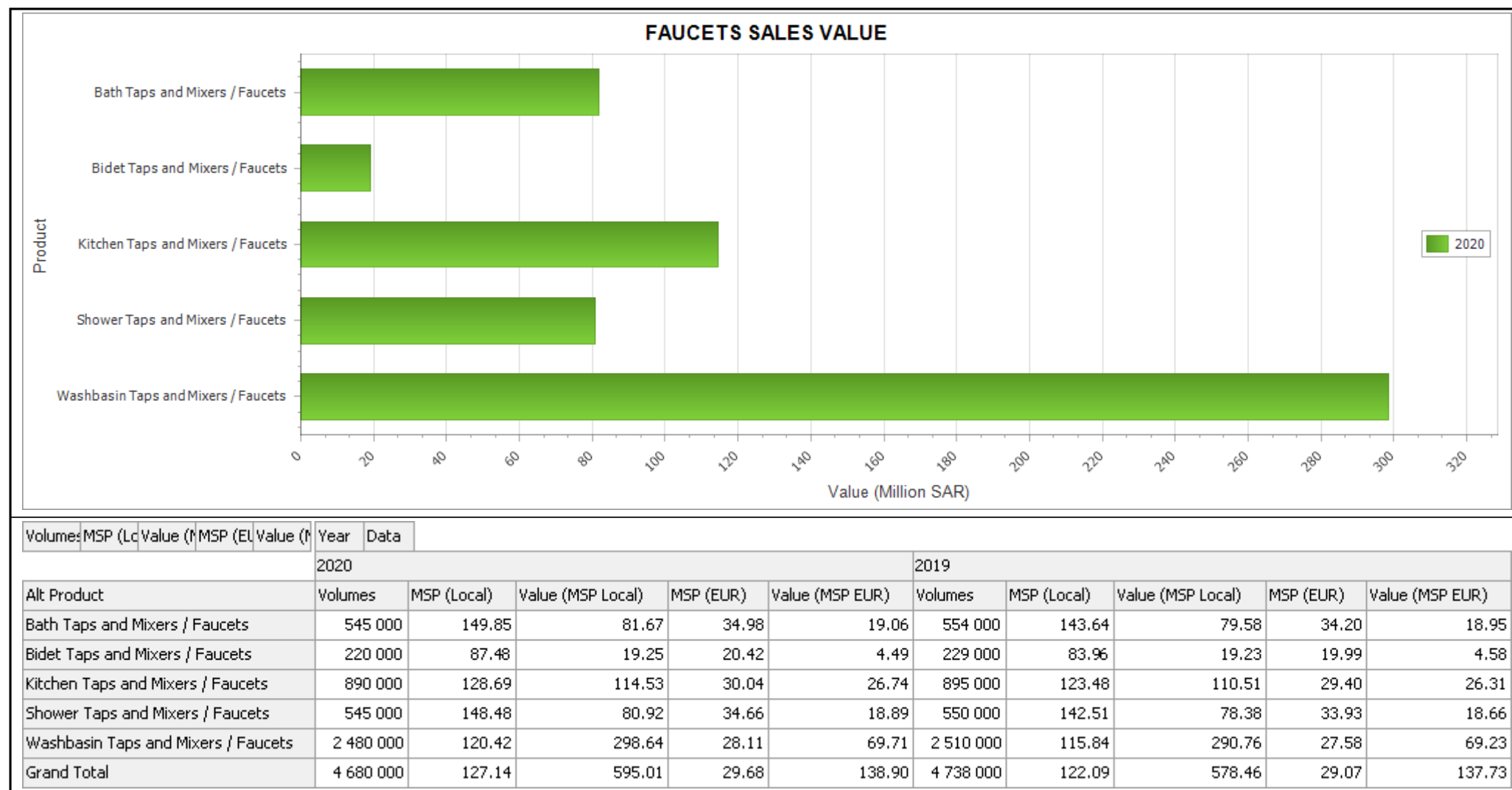
SA - SUMMARY OF TRENDS IN THE FAUCETS MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Faucets

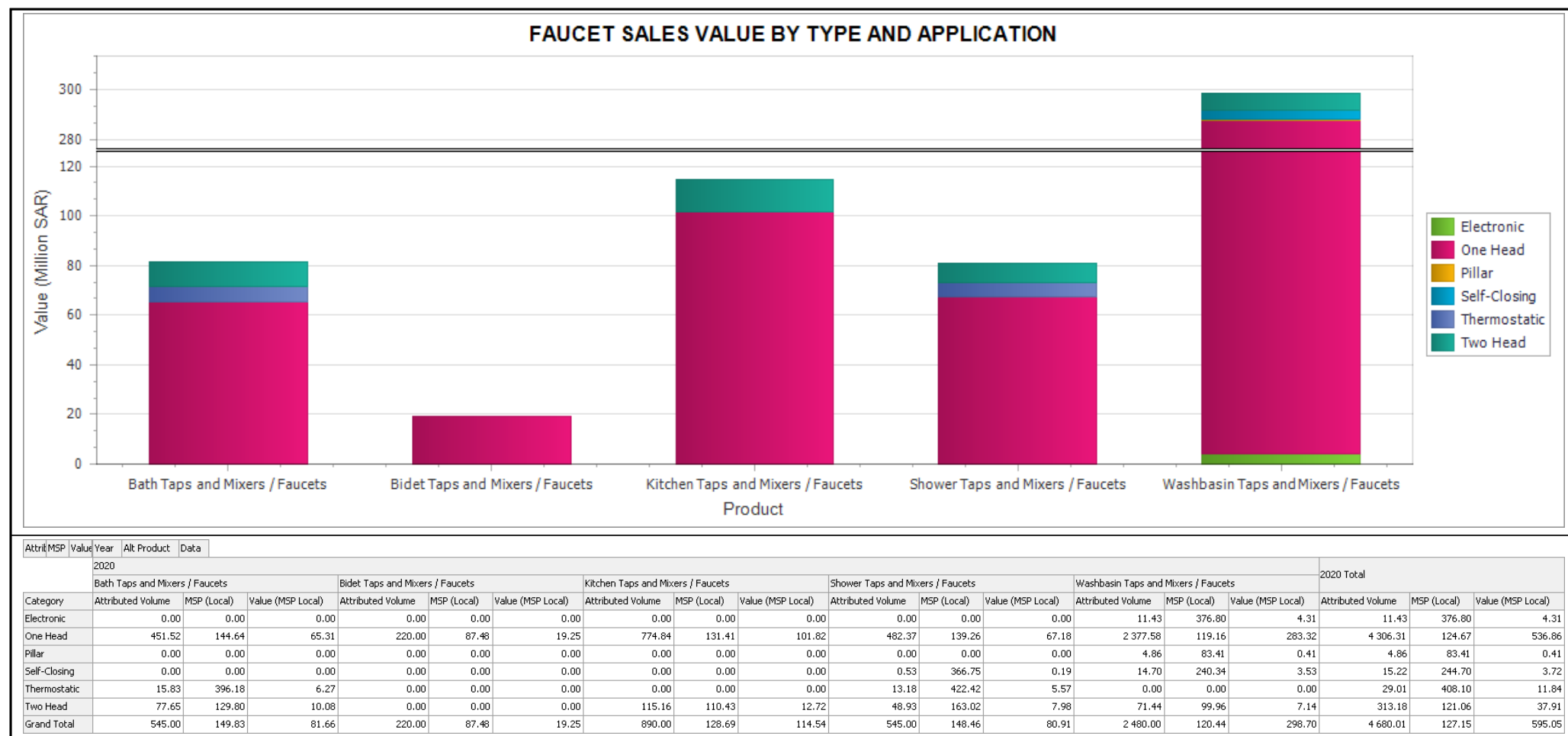
SA - ESTIMATED VALUES OF THE FAUCETS



Source: BRG based on industry interviews. Local Prices Shown in SAR. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Faucets

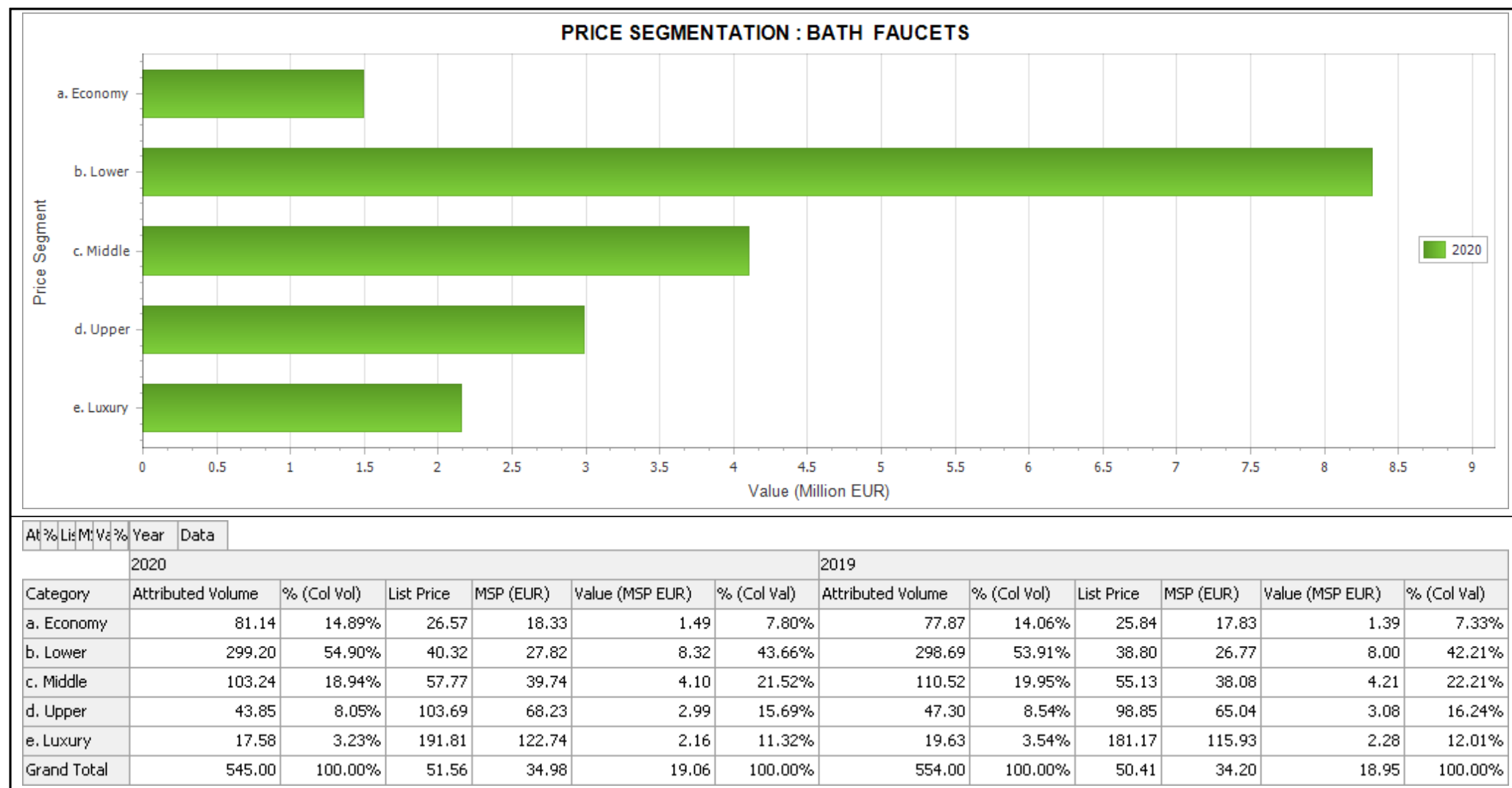
SA - ESTIMATED VALUES OF THE FAUCETS MARKET BY TYPE AND APPLICATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in SAR. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Faucets

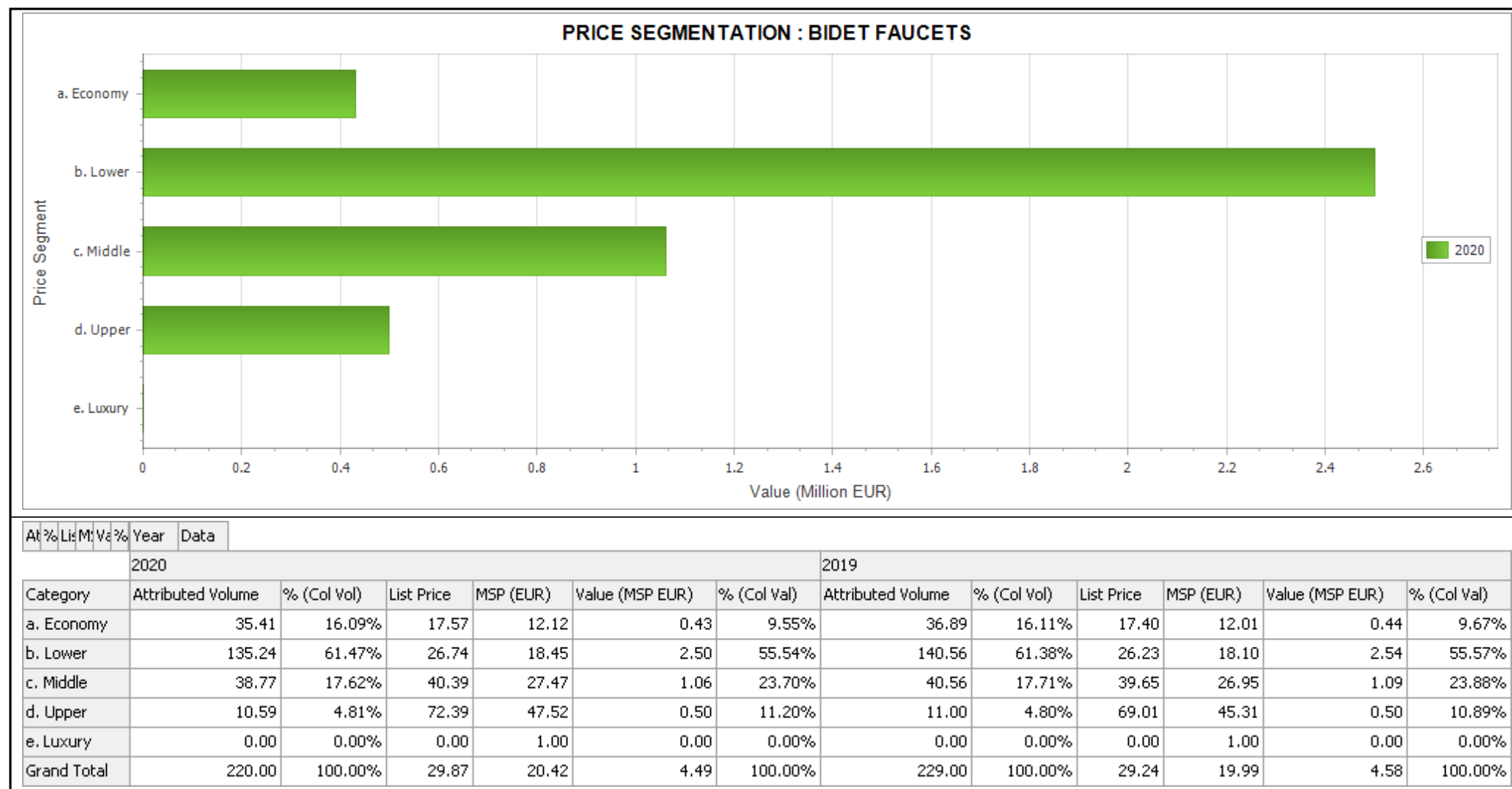
SA - ESTIMATED PRICE SEGMENTATION FOR BATH FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.3.4 Price Segmentation : Bidet Faucets

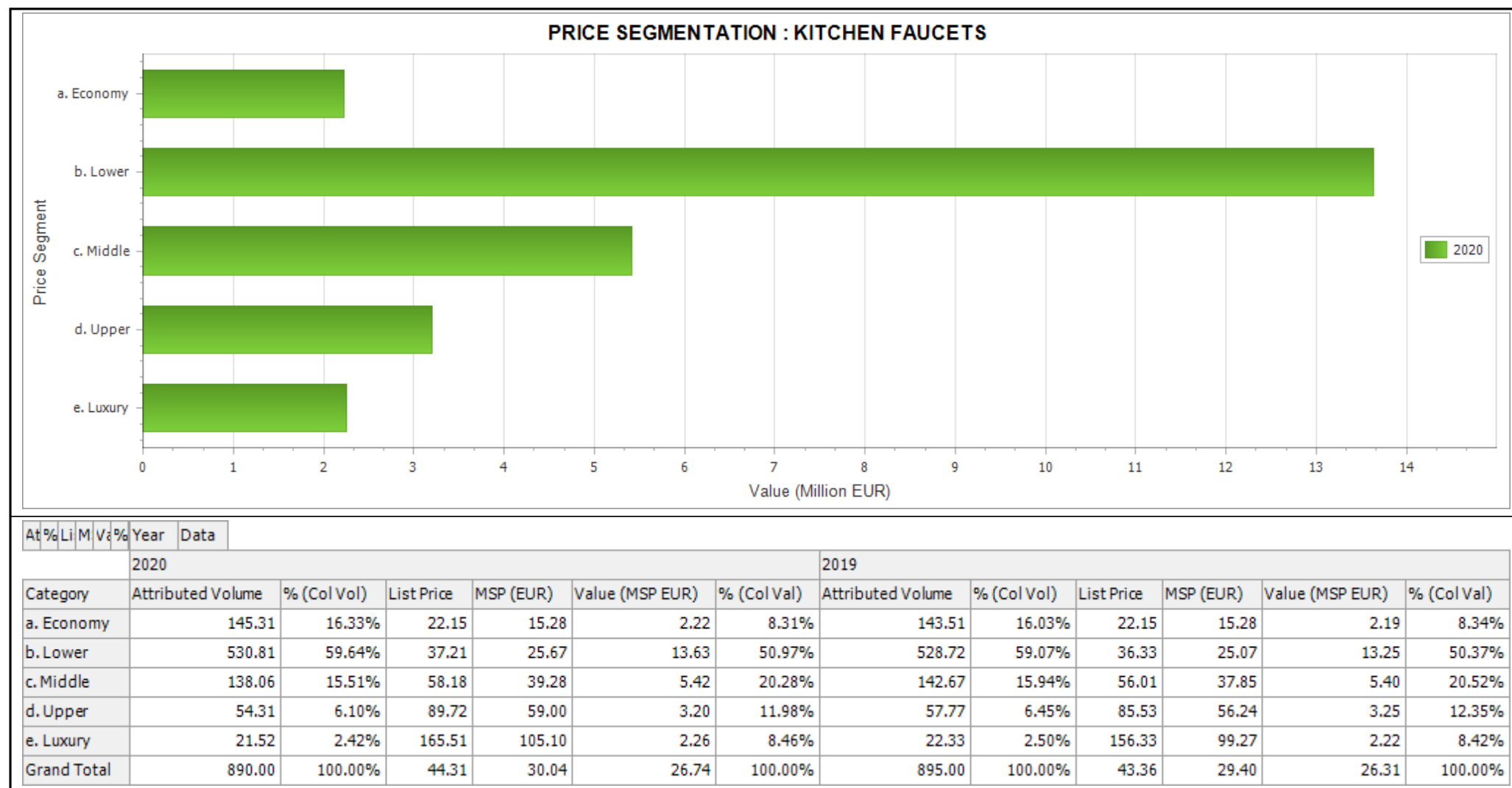
SA - ESTIMATED PRICE SEGMENTATION FOR BIDET FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€25, Middle €25-€40, Upper €40-€80 and Luxury >€80

3.3.5 Price Segmentation : Kitchen Faucets

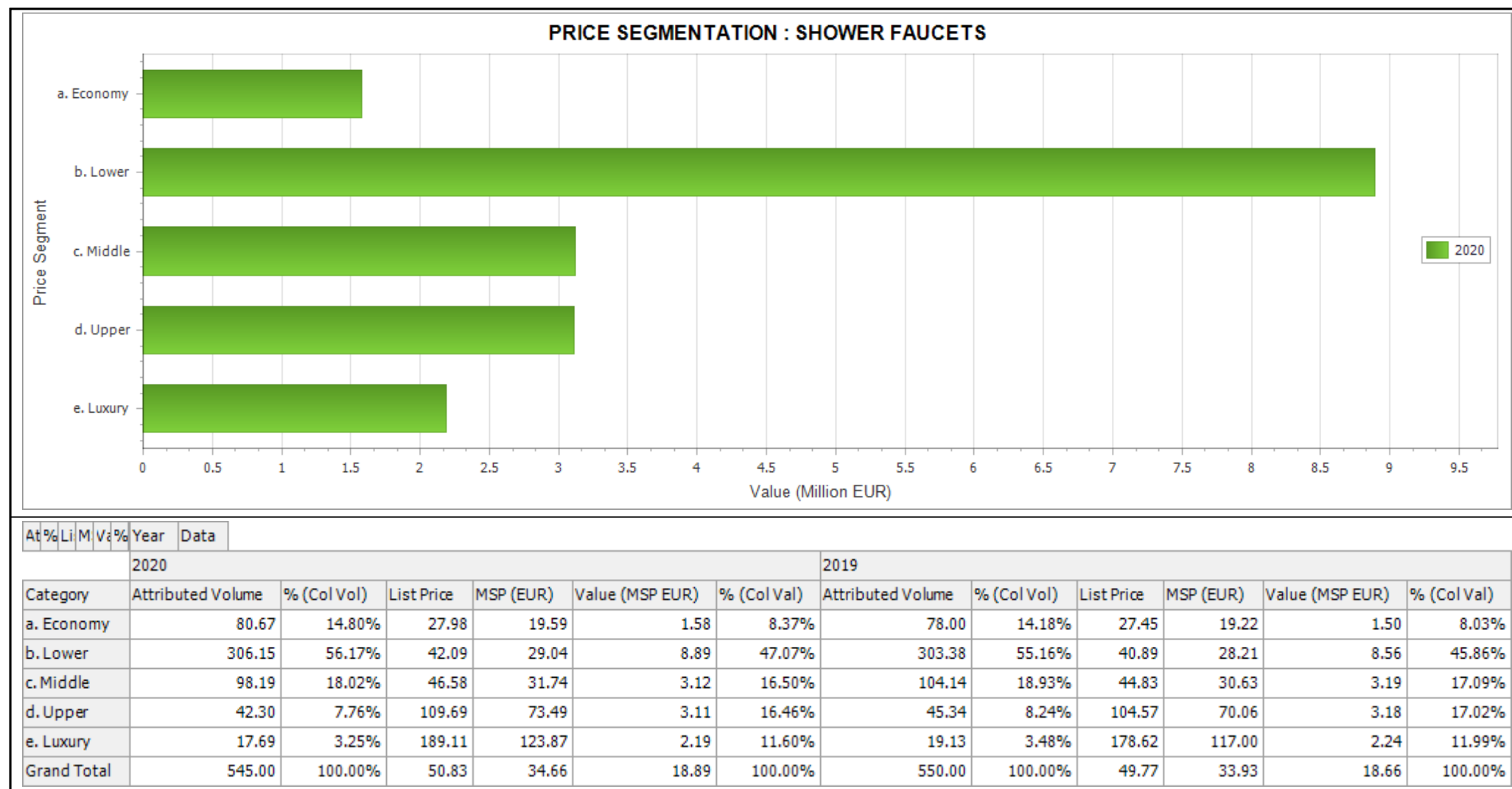
SA - ESTIMATED PRICE SEGMENTATION FOR KITCHEN FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€75 and Luxury >€75

3.3.6 Price Segmentation : Shower Faucets

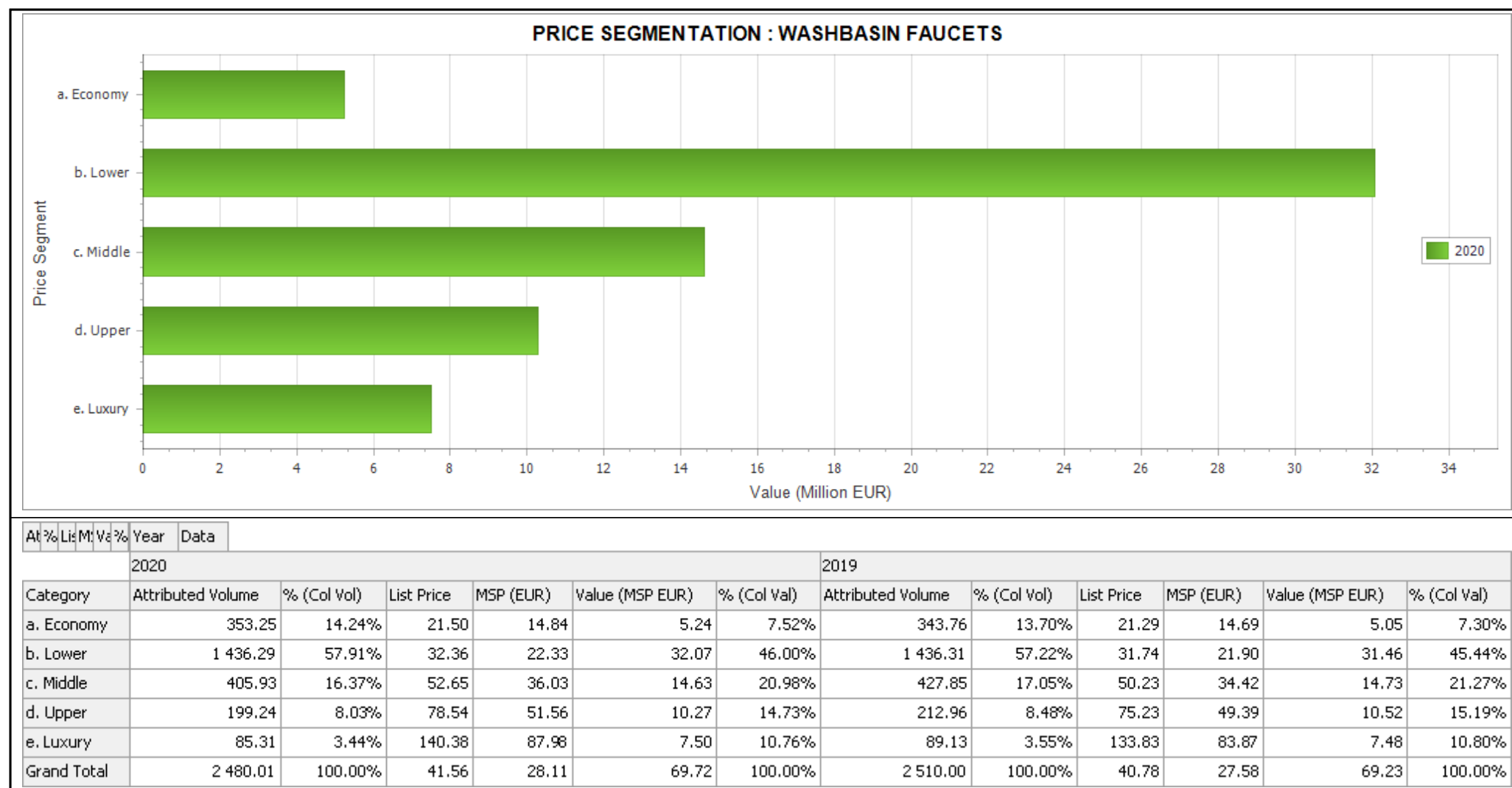
SA - ESTIMATED PRICE SEGMENTATION FOR SHOWER FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€25, Lower €25-€30, Middle €30-€60, Upper €60-€100 and Luxury >€100

3.3.6 Price Segmentation : Washbasin Faucets

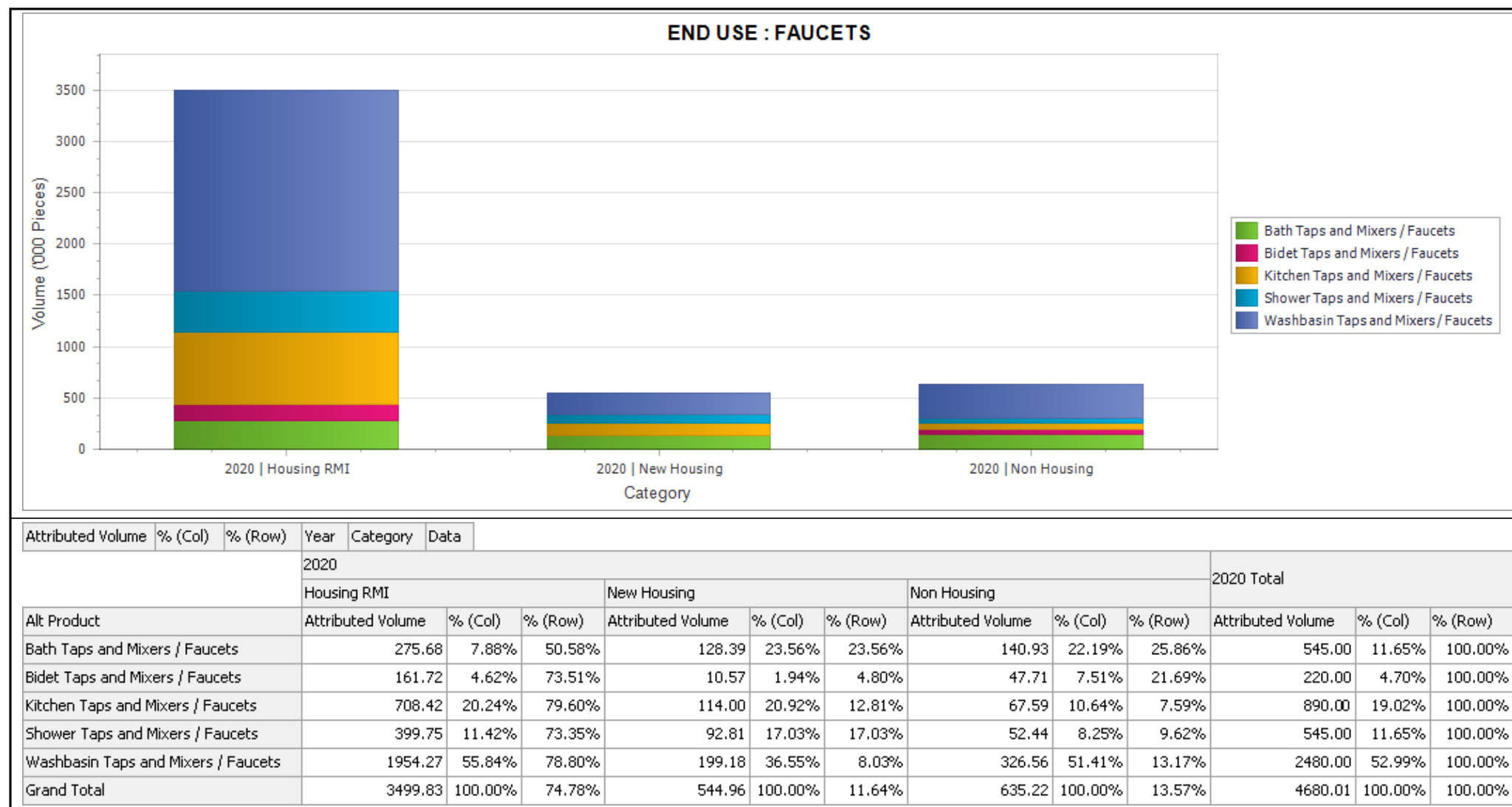
SA - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€45, Upper €45-€80 and Luxury >€80

3.4.1 End Use : Base Year

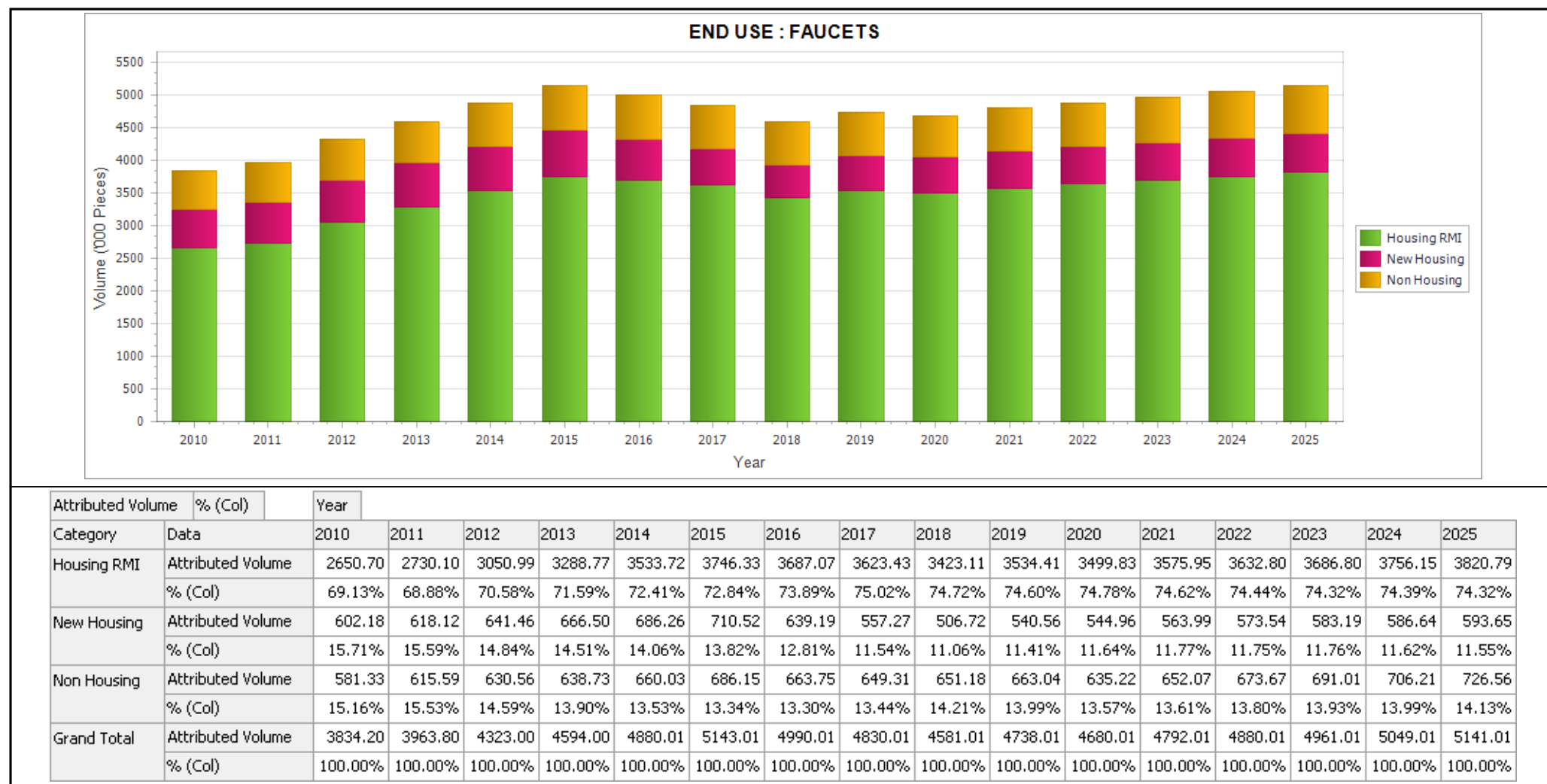
SA - SALES OF FAUCETS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

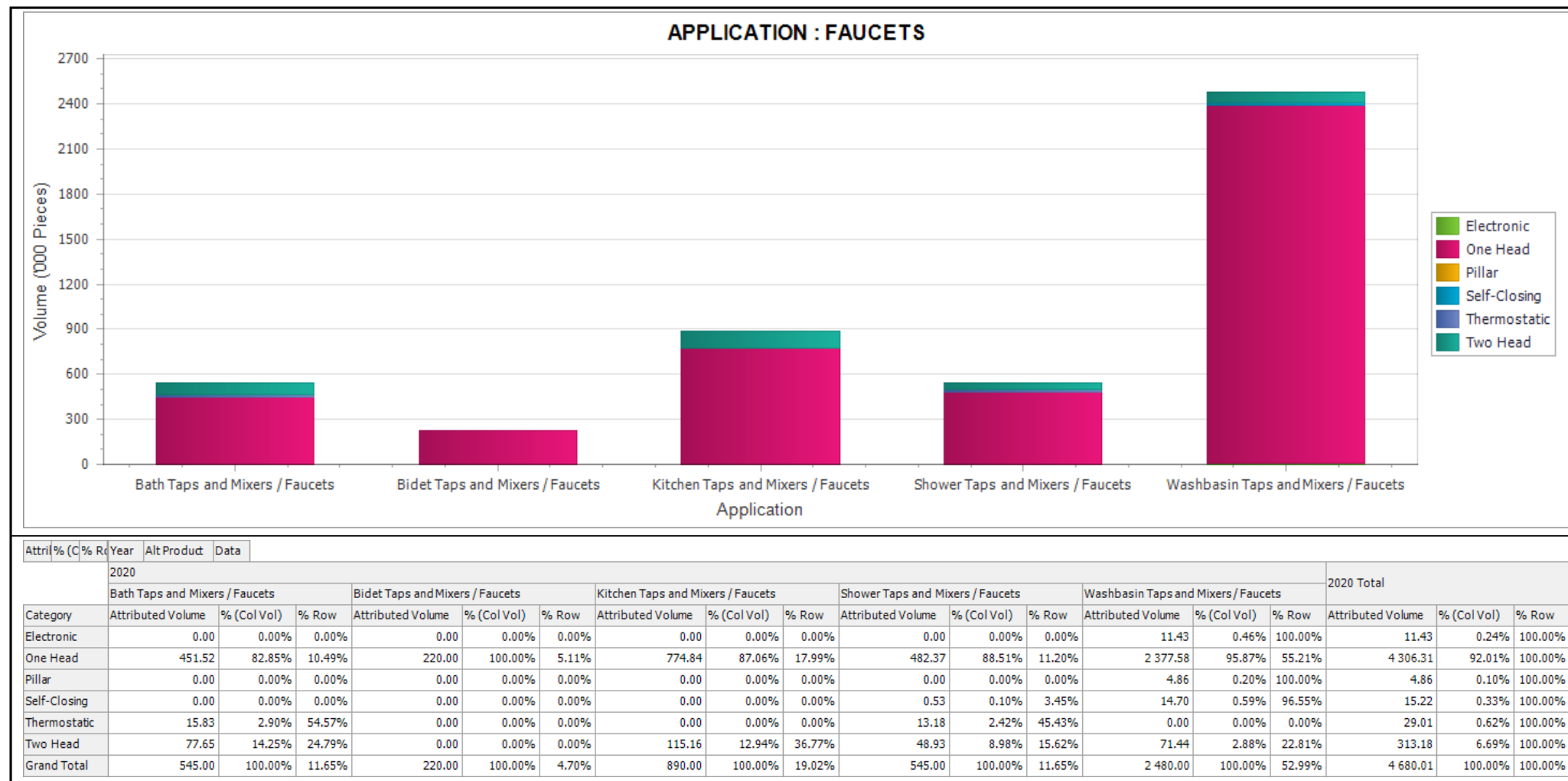
SA - SALES OF FAUCETS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Faucets

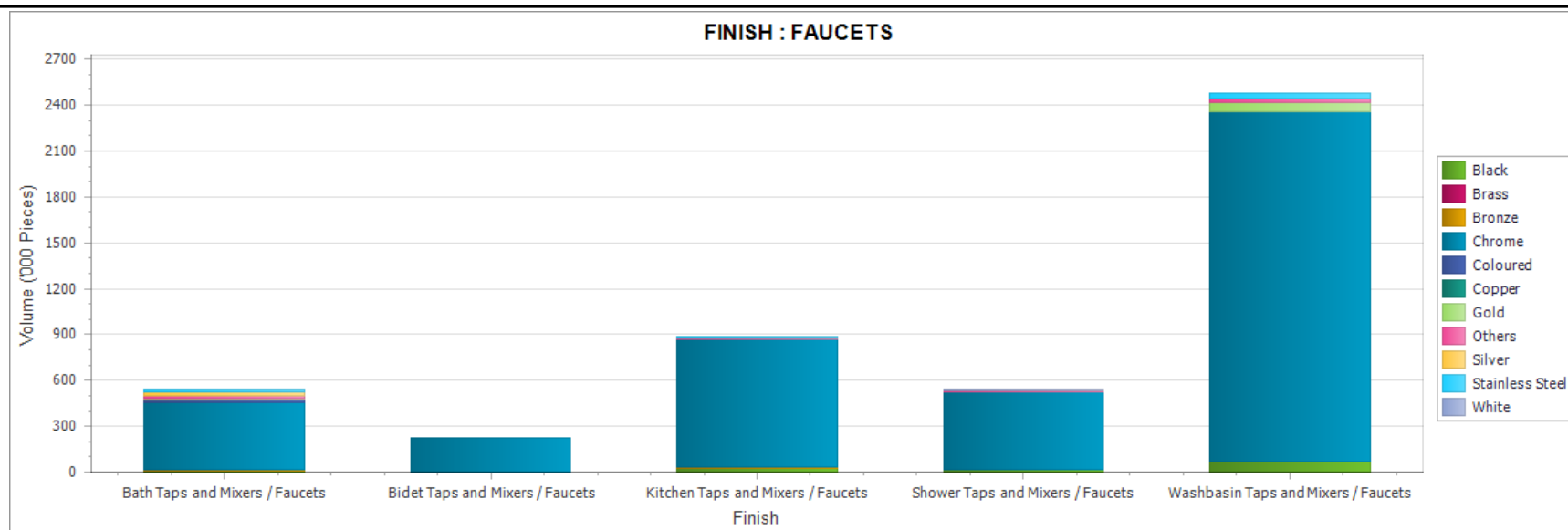
SA - FAUCETS SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Faucets

SA - FAUCETS SALES BY FINISH AND APPLICATION ('000 PIECES)

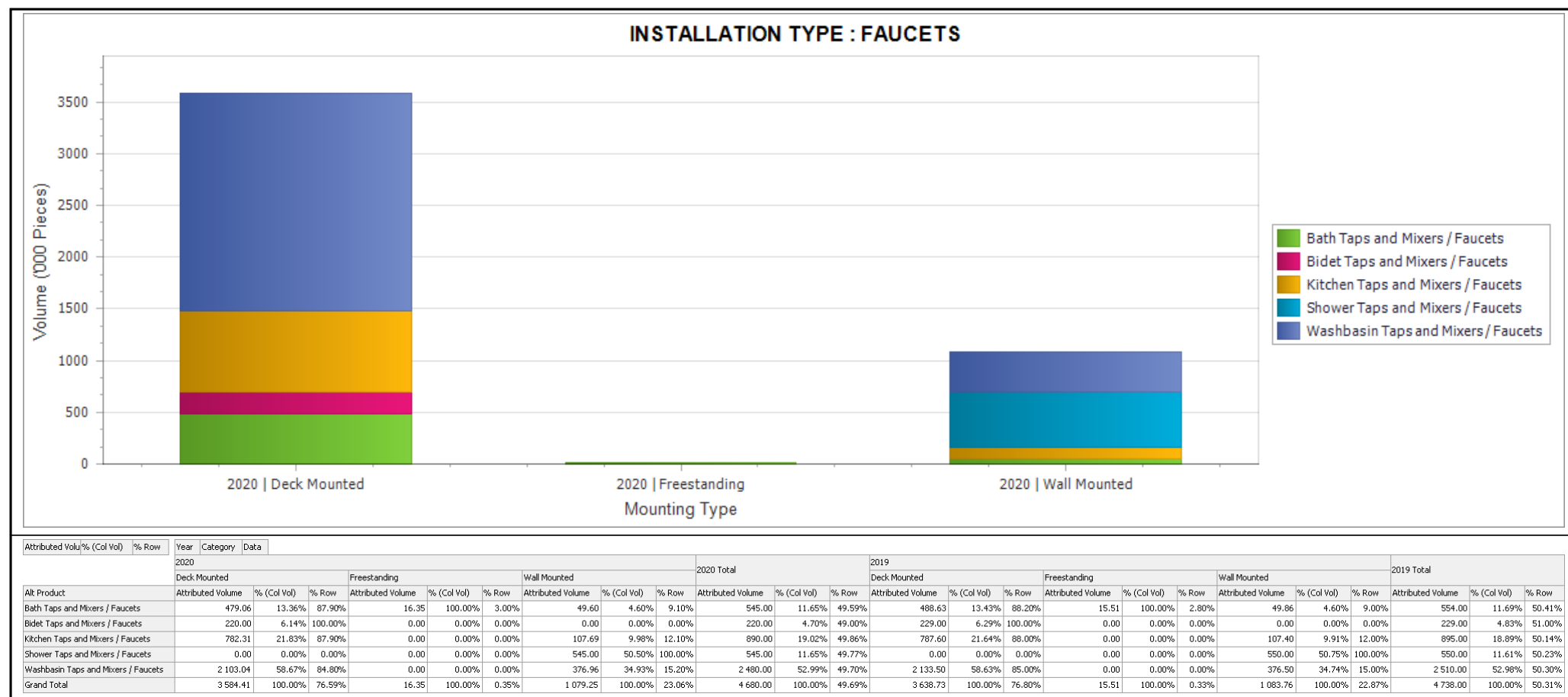


Attribut	% (Col V	Year	Alt Product	Data										
					2020						2020 Total			
					Bath Taps and Mixers / Faucets		Bidet Taps and Mixers / Faucets		Kitchen Taps and Mixers / Faucets				Shower Taps and Mixers / Faucets	
Category	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)		
Black	12.54	2.30%	0.00	0.00%	28.48	3.20%	16.35	3.00%	69.44	2.80%	126.81	2.71%		
Brass	0.00	0.00%	0.00	0.00%	0.89	0.10%	0.00	0.00%	0.00	0.00%	0.89	0.02%		
Bronze	0.55	0.10%	0.00	0.00%	5.34	0.60%	0.00	0.00%	0.00	0.00%	5.89	0.13%		
Chrome	444.99	81.65%	220.00	100.00%	832.15	93.50%	509.58	93.50%	2 291.52	92.40%	4 298.24	91.84%		
Coloured	16.35	3.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%	16.35	0.35%		
Copper	0.00	0.00%	0.00	0.00%	0.89	0.10%	0.00	0.00%	0.00	0.00%	0.89	0.02%		
Gold	9.81	1.80%	0.00	0.00%	0.00	0.00%	0.00	0.00%	57.04	2.30%	66.85	1.43%		
Others	16.90	3.10%	0.00	0.00%	8.90	1.00%	8.18	1.50%	24.80	1.00%	58.77	1.26%		
Silver	27.25	5.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%	0.00	0.00%	27.25	0.58%		
Stainless Steel	16.62	3.05%	0.00	0.00%	13.35	1.50%	0.00	0.00%	37.20	1.50%	67.17	1.44%		
White	0.00	0.00%	0.00	0.00%	0.00	0.00%	10.90	2.00%	0.00	0.00%	10.90	0.23%		
Grand Total	545.00	100.00%	220.00	100.00%	890.00	100.00%	545.00	100.00%	2 480.00	100.00%	4 680.00	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Mounting : Faucets

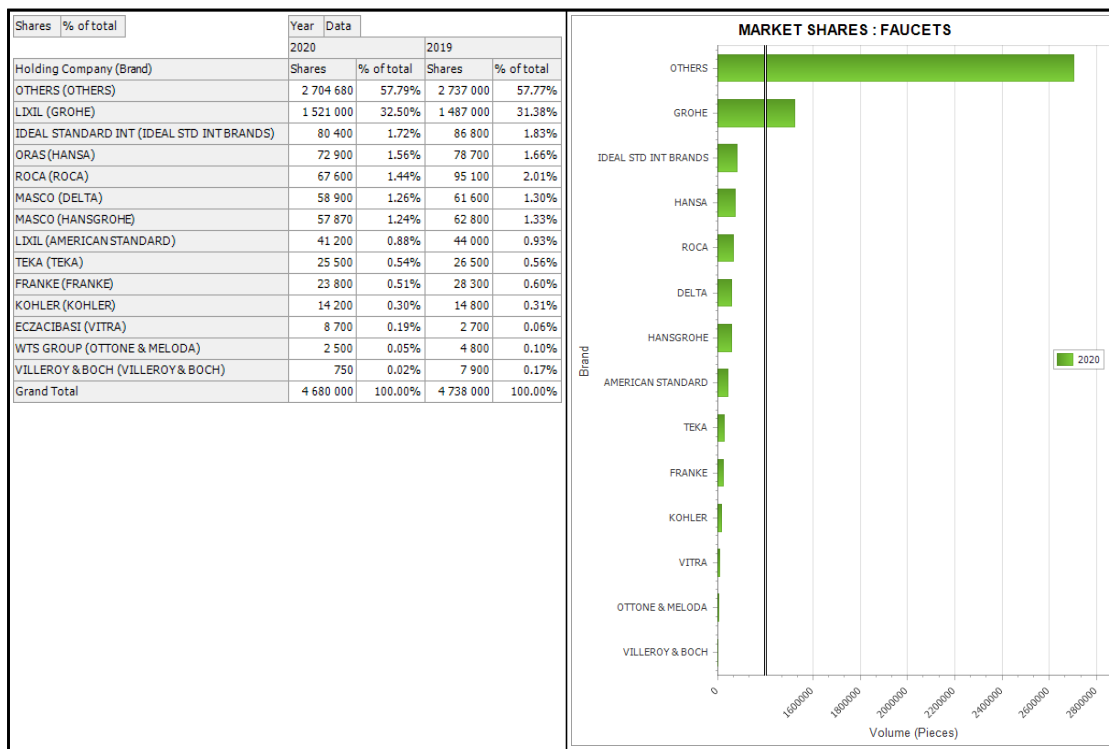
SA - FAUCETS SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Faucets

SA - ESTIMATED MARKET SHARES FOR FAUCETS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1

Route to Market: Sanitary Taps & Mixers / Faucets
SA - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

69.0%
Wholesalers / Merchants
69.0%

Retail Level

Manufacturer	Wholesaler
2.4%	2.2%
Internet Retailers	
4.6%	

Manufacturer	Wholesaler
0.0%	0.0%
DIY Retailers	
0.0%	

Manufacturer	Wholesaler
17.7%	41.0%
Specialist Retailers	
58.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	18.0%	1.0%	0.0%	16.7%
Installers				
35.7%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
7.5%	7.8%	2.6%	0.0%	38.0%	29.2%
Residential					
85.0%					

New Build			Residential RMI		
11.4%			73.7%		
Project	Non-Project		Project	Non-Project	
7.5%	3.9%		4.6%	69.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
3.5%	0.0%	1.0%	0.0%	4.0%	6.5%
Non-Residential					
15.0%					

New Build			Non-Residential RMI		
4.0%			11.0%		
Project	Non-Project		Project	Non-Project	
3.4%	0.6%		1.6%	9.4%	

3.6.2

Route to Market: Sanitary Taps & Mixers / Faucets
SA - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

71.0%
Wholesalers / Merchants
71.0%

Retail Level

Manufacturer	Wholesaler
1.9%	2.5%
Internet Retailers	
4.4%	

Manufacturer	Wholesaler
0.0%	0.0%
DIY Retailers	
0.0%	

Manufacturer	Wholesaler
19.0%	40.0%
Specialist Retailers	
59.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	18.0%	2.0%	0.0%	19.0%
Installers				
39.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
4.4%	10.5%	0.9%	0.0%	36.0%	32.5%
Residential					
84.3%					

New Build			Residential RMI		
11.3%			73.0%		
Project	Non-Project		Project	Non-Project	
7.5%	3.8%		4.3%	68.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
3.7%	0.0%	1.5%	0.0%	4.0%	6.5%
Non-Residential					
15.7%					

New Build			Non-Residential RMI		
5.4%			10.3%		
Project	Non-Project		Project	Non-Project	
4.4%	1.0%		1.7%	8.6%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.6.3 Route to Market - Consolidated View : Sanitary Faucets

SA - ESTIMATED DISTRIBUTION FOR SANITARY FAUCETS : 2020

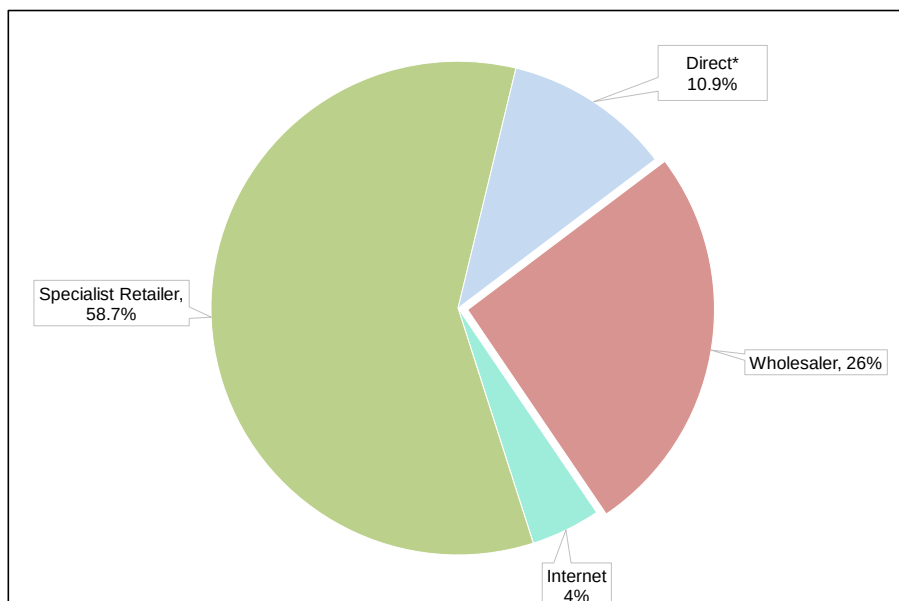
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
25.8%	4.6%	0.0%	58.7%	10.9%	12.1%	5.0%	72.9%	10.0%
100%					17.1%		82.9%	

3.6.4 Route to Market - Consolidated View : Sanitary Faucets

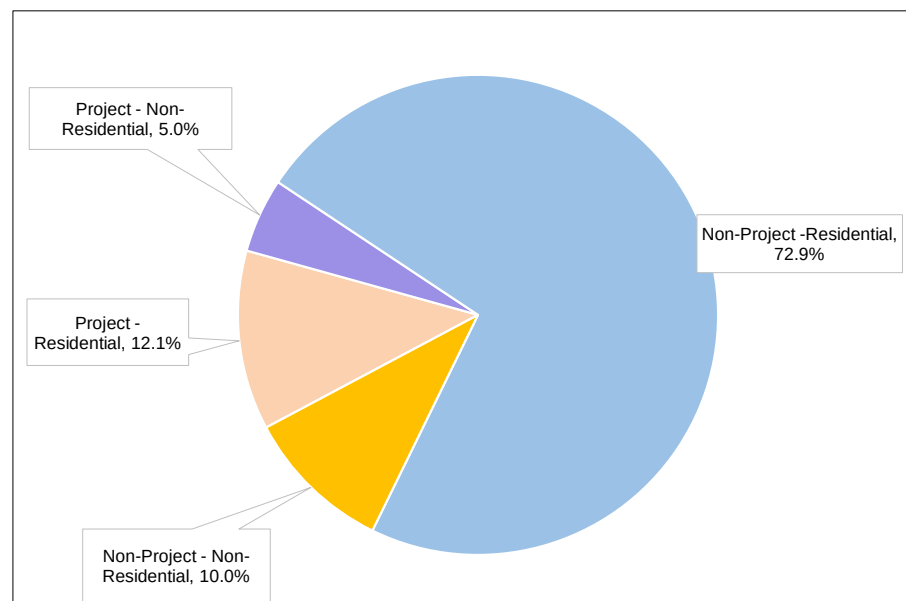
SA - ESTIMATED DISTRIBUTION FOR SANITARY FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
28.5%	4.4%	0.0%	59.0%	8.1%	11.8%	6.1%	72.5%	9.6%
100%					17.9%		82.1%	

SA - SALES OF SANITARY FAUCETS BY DISTRIBUTION CHANNEL: 2020



SA - SALES OF SANITARY FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



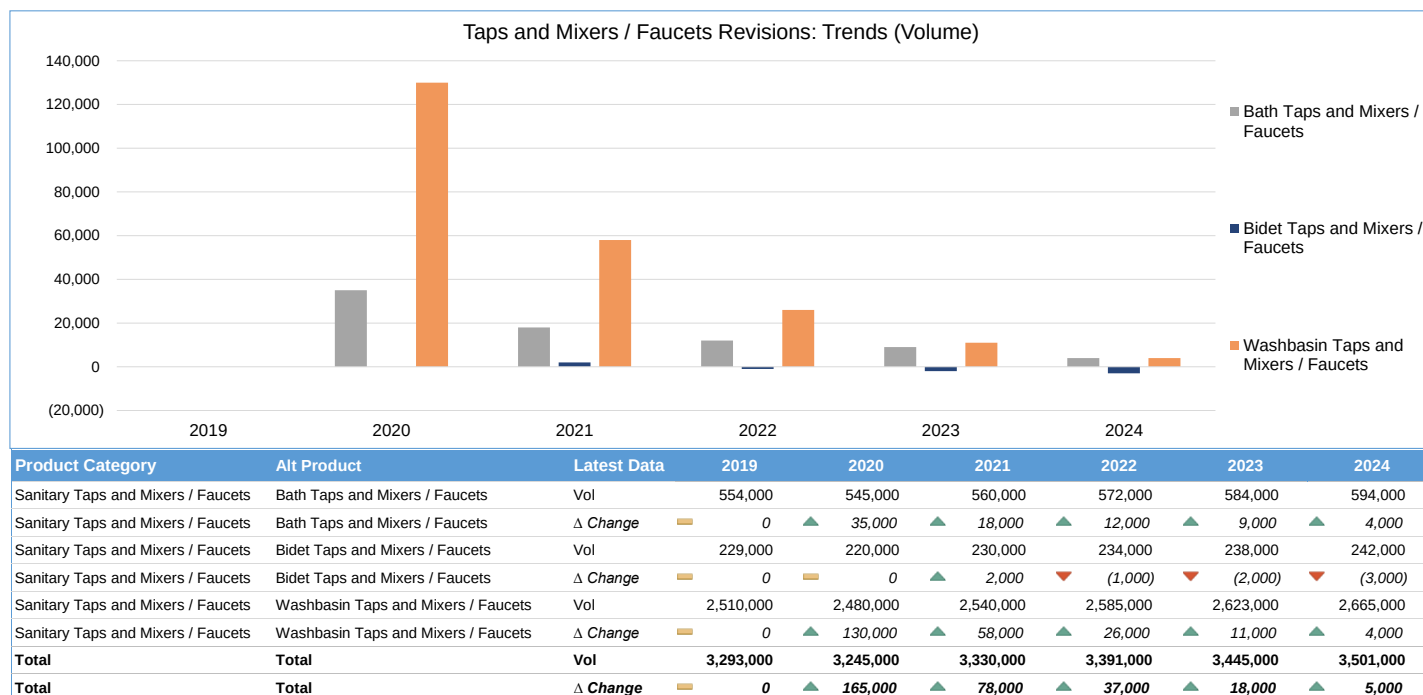
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.7 Revisions in the Saudi Taps and Mixers / Faucets Market (April 2021)

SA - REVISIONS IN THE SAUDI TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: April 2020



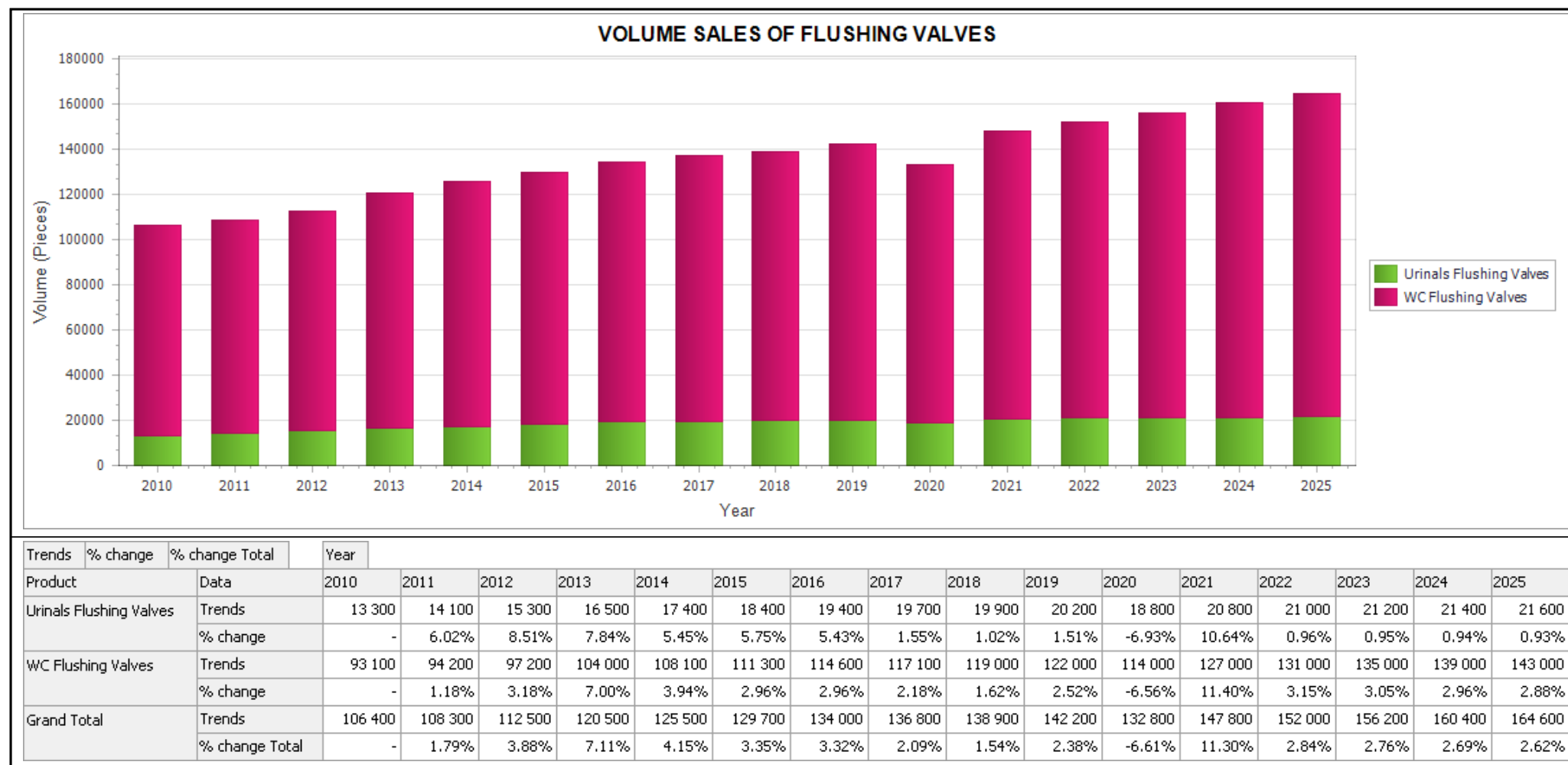
No revisions have been made to historical volumes for this market.

The MSP for bath and shower mixers were revised downward, following a change in the product mix.

Indeed, thermostatic mixers in Saudi Arabia had a lower penetration compared to what was previously thought. Considering the higher price of this type of mixers and the fact that they are installed for bath and shower applications only. it impacted the average MSP for this type of mixers, following a revision made in the product split.

3.8.1 Historical Trends and Forecasts : Flushing Valves

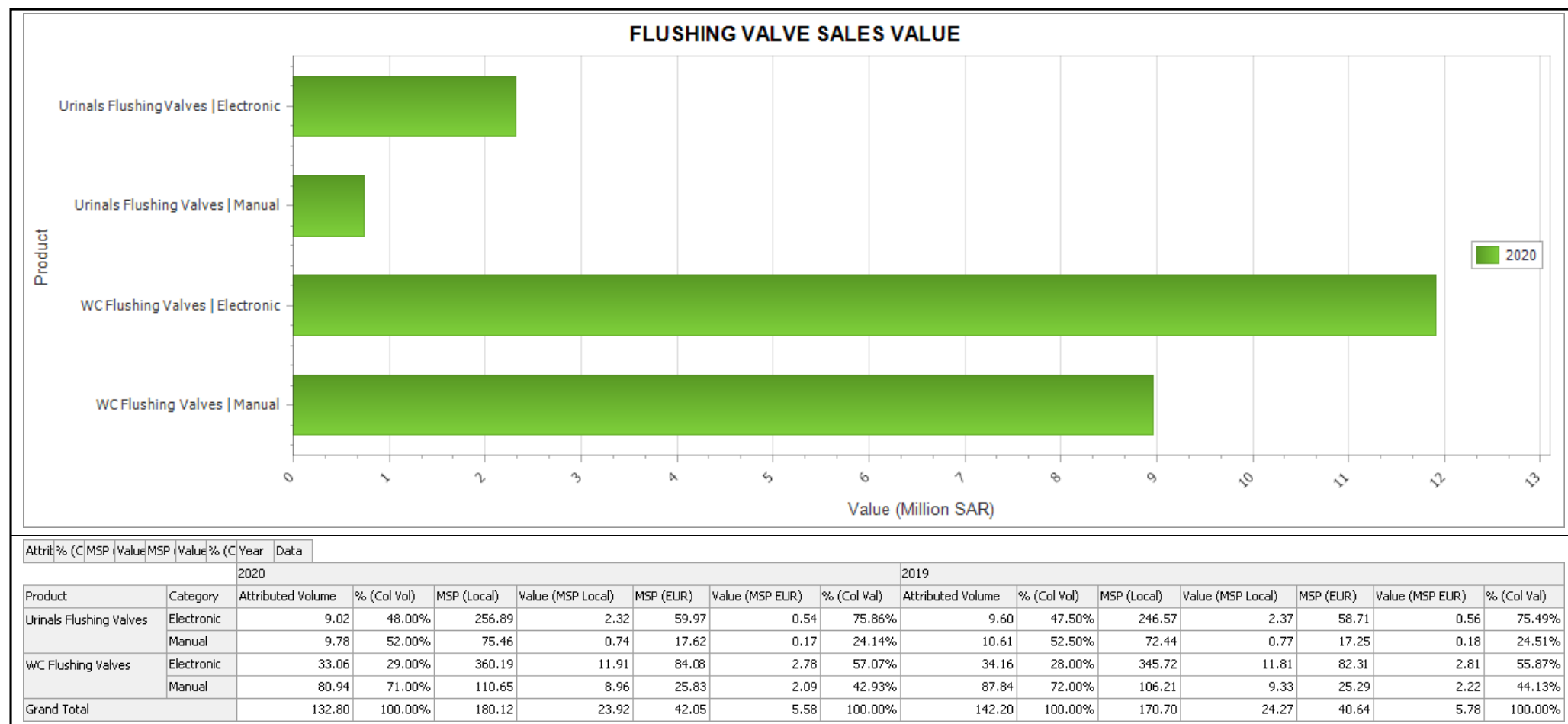
SA - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

3.8.2 Prices and Market Values : Flushing Valves

SA - ESTIMATED VALUES OF THE FLUSHING VALVE MARKET

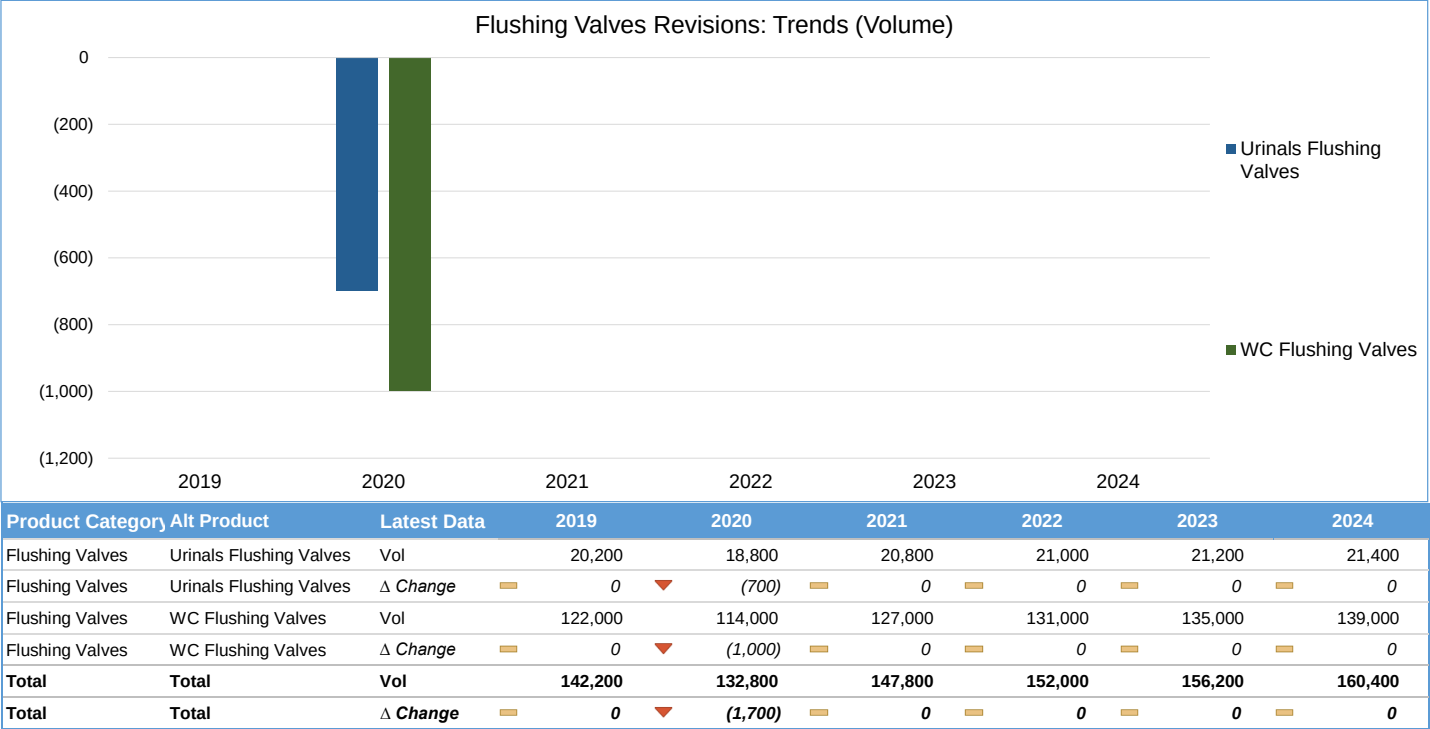


Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Local Prices Shown in SAR.

3.9 Revisions in the Saudi Flushing Valves Market (April 2021)

SA - REVISIONS IN THE SAUDI FLUSHING VALVES MARKET

Data Comparison: April 2020



No revisions have been made to historical volumes and values for this market.

SAUDI ARABIA

SHOWER WALL

THE MIDDLE EASTERN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The shower wall market in Saudi Arabia is relatively small considering the size of the country. When looking at the product split, the market size for bath screens represents only a small proportion of the overall market, despite the fact that the baths market is larger than the shower trays market. This is due to the singularity of the country and its cultural specificity when it comes to bathrooms. Shower enclosures are much more common, because most of the shower trays sold in the country go to the new housing sector and are generally equipped with shower enclosures. While most of the baths installed in Saudi Arabia also go to new housing, they are rarely sold with a bath screen.

Indeed, the installation of bathroom products dedicated to stopping water from being splashed around is not very common in Saudi Arabia. In both residential and non-residential bathrooms, a drain is installed on the floor. Entering into a Saudi bathroom is rarely done with shoes on (a pair of sandals is often used). The bathroom floor in Saudi Arabia is, indeed, often wet due to the ablutions (the ritual washing for religious purposes) and one of the continuing tasks for a maid is to mop the bathroom floor several times a day.

Most of the time, a curtain is used instead of a bath screen. Even in the non-housing segment, bath screens are not that common either. Bath screens are mainly used in luxury dwellings, and their sales are limited. Curtains are often used and are generally more efficient than a bath screen, especially when it comes to washing the feet for the ritual ablutions.

Conventional shower cubicles are mostly used in temporary dwellings, those dedicated to foreign blue-collar workers, where their housing needs are taken on by the company and they are based near their place of work. These different reasons lead each segment of the shower wall market to follow its own trend.

Out of the three segments of the Saudi shower wall market, the residential construction activity is the most relevant for sales of shower enclosures, while the two others depend on other factors.

Recent Market Trends

In 2020, sales of shower walls in Saudi Arabia declined. In contrast with some countries, the Covid-19 pandemic had a limited impact on the shower wall market. Hence, year-to-year sales fluctuations were limited in the year.

This decline was mainly due to the government measures to tackle the spread of Covid-19. Retail shops were closed, and movement of goods and traders were limited within cities, in addition to a curfew imposed on the population.

A slow but early ease of these measures, which led the market to recover gradually from June, was not sufficient to offset the sales decline from the first half of the year.

Prices and Market Values

The MSP for shower walls increased in 2020.

Despite the Covid-19 pandemic, the intense construction activity within the residential sector has increased the demand for shower walls. Also, the measures taken by the government to tackle the spread of the pandemic disrupted the procurement supply. The increasing demand, coupled with a disruption in the supply chain, led shower wall prices to increase.

Moreover, the newly introduced VAT increased threefold in July 2020 (from 5% to 15%), and this constitutes more pressure on prices.

It is believed that prices have increased also due to some players taking advantage of the situation of the Covid-19 pandemic.

When expressed in euros, the price increase was softened by the fluctuation in the exchange rate between the USD and the Euro in 2020, with a variation close to 2%, in favour of the latter.

New Housing

In 2020, a higher number of residential units were completed, which led bath screen and shower enclosure sales to increase in the new housing segment.

Sales of shower cubicles increased in 2020, thanks to the increasing share of apartments (vs. houses), in new build, which constitutes a driver for this type of product.

During the year, strong progress was made towards the completion of the new KAEC (King Abdullah Economic City) that is now considered as completed.

Radical economic reforms initiated by the Crown Prince MBS, and the ambitious housing programme, led the construction sector to show robustness. By the end of the year the country had witnessed a higher number of dwelling completions, for a second consecutive year.

Housing RMI

In 2020, sales of shower walls in Saudi Arabia declined.

This was due to the effect of the curfew to tackle the spread of the Covid-19 pandemic, which led retailers to shut down, and in addition to the limited movement of the population to essential shopping outlets, and so sales of shower walls in the

kingdom declined.

This lasted for a few months only, however, and in June 2020 signs of recovery were perceptible. By the end of the year sales of shower walls were positive, although insufficient to offset the sales losses of the first half of the year.

During 2020, most shower walls sold to the RMI segment were made of glass.

Non-Housing

Within shower wall sales, the non-housing segment declined in 2020.

Sales that went to the non-housing segment were mostly affected by the replacement market, particularly within the hospitality sector.

Similarly, to the RMI segment (within the residential segment) because retailers were shut down for a few months, overall sales were reduced during the year. In addition to that, it was not possible to visit the country, reducing by nearly three million the number of pilgrims to the Hedjaz region, where most hotels are. With a low occupancy rate, it was less urgent for hotels to replace their shower walls, and this lasted for the whole year, as restrictions to travel to the country have remained.

New hotels were completed during 2020, leading to shower walls being installed in new build, thanks to the government's effort to diversify its economy through the development of the tourism sector, as per the ambitious Saudi Vision 2030 programme.

Supply Structure

In 2020, no changes were identified or clarified in the supply structure for shower walls: it remains relatively opaque, with no companies that stand out enough to hold a significant market share.

This highly fragmented and unbranded market is due to the fact that shower tray manufacturers, and to a lesser extent bath manufacturer, deal generally with shower wall suppliers prior to supplying their products to developers – generally government projects.

Among Western brands, IDEAL STANDARD counts among the major brands selling bath screens and shower enclosures made of fibre glass. The upper end is mostly represented by JACUZZI, DUSCHOLUX, KALDEWEI, and SPIRELLA. ROMAN SHOWERS, a UK manufacturer, is also present in the kingdom and has had some projects in the cities of Jeddah (Al Wadji Towers Hotel, Dr. Ala Hospital, and Taj Ismail Villa) and Dhahran (King Abdullah University).

The absence of brand recognition for this type of market is strong when compared to other bathroom products. This is highlighted through the range of bathroom

products offered by SAUDI CERAMICS (obviously outside the products they manufacture, i.e., ceramic sanitary ware): almost all the products they sell are branded apart from shower enclosures, which are supplied by ODMs.

Within the country, SAUDI CERAMICS is among the main companies offering a wide range of shower walls, but it does not manufacture them itself. Unlike other bathroom products that are branded, SAUDI CERAMICS distributes unbranded shower enclosures and bath screens.

Low brand awareness constitutes one of the main drivers for Chinese manufacturers to increase their influence in the supply structure.

Regional glass manufacturers play a modest role in the bathroom sector, but they are mostly focused on other sectors not related to bathrooms, and BRG was not able to identify those dedicated to shower walls.

Forecasts

In Q1 of 2021, shower wall sales continued to improve, because restrictions were eased, and construction sites were back on track.

Sales of shower walls in Saudi Arabia are set to grow steadily in the coming years.

Within the non-housing segment, investment in the tourism sector is set to grow in the coming years, which should translate into more hotels and therefore sales of shower walls. Saudi Vision 2030 has set a series of measures to attract tourists for non-religious tourism. For instance, the Red Sea project consists of the construction of many hotels and resorts on the West Coast. Considering its size (similar to Belgium), it should constitute massive sales opportunities for shower walls.

NEOM is another new city set to be built in the extreme north west of the country and linked to Egypt and Jordan. This new city aims to be futuristic and sustainable.

The Crown Prince MBS has expressed the need to expand Riyadh drastically, and to transform the capital city into a major business hub in the region.

The planned Al Qiddiya entertainment city is another mega-project that aims, along with the Red Sea project, to increase the government revenue besides that made by the oil and gas sector.

These several projects should include a high number of residential units as well as hotels, and should fuel the shower wall market during the forecast period and beyond.

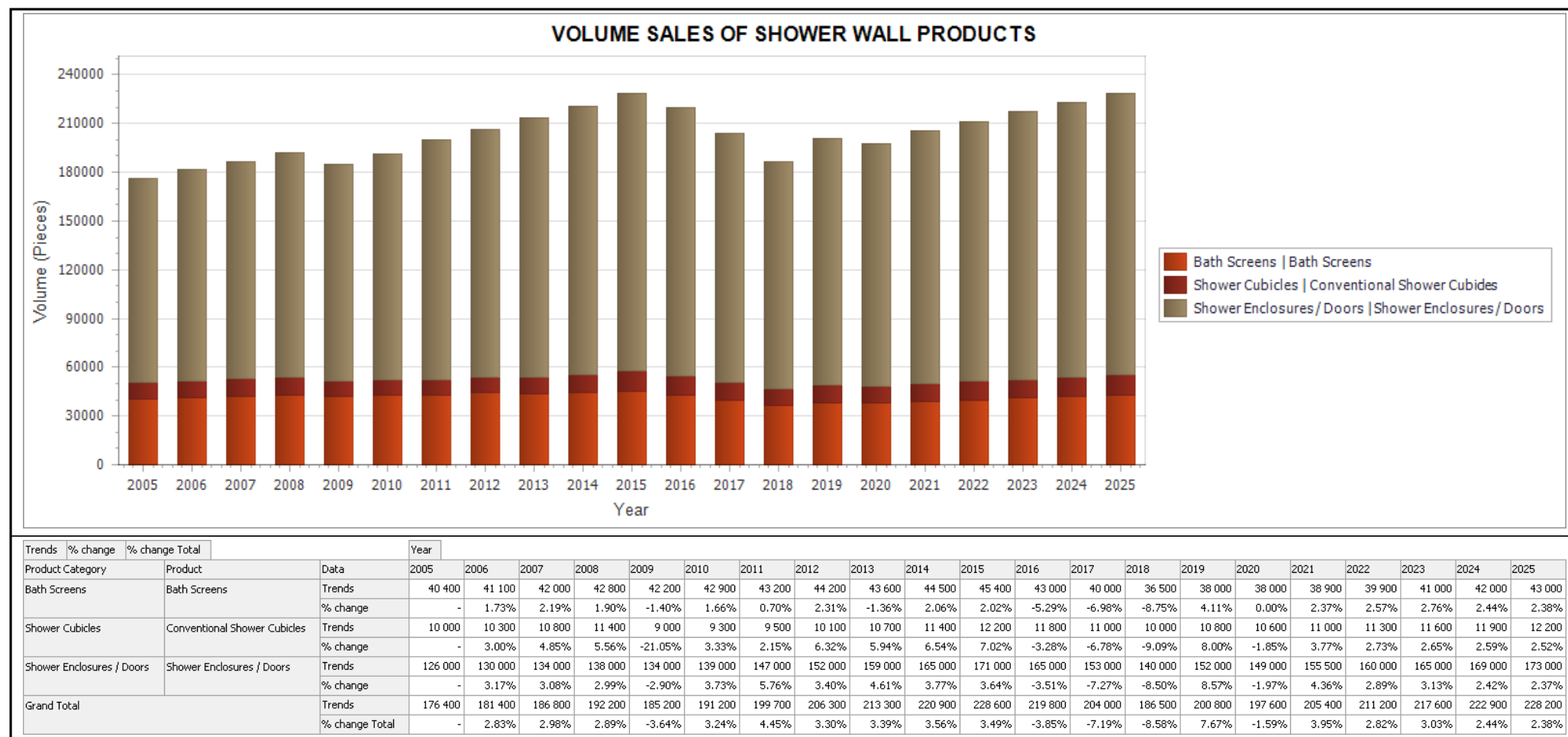
The government aims to increase the property ownership to 70% by 2030, and this constitutes the most reliable source for the shower wall market to expand further.

Fast changes, particularly in the social sphere, often generate social violence. This well-known pattern could happen in Saudi Arabia, which may create political instability and pose threats for the country to conduct its reforms. As a consequence, construction projects could be affected, and thus shower wall sales to new build.

The modernisation of the country includes the reduction of the welfare state and the empowerment of the population, along with fiscal reform. This may lead the population to reconsider the legitimacy of the royal family at the head of the country, while creating pressure for more democracy.

4.2 Historical Trends and Forecasts : Shower Wall

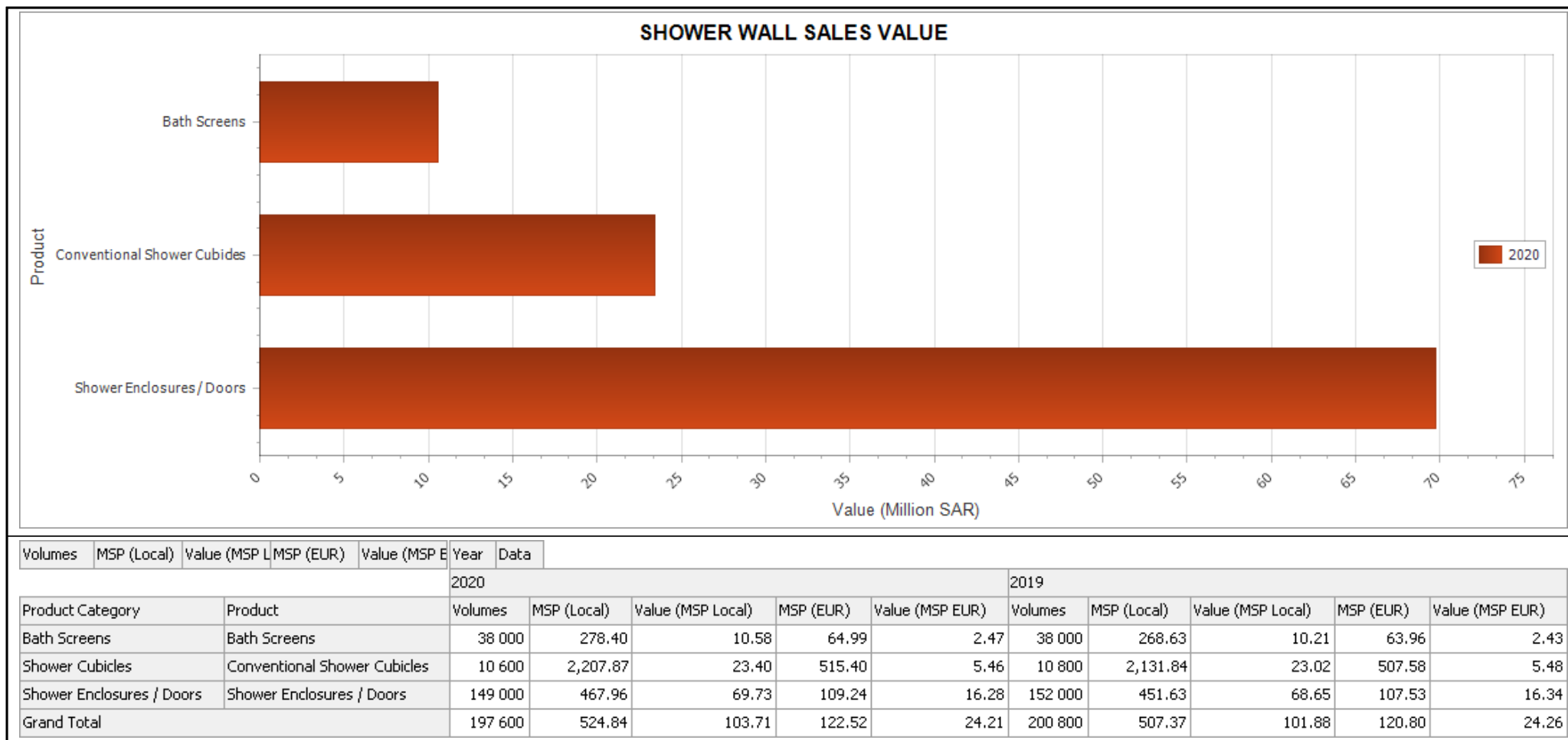
SA - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

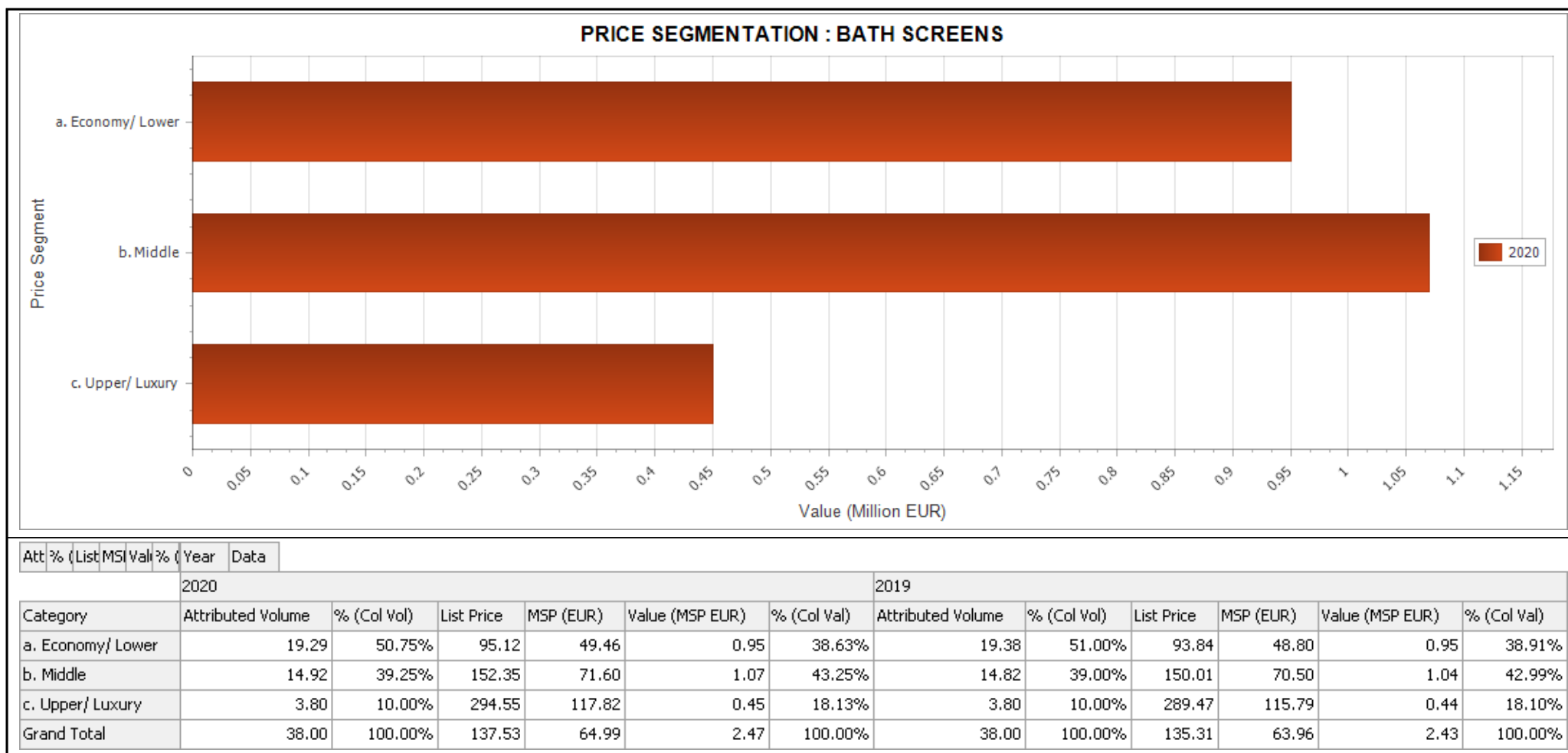
SA - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Local Prices Shown in SAR. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

4.3.2 Price Segmentation : Bath Screens

SA - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

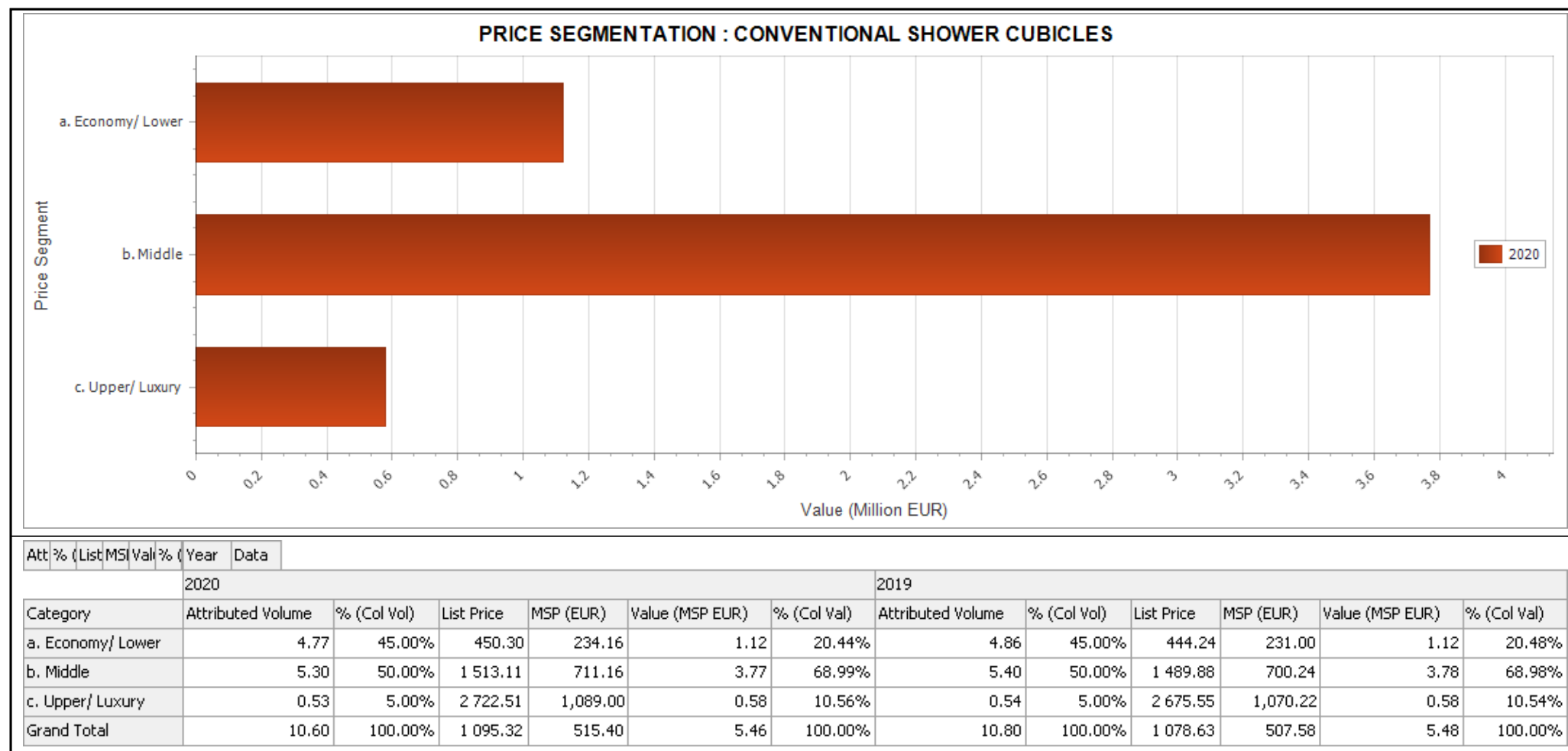


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€100, Upper/ Luxury >€100

4.3.3 Price Segmentation : Conventional Shower Cubicles

SA - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

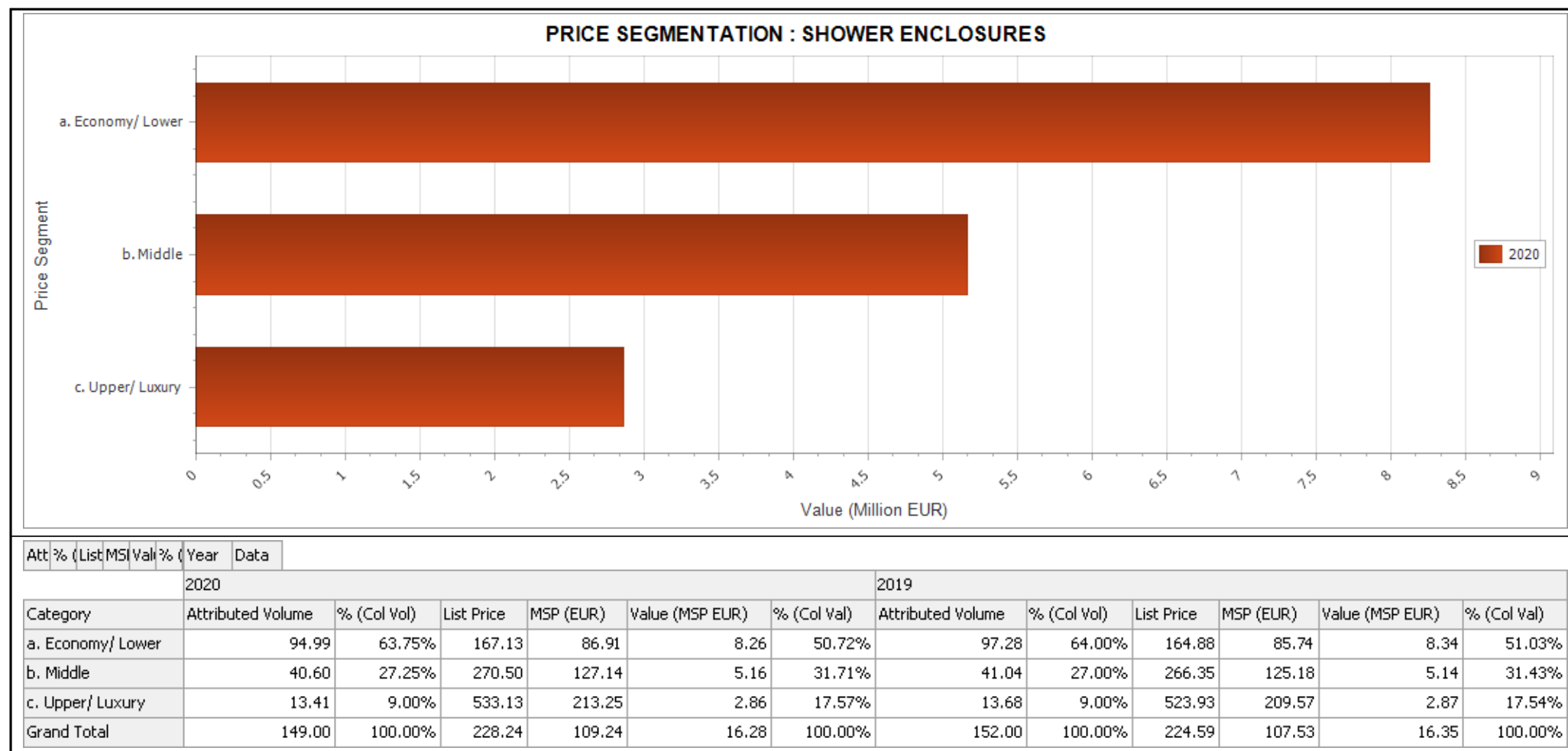


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€500, Middle €500-€800, Upper/ Luxury >€800

4.3.4 Price Segmentation : Shower Enclosures

SA - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

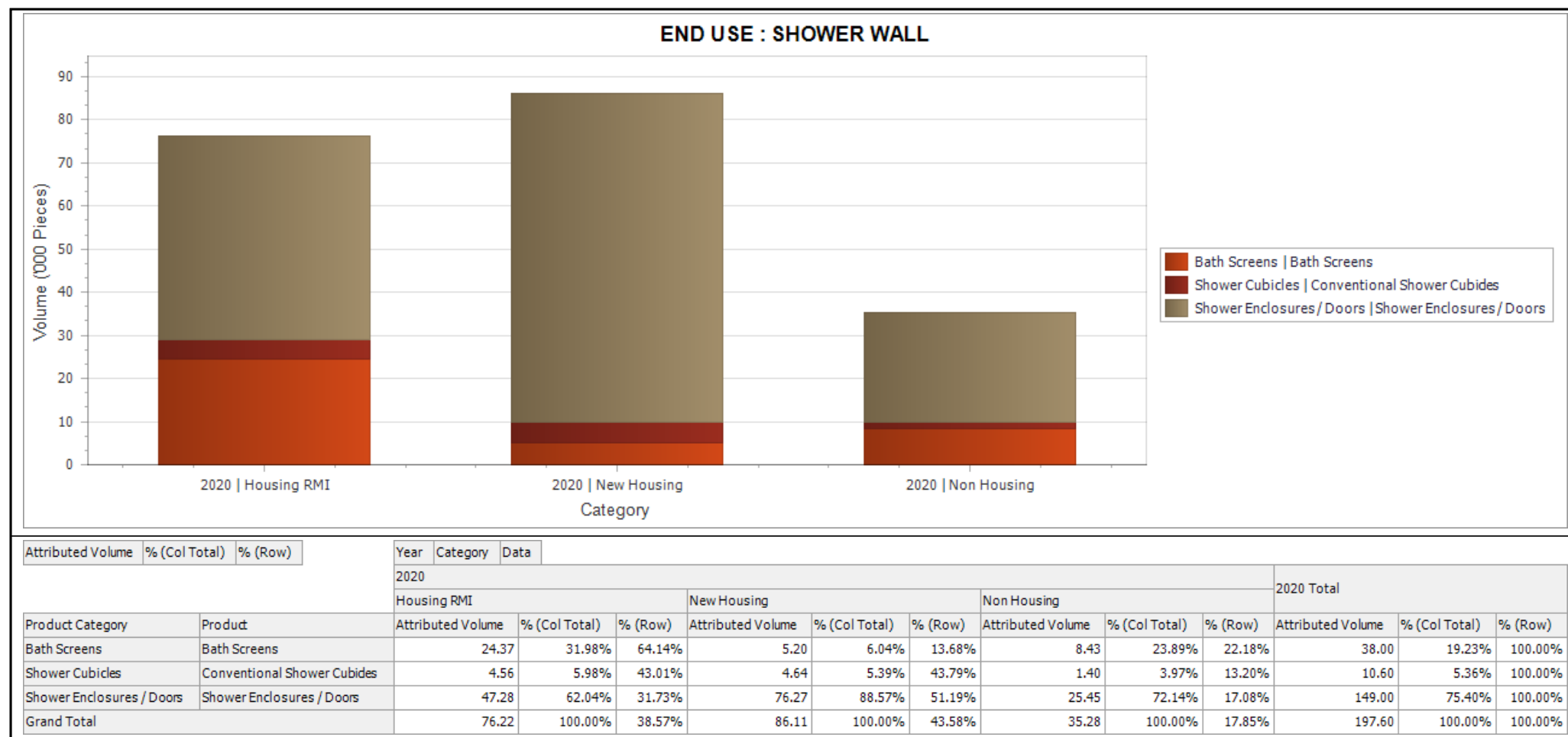


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€180, Upper/ Luxury >€180

4.4.1 End Use : Base Year

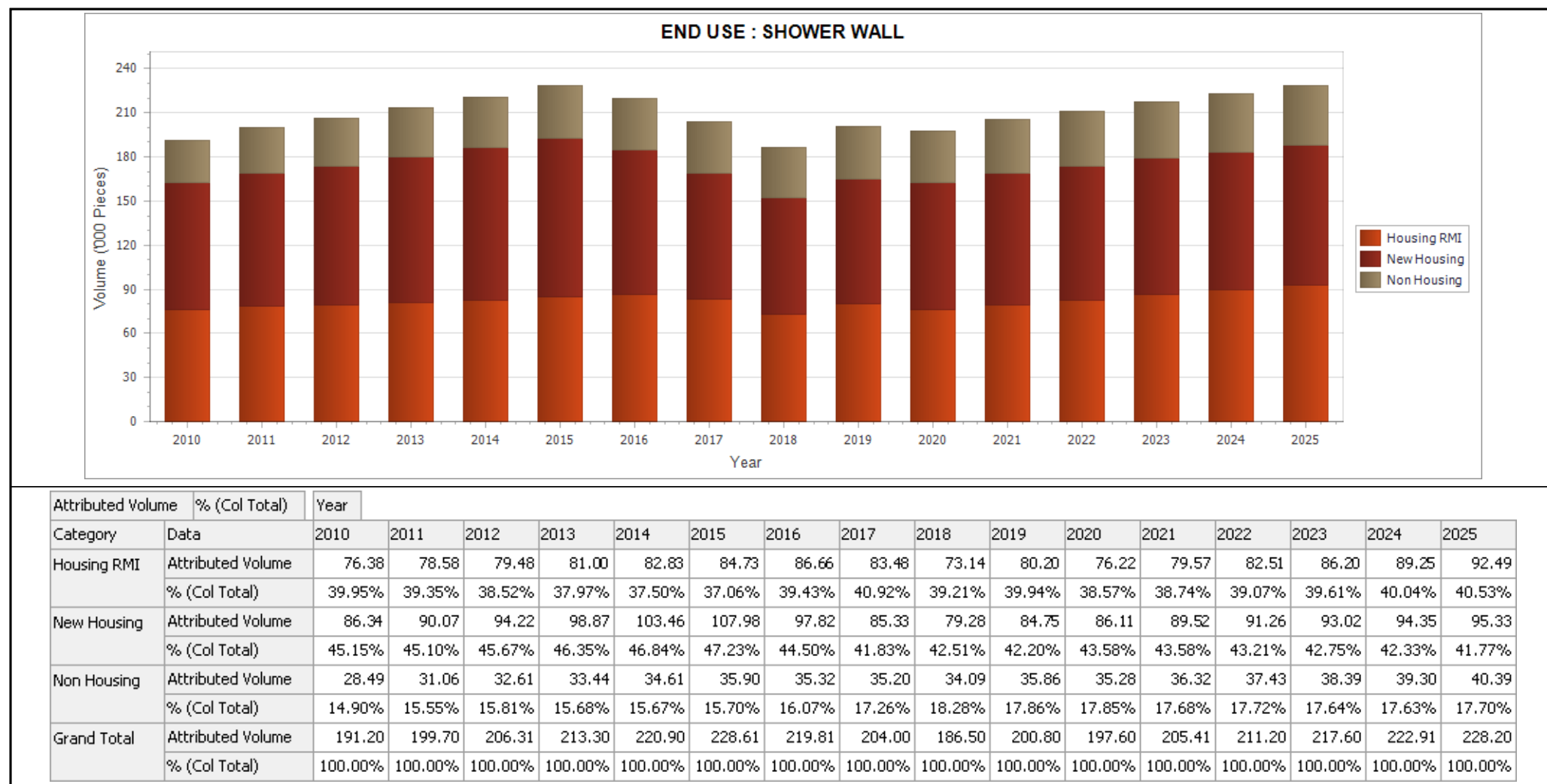
SA - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

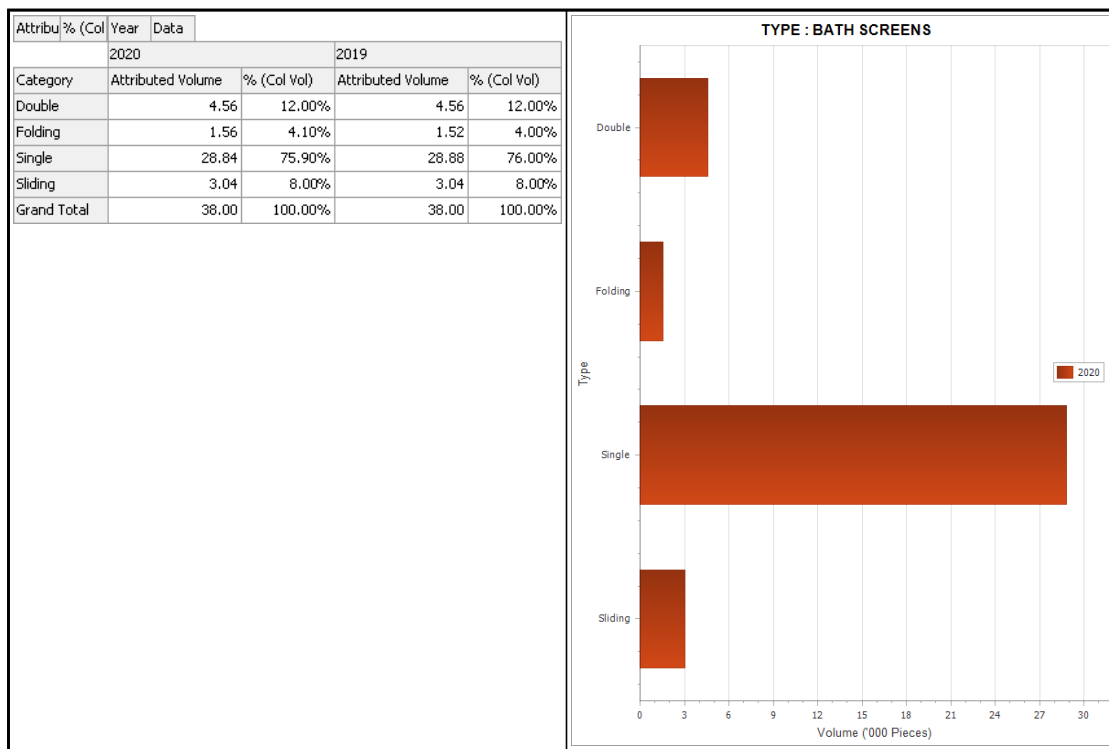
SA - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

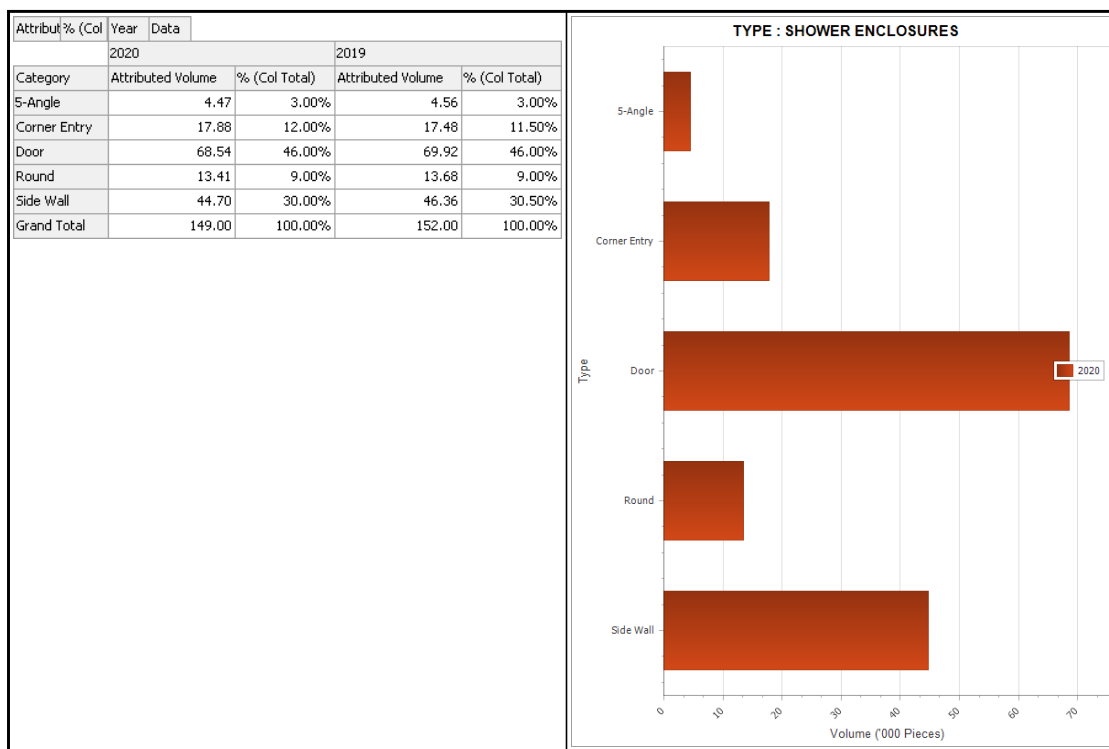
SA - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

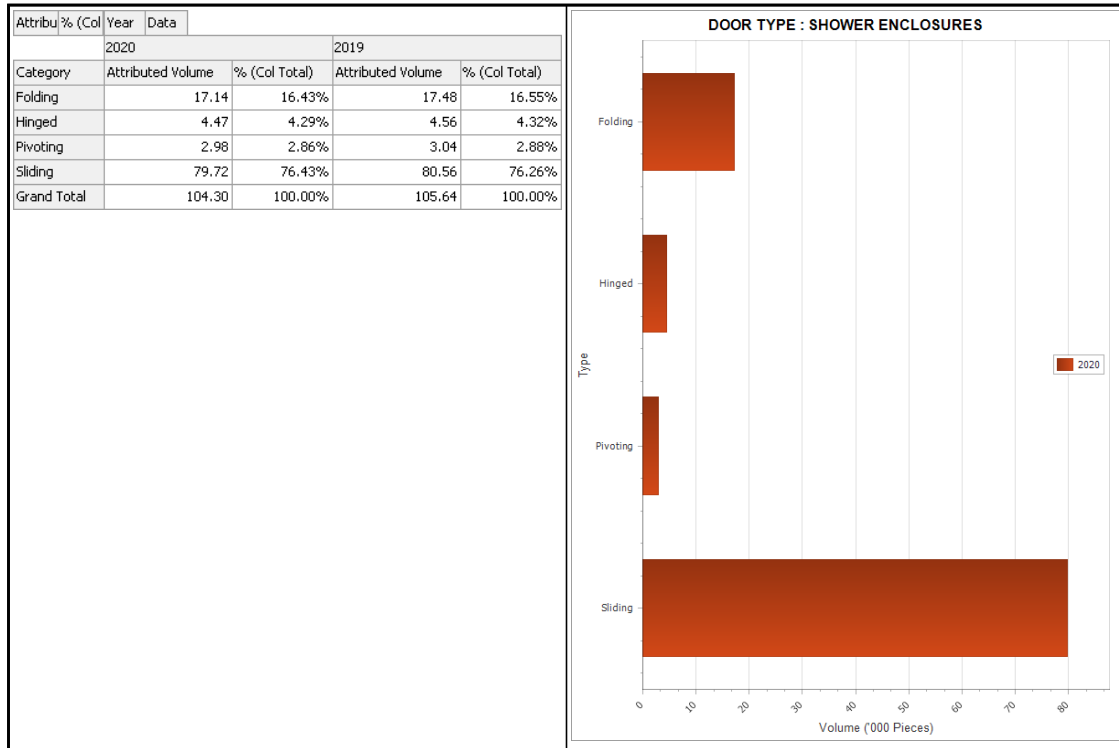
SA - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

SA - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Route to Market: Shower Wall
SA - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	33.0%
	Wholesalers / Merchants
	33.0%

Retail Level	Manufacturer 2.0%	Wholesaler 0.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 38.0%	Wholesaler 19.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.0%		0.0%		57.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	12.0%	0.0%	0.0%	24.0%
Installers				
36.0%				

End Use Level	Manufacturer 23.0%	Wholesaler 2.0%	Internet 2.0%	DIY 0.0%	Specialist 28.0%	Installer 27.1%	Manufacturer 4.0%	Wholesaler 0.0%	Internet 0.0%	DIY 0.0%	Specialist 5.0%	Installer 8.9%
	Residential						Non-Residential					
	82.1%						17.9%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	43.6%			38.6%			3.5%			14.4%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	30.6%	13.0%		2.0%	36.6%		3.0%	0.5%		2.9%	11.5%	

4.5.2 Route to Market: Shower Wall
SA - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	34.0%
	Wholesalers / Merchants
	34.0%

Retail Level	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 38.5%	Wholesaler 19.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.0%		0.0%		57.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	12.0%	0.0%	0.0%	24.0%
Installers				
36.5%				

End Use Level	Manufacturer 23.5%	Wholesaler 3.0%	Internet 0.0%	DIY 0.0%	Specialist 28.0%	Installer 27.8%	Manufacturer 4.0%	Wholesaler 0.0%	Internet 0.0%	DIY 0.0%	Specialist 5.0%	Installer 8.7%
	Residential						Non-Residential					
	82.3%						17.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	41.8%			40.5%			6.0%			11.7%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	30.0%	11.8%		2.0%	38.5%		5.0%	1.0%		2.7%	9.0%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.5.3 Route to Market - Consolidated View : Shower Wall

SA - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2020

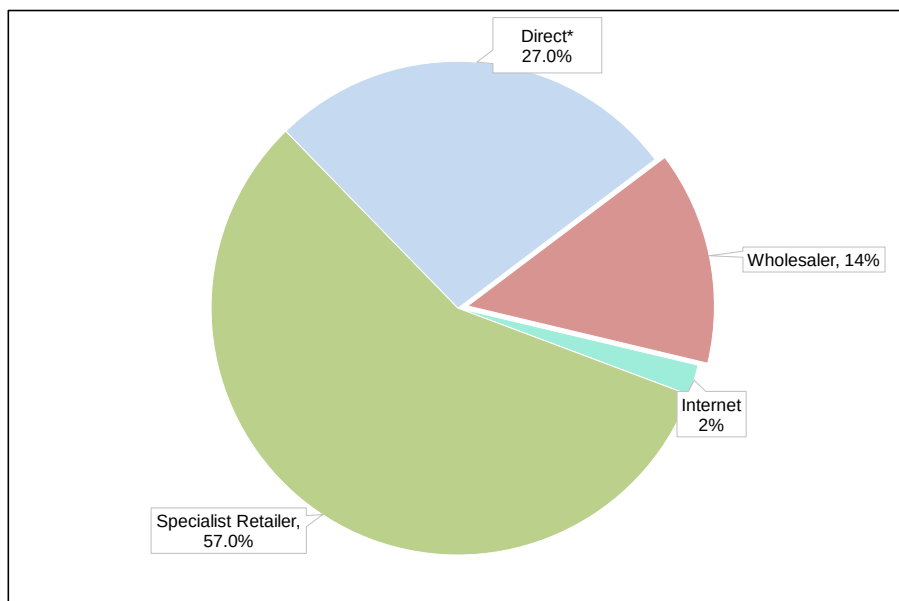
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
14.0%	2.0%	0.0%	57.0%	27.0%	32.6%	5.9%	49.5%	12.0%
100%					38.5%		61.5%	

4.5.4 Route to Market - Consolidated View : Shower Wall

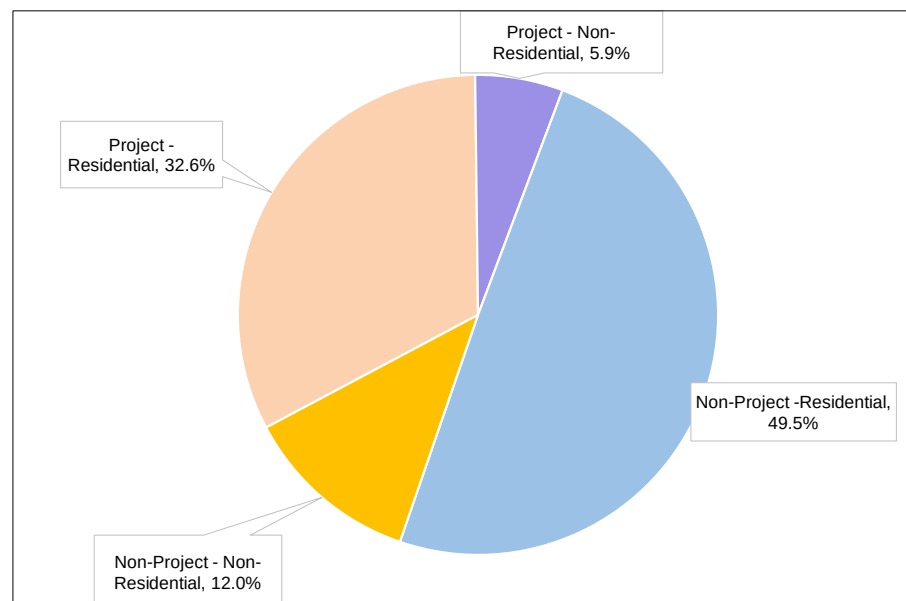
SA - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.0%	2.0%	0.0%	57.5%	25.5%	32.0%	7.7%	50.3%	10.0%
100%					39.7%		60.3%	

SA - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2020



SA - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2020



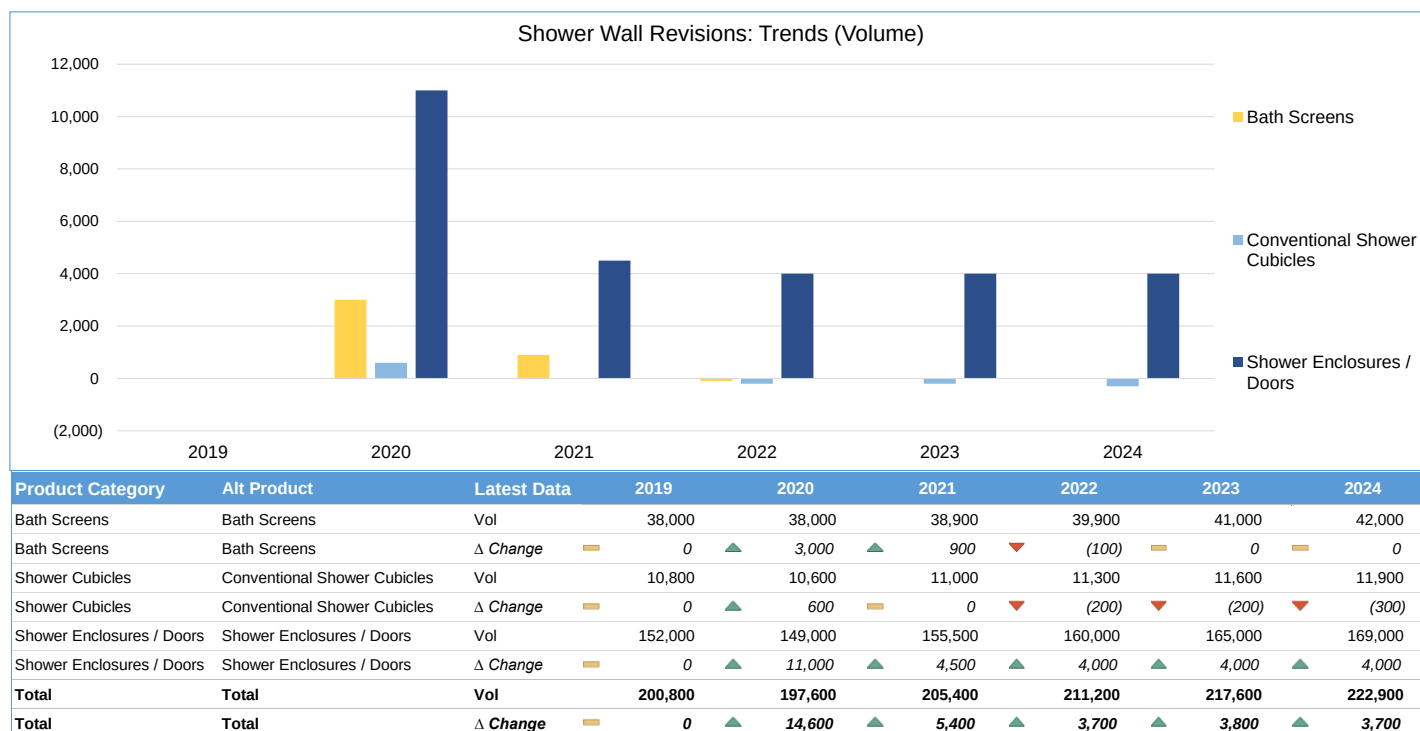
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.6 Revisions in the Saudi Shower Wall Market (April 2021)

SA - REVISIONS IN THE SAUDI SHOWER WALL MARKET

Data Comparison: April 2020



No revisions have been made to historical volumes for this market.

For bath screens, the MSP was revised downward for 2007 and 2008.

For conventional shower cubicles, the MSP was revised upward for the years 2005 to 2007 and downward for the years 2008 and 2009. For shower enclosures, the MSP was revised upward for the years 2005 to 2011 and downward for 2016 & 2017.

These revisions were due to the fact that the price variation among the different distributors was taken into consideration to the calculation of the final average MSP. Prices that were revised downward were due to a higher share of direct sales, meaning lower MSPs and in opposite, prices that were revised upward were due to a lower share of direct sales. Direct and non-direct sales lead to MSP variation due to the volume involved in transactions. Furthermore, direct sales concerned mostly public tenders for social housing construction, which had a lower MSP than private constructions.